

Syngene International Ltd. (SYNGENE)

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Call: Jan 2023

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Invest or Co nference Call Trans cript Q3 FY202 3
Syngene International's Q 3 FY 202 3 Conference Call
January 24, 2023

Key Participants from Syngene International

■ Mr. Jonathan Hunt: Chief Executive Officer

■ Mr. Sibaji Biswas : Chief Financial Officer

■ Dr. Mahesh Bhalgat : Chief Operating Officer

Moderator: Ladies and gentlemen, good day and welcome to Syngene International Third Quarter ended December 2023 Financial Results Conference Call. As a reminder, all participant lines will be in listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Avantika Mishra from EY. Thank you and over to you , ma'am.

Avantika Mishra : Thank you, Rujuta , and good afternoon , everyone. Thank you for joining us on this call to discuss Syngene's Q 3 FY'2 3 financial and business performance. From the management 's side, we have Mr. Jonathan Hunt, MD and Chief Executive Officer; Mr. Sibaji Biswas, Chief Financial Officer and Dr. Mahesh Bhalgat, Chief Operating Officer. Post opening remarks from the

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management , we will open the line for Q&A, and we will be happy to answer any questions you may have.

Before we begin, I would like to caution that comments made during this conference call today will contain certain forward -looking statements and must be viewed in relation to the risk pertaining to the business. The Safe Harbor clause indicated in the inv estor presentation also applies to this conference call. The replay of this call will be available for the next few days and the transcript will be subsequently made available.

With this, I now hand over the call to Mr. Jonathan Hunt. Thank you, and over to you, sir.

Jonathan Hunt: Thank you and good afternoon, everybody. Thanks for joining us on the call today to discuss Syngene's performance in the third quarter.

I'll start by commenting on the headline numbers, then move on to some key operational and strategic highlights for the quarter. Sibaji will provide a more detailed insight into the financials in his remarks. I am pleased to report that we continue to see good demand in our main client markets of the US and Europe, which combined with strong execution, and good forward planning, help ed us deliver solid revenue growth in the third quarter.

In addition, I think we are building the quarter working with regulators. During the quarter, we received regulatory approval for our commercial biologics

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operations from the US FDA, from European Union, EMEA, and the UK 's, MHRA. Pleased to have these audits behind us but more importantly, we are delighted to see that our commitment to high operating standards was endorsed. All four divisions performed well during the quarter. Revenue from operations grew by 23% to INR 786 crores over the corresponding quarter last year.

Operating EBITDA was up around 14% to INR 231 crores. Profit after tax was up 5% over the corresponding quarter last year to INR 110 crores. On the back

of the robust first half of the year, the performance during the third quarter was steady and we continue to make progress on those strategic priorities. I think overall, we are well positioned to deliver our guidance for the full year. Turning

now to the operating divisions, I'll start with Discovery Services, which grew steadily through the quarter. Our second campus in Hyderabad continued to expand and now plays an increasingly important role in our Discovery Chemistry operations. In the last nine months, the number of scientists increased to around 800, and we expect the completion of additional 24,000 square foot of lab space and a new compound and management facility in the current quarter. It gives us further space to grow as well as enhance our capabilities.

Growth in Development Services was driven predominantly by repeat orders from existing clients as well as an increase in the number of collaborations

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with emerging biopharma companies. During the quarter, we continued to invest in new infrastructure and capability development. For example, we completed the construction of a state-of-the-art sterile fill-finish facility for small-scale clinical manufacturing. The facility successfully completed the Central Drugs Standard Control Organization (CDSCO) joint inspection, and we expect to start GMP production in this quarter.

This facility allows us ability to offer end-to-end solutions in drug product development and manufacturing for clinical supplies of both small and large molecules. Turning now to Manufacturing Services. Overall, we made good progress on our strategic milestones for the quarter. As I mentioned, we successfully completed the US FDA, EMEA, and MHRA regulatory audits for our commercial-scale biologics manufacturing facility. With cGMP certifications from the regulatory agencies in place, we are on track to manufacturing drug substance at a commercial scale and make progress on the Biologics growth strategy. So, to summarize, before I hand it over to Sibaji, overall, the demand environment remains broadly positive. To capture these opportunities, we continue to invest in digitization, capability-building and additional infrastructure development. All divisions have shown steady growth over the past nine months, and we expect a busy fourth quarter. The positive outcomes for the quarter of the three major regulatory audits is a very positive step forward in enabling our commercial scale of Biologics

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strategy. So, overall, we are confident and we're on track to deliver our annual revenue growth guidance of high teens.

So, with that, let me hand over to Sibaji to provide more details on the financials.

Sibaji Biswas: Thank you, Jonathan, and a very good afternoon to you all. Let me we start with the revenue performance and take you through margins, profitability and capex investments for the company and end with the outlook for the full year FY '23, which is in line with our upgraded guidance given at the end of the first quarter.

I'll cover the third quarter performance at the beginning and then we'll briefly touch on the nine months performance. Like the previous two quarters, you will hear me referring to underlying performance in parts of my comments. Just to be clear, this is performance excluding the impact of remdesivir manufacturing. We recorded high sales of remdesivir during the last financial year, most of it in the first quarter. However, we did continue remdesivir sales last year till the end of the third quarter. As no remdesivir sales have been recorded in the first nine months of this financial year, we think it is helpful to

exclude remdesivir from both periods to illustrate the underlying performance of the ongoing business. As you heard from Jonathan, the reported revenue from operations for the third quarter grew

by 23% versus the same quarter last year. Underlying revenue growth, that is excluding

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remdesivir, was stronger at around 28%. This performance comes on back of a very strong first half, but we had an underlying growth of around 30%. Growth was primarily driven by continued good performance from the Discovery Services division and strong performance from manufacturing division driven by Biologics. Development Services also grew well, but the growth was relatively modest due to spillover of execution to quarter Q4. Overall, reported EBITDA for the quarter was up 15% year-on-year to INR 248 crores compared to INR 216 crores for the same period last year. The reported EBITDA margin for the quarter was at 30.9% versus 33.1% last year. EBITDA from operations, that is excluding other income, came in at INR 231 crores compared to INR 203 crores in the same quarter last year, up by around 14%. The operating EBITDA margin, which is without other income was 29.4% for the quarter compared to 31.7% last year. To understand the operating leverage equation, it is important to look at the P & L restated at the hedge rate, which form the basis of our guidance at the beginning of the year. Our reported hedge rate is based on average values of the forward and options contracts for the period and builds in the structural long-term rupee depreciation versus the US dollar. The forward rate which is generally higher than the spot rate provides partial cover for the Indian inflation which shows up in the expense lines. The hedged rate revenue growth was at high teens

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this quarter, while the EBITDA growth for the quarter was 15%. The EBITDA growth was lower than the revenue growth, primarily due to achieving the mix towards manufacturing, which currently has lower margins because of lower scale and capacity utilization. In addition, there are inflationary pressures on other operating expenses, which are explained further. During the quarter, staff cost increased by 12% year-on-year. The increase is in line with the increase in headcount and reflects salary increases and change in mix of the employee base. Other opex has seen a 33% increase versus the third quarter last year. This is primarily due to cost inflation as well as a step-up in business travel, sales promotion, and other overheads. It is important to note that as we came out of the pandemic at the beginning of this year, we deliberately chose to invest in business and sales promotion activities including travel, which also drove up costs. Maintenance expenses increased as a reflection of the new facilities built over the last few years. Other operating investments, including the expansion of the commercial team and acceleration of digitization and automation projects across the business also led to higher costs on a year-on-year basis. These are sound investments for the future, and we should see benefits from these investments over the long run. Other direct costs, which primarily include power and equity costs, increased 7% year-on-year, and these now constitute 3.4% of the revenue from

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operations for the quarter compared to 3.8% for the corresponding period in the prior year. In the current environment, we are seeing benefit of our investments in renewable energy, which is not only de-risking the cost of energy supply, but also helping us make good progress on our environmental commitments by reducing carbon emissions. D

Despite an increase in total

energy consumption due to the expansion of our facilities and increasing power and fuel tariffs, these investments provide us a mechanism to mitigate cost increases.

Revenue for the quarter was hedged at INR 79 per US dollar. Our margin guidance for the top line was driven at the hedged exchange rate, while the average realized rate was upward of INR 81 per US dollar. The depreciation of the rupee versus the US dollar tendered our top line without commensurate benefit of the bottom line because we booked hedge losses as a part of our operating expenses.

In summary, the operating margin adjusted for the revenue at the hedge rate was 30% compared to 30.8% last year. Hedge losses during the quarter were at INR 16 crores, reflecting the difference between average spot rate during the quarter to the hedge rate. This is compared to the hedge gain of INR 20 crores in the same quarter last year.

Other income for the period increased from INR 13 crores to INR 17 crores, an increase of 34% on back of increasing yields on investments and fixed

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deposits. Depreciation and amortization for the period was at INR 95 crores compared to INR 79 crores in the same period last year. This increase of 21% on a year-on-year basis is mainly due to the new investments that we made in the last 12 months.

Finance cost increased from INR 9.4 crores to INR 13.7 crores and are still recognized by interest component on new released assets following lease accounting, as per accounting standard IAS 116. This is in addition to rising interest rate on borrowings. Even though a large part of our loan is covered through interest rate swaps, the steep increase in the interest rate on the unhedged portion of the loan debt to higher interest costs.

Profit before tax increased by 9% year-on-year. Here the lower growth of PBT compared to the EBITDA is on account of high interest rates and increased depreciation. The effective tax rate for the quarter was around 21.5% compared to 19% during the same period last year. You will remember that we expect that there will be a gradual increase in the tax rate as some of our units move out of SEZ tax benefit period and an increasing share of business coming from locations not enjoying SEZ benefits.

While the effective tax rate is going up, we have a MAT credit of INR 160 crores, which will be utilized over the next few years, and this will enable us to maintain the cash outflow for income tax at the minimum pertained tax

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level. Profit after tax stood at INR 110 crores as compared to INR 104 crores last year, a growth of around 5%.

Moving to the nine months performance. Revenue from operations grew by 19% including the impact of remdesivir in the base. Underlying revenue growth for 9 months was at 30%. Material costs increased by 6% year-on-year. However, adjusted for the remdesivir impacting the last year material costs growth was around 26% year-on-year, reflecting the change in mix of revenues towards development and manufacturing divisions.

Staff costs increased by 13% YTD in line with the headcount growth. Other

direct costs increased by 32% basically driven by inflationary pressures on utility and other costs and other expenses grew by 37%, primarily due to resumption of activities post -pandemic and other operating investments explained earlier.

The reported EBITDA margin for 9 months was at 29.7% against 31% last year. EBITDA margin from operations were at 28.2% against 29.6% last year for the same period. Capex for the 9 months of the year was around \$50 million, and an almost equ

al amount has been committed and projects are under execution.

Now moving to the guidance for the year. Based on the 9 -month results and the overall trajectory of the business, I am happy to reconfirm the guidance

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for the full year of high -teens revenue growth and an EBITDA margin of around 30%. Please note that this guidance was made and continues to be at the hedge rate of INR 79 per US dollar. Given the rupee versus US dollar depreciation we have seen, you need to address the top line growth and the margins accordingly.

PAT growth for the full year continues to be expected in the single digits.

Looking forward, we expect operating leverage within the business to improve from next year onwards, and that should improve the overall PAT outlook in the coming year. But I'll say more about that once we have completed the year at the full year results.

With this, I complete my commentary and will hand back to the moderator for questions. Thank you.

Moderator: The first question is from the line of Tarang Agrawal from Old Bridge Capital.

Tarang Agrawal: Three questions from my side. One, Jonathan, are you witnessing any slowdown in preclinical or Phase I clinical projects, especially from your emerging biopharma customers? That's one. The second, if you could just give us some sense on what percentage of your molecule is currently under Phase II and Phase III would be with the emerging bio customers? And what percentage would be perhaps with the big pharma? The third question is, in

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the quarter gone by, did any of your customers receive any NCE approvals, which is likely to be commercialized in the near future?

Jonathan Hunt: Thank you for the questions. Albeit you sound a bit anxious by the nature of the question. So, the first question, the answer is no, which is probably about the most direct sort of insight I would give you. I am not really seeing a slowdown. I'm assuming your question, just do feel free to come back and comment, is born out of trying to interpret US fundraising and the environment for US biotech in terms of IPOs and fundraising.

To some extent, and I think I commented this on previous quarters, those that have already well -funded are very keen to try and stretch that money. If they've got a year's funding, they'd love to turn it into the two years funding pathway. One of the ways they can do that is making sure that they are spending it smartly and wisely and companies like Syngene offering very good value for money. So, I think that sort of offsets a bit, no I'm not seeing a discernible mix.

Of course, it all depends on your reference point. If you go back to, I don't know, 18 months to two years ago, we were at an all time peak for fundraising in the US start -up biotech environment but driven to some extent by two factors that are unusual in tempo. One is 10 years of quantitative easing, an incredibly low cost of capital and cost of fundraising. And the other one is, a lot of work that is driven in related to the pandemic.

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So, it depends on what you compare. And so, if you compare it to a sort of a once in a decade high, then I think funding levels have come down, but I am not seeing anything discernible. Onto the other two questions. I don't really have a comment. –We do not track our projects by Phase I, Phase II, Phase III, all are represented. So, it's not a number I can really report. I think you can an essence from our co

mmmentary and my answer for the question.

The demand in the market, I think, is reasonably healthy. We are seeing at our Discovery Services, development and manufacturing, a reasonable demand environment for us in the US and Europe to our main markets. It is much more around execution and being commercially competitive, and I think are the drivers of our growth. Does that help?

Tarang Agrawal: It does. And to my last question, I mean, on any of your clients getting an NCE approval in the quarter gone by?

Jonathan Hunt: But I am not sure what can you do with that information, I'll try to answer it. This is on our manufacturing business.

Tarang Agrawal: Okay. Sure. And if I can squeeze in one more. Sibaji, typically, I mean, if I look at FY '22 over '21, the rupee-dollar exchange rate was rather flat, and we saw that you are reaping in forex gains. And in '23 over '22, we're witnessing extreme depreciation of rupee against dollars, where we are essentially seeing some kind of forex losses. So, what it says is effectively, I mean, at an

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average rupee depreciates by about 5%. So that is typically what your forward hedge rate would be. And if in any given year, the depreciation is more acute then we will probably see a forex loss. And if the depreciation is perhaps a little lower, then that will translate into forex gain. Would that be the right way to look at it?

Sibaji Biswas: Yes. You're right, Tarang, that's how it is. The point to note over here is that in the way, EBITDA or the PAT does not get impacted. So, if we actually have a rupee depreciation and the spot rate is above the hedge rate, we do get a bit of point in the top line, but then we have hedge losses at the profit level, at EBITDA level in cost. It only optically impacts the margin because with an inflated top line and the same absolute EBITDA, the margins look a bit lower and that's what the guidance was given of margin at the hedge rate, getting at 81 at this point, you may have slightly better top line, but the margins could be lower. So those adjustments have to be in the model, but we continue to focus at our business.

Moderator: The next question is from the line of Surya Patra from Phillip Capital.

Surya Patra: Just first question on the fill-finish unit that you have indicated about. So, what is the scale and size of the fill-finish facility? And if you can also share the size of the investment in that? That is the first question. And maybe if you can clarify whether this is part of the Mangalore site, or it is part of the Bangalore site?

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Jonathan Hunt: It's in the Bangalore site. And I don't think that we're going to dimension it. I think the advice that I give you is, it's the clinical scale, it's small enough. It's not a line item in an analyst model. Does that sort of capture the essence of

the question?

Surya Patra: Yes. So , I'm just here trying to understand the scale, size because, is it just a kind of this facility is capable of doing some kind of developmental support service or it is also capable of offering commercialized manufacturing service?

Jonathan Hunt: No, no. It is clinical scale. That is the reason for describing it as clinical scale. It's just clinical, Phase I, Phase II type clinical trials, and therefore the volumes are relatively small. So , I think that answers the essence of the question. It's not commercial scale fill-finish, it's clinical.

Surya Patra: Yes, Got it. So , my second question is, Sibaji sir, if you can just update about the cumulative capex for the Mangalore site as of now? And what is the cu

mulative capex in the Biologics assets so far? That would be helpful .

Sibaji Biswas: Yes. So , the capex in Mangalore site hasn't been really increased much from the last quarter, if you recall I mentioned it's around \$85 million that we have invested over there. To be clear, they are depending on what exchange rate we take, so that remains broadly at the same level.

In case of Biologics, cumulatively in the beginning of the year , we invested \$55 million, again to be clear, they are for the exchange rate , and we have started

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a program of another \$30 million for the execution. That is still not in books because the program is under-way and you can expect to see that facility and the capex coming to the books for the next few quarters, whether we have approved execution as planned.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to Ms. Avantika Mishra from EY for closing comments.

Avantika Mishra: Thank you, everyone, for joining today's call. I hope we have answered your questions. If you have any further queries, please do get in touch with our team, and we will be happy to get back to you. Have a good day, and thank you once again .

Moderator: Thank you. On behalf of Syngene International Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Syngene International's Q4 FY2023 Conference Call
April 27, 2023

Key Participants from Syngene International

- Mr. Jonathan Hunt: Chief Executive Officer
- Mr. Sibaji Biswas : Chief Financial Officer
- Dr. Mahesh Bhalgat : Chief Operating Officer

Moderator: Ladies and gentlemen, good day, and welcome to fourth quarter ended March 2023 Financial Results Conference Call of Syngene International Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Avantika Mishra from EY. Thank you and

Avantika Mishra: Thank you, Yashashri. Good afternoon, everyone. Thank you for joining us on this call to discuss Syngene's Q4 FY '23 financial and business performance. From the management side, we have Mr. Jonathan Hunt, MD and Chief Executive Officer; Mr. Sibaji Biswas, Chief Financial Officer;

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and Dr. Mahesh Bhalgat, Chief Operating Officer. Post opening remarks from the management, we will open the line for Q&A, and we'll be happy to answer any questions you may have.

Before we begin, I would like to caution that comments made during this conference call today will contain certain forward-looking statements and must be viewed in relation to the risk pertaining to the business. The safe harbor clause indicated in the investor presentation also applies to this conference call. The replay of this call will be available for the next few days, and the transcript will be subsequently made available. With this, I now hand over the call to Mr. Jonathan Hunt. Thank you, and over to you, sir.

Jonathan Hunt: Thank you. Good afternoon, everybody. Thank you for joining us. Let me start with an overview of the fourth quarter before summarizing the full year. I'll then hand back to Sibaji to give you a more detailed insight and talk about guidance for the year ahead. Syngene's fourth quarter revenue from operations grew by 31% over last year, and was, in fact, our biggest quarter ever. As a result, we had a strong end to the year with positive performances across all four divisions. Profit performance was also strong with operating EBITDA for the quarter, up 26% to INR314 crores and profit after tax, PAT, was up 21% year-on-year to INR179 crores.

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Turning to the business highlights for the quarter. Our research businesses, discovery Services and dedicated centers delivered sustained good performances. The growth in discovery services was led by the continued surge in demand we are seeing for chemistry which is delivered in part by our research facility in Hyderabad. That facility is expanded further in the fourth quarter and now accommodates almost

900 scientists.

In development services, the fourth quarter is often the largest of the year. This year was no exception and I'm pleased to report a sustained performance there. Growth in development services came mainly from orders from existing clients. This increased client stickiness, I think, really reflects our focus over recent years on operational excellence and on-time delivery. In manufacturing services, after successfully completing audits of our biologics facilities by the USFDA, EMA and

the MHRA, we

had a busy quarter supporting the long-term partnership that we have with Zoetis.

So let me spend now a few moments reflecting on the full year. I'm pleased with the progress throughout the year and in many ways, this fiscal year proved to be an important one in the delivery of our long-term strategy. The year saw a material progress in our manufacturing division, as I just mentioned. Alongside the continued good progress in

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discovery services, the sustained improvement in service delivery and operational excellence in development services gave us a much broader base upon which to grow.

Our strong performance in the fourth quarter added to performance over the course of the year and ensured that we delivered full year results ahead of our upgraded guidance. On the financial side for the full year, we reported revenue from operations up 23% to INR3,193 crores and profit after tax was up 10%. From the start of the year, we saw many pharma clients were keen to make up for time that they felt they lost during the pandemic. This client base was supplemented with growth in the number of collaborations that we have with small and medium sized research-based companies.

We also celebrated the 25th anniversary of our partnership with BMS a few weeks ago. This collaboration, as you know, started out with a handful of scientists in a single lab. It is now BMS's largest R&D facility outside the US, accommodating several hundred scientists. The partnership with Zoetis is also a long-standing one. Although the 10-year manufacturing agreement is relatively recent our collaboration with Zoetis started back in 2011 and over the past 11 or so years we have undertaken research and development work on a number of monoclonal antibody projects for use in animal health.

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Other highlights thinking about the year is the high operating standards which is the hallmark of the company and the year saw several notable successful regulatory inspections. In addition to the successful audits of our biologics facility, we completed almost eighty other regulatory and client audits during the year. The latest one of those was the successful completion of the GCP audit by NABL, the National Accreditation Board for Testing and Calibration Laboratories, which endorses Syngene scientific standards for clinical trials. While we take pride in our external audit track record, we know it really only comes from a meticulous and daily commitment to compliance, and we really don't take any of that for granted.

During the year, we continued to invest in building capacity. Let me give you some examples. Our campus in Hyderabad added around 400 scientists during the year. We commissioned a dedicated PROTAC facility that's part of Syngene's novel drug discovery strategy for clients involved

in cancer and other treatments. In Bangalore, a state-of-the-art sterile clinical scale fill finish facility was commissioned and that adds to our end-to-end capabilities in development . And finally, a kilo-scale lab for polymers and speciality materials was also commissioned during the year. Another important area of focus was our supply chain where we took steps throughout the year to increase

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supply resilience. We increased the number of suppliers we have outside of China, added more suppliers here in India and we took steps to improve our overall supplier ecosystem .

Looking ahead, we see industry's

trends for our sector that are positive.

and although there are two macro trends that are yet to fully play out for our clients in biotech and pharma so let me comment a little bit more on those. Firstly, there are financial pressures coming from increased end product pricing , high inflation and higher interest costs, and we can see those pushing pharma companies to think more carefully about how to optimize their operating models and budgets. For some, this is making them much more cost conscious. And I would say that's not a bad thing for a business like Syngene given that we have a relative cost advantage. For others, it's leading them to consider their total size of their operations and even bring into play thoughts on their own internal infrastructure. You have seen a number of these trends reported over the last year in the media. So overall, I think this is likely to increase the trend for outsourcing and that, I think, is a net positive for a company like Syngene.

Secondly, in the emerging biopharma segment, while we've seen a slowdown in funding in 2022 compared to the previous two years, I think

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you'd note that the previous two years were some of the highest funding environments we've ever seen.

The share of industry -- share of the industry pipeline coming from those biotech companies continues to increase. And the current focus for many of these companies is how they extend their cash runway while keeping their promising scientific programs moving forward. And here, we think, of course, the breadth of capability and the relative cost advantage of Syngene offers can be attractive to them.

So, in conclusion, I think we had a good year on multiple levels.

Syngene's revenue performance was positive. We beat the upgraded guidance. And I think we're starting to set a new trajectory as a positive one for the company. We saw good evolution in growth across all of the businesses. Discovery Services had a good year, and that was led by a sustained uplift in chemistry.

We made good progress through improved operating performance in Development Services. That was reflected in the number of repeat orders from existing clients and manufacturing had a strong year, led by the commercial -scale biologics manufacturing business. There , the long -term deal with Zoetis and the successful regulatory inspections sets the solid foundation for the future.

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So, looking ahead, I think we're optimistic and that's despite the challenges of inflation, geopolitics and recessionary pressures that are visible in some regions of the world. I believe that our performance over the last year and the progress we've made on the strategic development of the company position us well for the year ahead.

So, with that, let me hand over to Sibaji to walk you through the financial performance and also to cover guidance for the year ahead.

Sibaji Biswas: Thank you, Jonathan, and a good afternoon to everyone. Fiscal year 2023 was a year after the pandemic, and I'm delighted to report that our company demonstrated remarkable resilience and emerged stronger than before. With a robust business model, a broad customer base, a strong balance sheet and with focus on execution, our company has delivered a very strong year -on-year increase in revenue and EBITDA. The performance in the fiscal year 2023 has beaten the upgraded guidance and provided a strong foundation for our future. Before we delve into the detailed performance for the fourth quarter, I want to remind you that as in previous quarters, I'll be referring to the underlying performance. This is performance that

excludes the impact of COVID - related remdesivir manufacturing, which provided a onetime revenue and profit stream in the previous fiscal year. As we have no remdesivir sales in the financial results that we are reporting today, it is useful to

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exclude remdesivir from both periods to focus on the underlying performance of our ongoing business.

As Jonathan mentioned, the revenue from operations in the fourth quarter increased by 31% compared to the same quarter in the previous year, while the underlying revenue growth, excluding the remdesivir was marginally higher at 33%. We have seen continued good performance from the Discovery Services division, which grew steadily on back of healthy demand.

The Development and Manufacturing Services division as a whole grew by 42% year -on-year benefiting from repeat orders from existing clients in the small molecule development business and increasing collaborations with emerging biopharma companies. With the regulatory approvals in place, this quarter also saw the start of manufacturing of drug substance at commercial scale for Zoetis, which also added to the strong year -on-year growth. Reported EBITDA for the quarter saw a year -on-year increase of 27% amounting to INR337 crores, up from INR265 crores during the same period last year.

Reported EBITDA margins for the quarter was 33.1%, down a little compared to 34.3% in the previous year. EBITDA from operations, excluding other income came in at INR314 crores, up around 26% compared to the same quarter last year. The corresponding operating

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EBITDA margin that is without other income stood at 31.6% for the quarter compared to 33% in the previous year. EBITDA margin was lower primarily due to hedge losses booked this year versus hedge gains in the previous year.

Now turning to the key elements of cost within our business. Material costs for the quarter increased by 37%, reflecting a shift in the business mix towards manufacturing services, and an increasing proportion of

early -stage clinical manufacturing projects that carry higher raw material costs. The quarter saw a year -on-year increase in staff cost of 41%. I would like to remind you that the fourth quarter of the previous year had the benefit of lower costs relating to retirement benefits arising from higher level of attrition. Adjusted for this, the staff cost growth is in line with increase in headcount and annual pay rises. Other direct costs increased by 15%. The company's investment in renewable energy helped to reduce carbon emissions and mitigate rising energy costs. Despite the expansion of facilities and the surge in power tariffs, we successfully controlled the overall expenditure on energy in the company through green power. However, the inflationary pressure on the rest of the utilities, especially gas has partially offset the benefits we are getting from our investments in renewable energy.

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Other operating expenses, which includes business travel, sales promotion and other overheads increased by 4% compared to the same quarter last year when the activities had already moved up to the near normal levels.

Revenue for the quarter was hedged at around INR79.5 per U.S. dollar and the revenue and margin guidance were given on the expectation of revenue realization around the hedge rate. The average spot rate, however, during the quarter was around INR82 per US dollar.

The EBITDA margin for the revenue listed at the hedge

rate came in at

31.7% compared to 32.6% in the previous year. The company saw hedge losses of INR4.2 crores during the quarter compared to a hedge gain of INR9.1 crores in the fourth quarter of the previous year due to the difference between the average spot rate and the hedge rate.

Depreciation and amortization for the period increased by 19% year -on-year to INR95.5 crores, the increase is attributable to new investment in facilities, equipment, and infrastructure. Finance costs increased from INR5.6 crores to INR10.6 crores due to the rising interest rates and translation losses on foreign currency borrowings. Other income for the period increased by 55% to INR 22.8 crores, which was driven by the increase in cash balance and better yields on bank deposits and other instruments.

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Profit before tax increased by 29%, profit after tax was INR179 crores compared to INR148 crores last year, registering year -on-year growth of around 21%. The difference in growth rate represents an increased effective tax rate of 21.8% in fiscal year 2023 as compared to the previous year's rate of 18.3%. This increase in tax rate is due to some profit generating units coming out of the SEZ tax benefit during the year. In summary, the fourth quarter demonstrated sustained positive performance leading to strong full year results. Now I'll comment on the full year performance. Reported full year revenue from operations exceeded our guidance with a year -on-year increase of 23 %. This reflects good performances from all divisions.

Our CRO businesses delivered growth over 20% and constitutes 65% of the revenue. The CDMO business grew by 28%, driven by the start of commercial manufacturing biologics and a healthy level of repeat orders from our clients in small molecule development services. EBITDA from operations grew at 17% year -on-year, the gap in growth rate between revenues and EBITDA is mainly due to the hedge losses booked during

the year as against the hedge gain booked in the previous year. Reported material costs showed a relatively lower year -on-year increase of 15%, mainly due to the base effect of remdesivir manufacturing in the previous year, which had high raw material costs. Adjusted for that, the

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underlying material cost growth is a bit higher than the revenue growth due to the shift of business mix towards manufacturing. The overall material cost to revenue ratio now stands at around 27% of revenue, which is within the range guided by us in our previous calls.

Staff costs for the year increased by 20%, in line with the headcount growth and annual increments. Overall staff cost to revenue ratio stands around 28%, which is very similar to the previous year. Other direct costs increased by 27%, reflecting the inflationary pressures in utilities. Other expenses grew by 25%, driven by the resumption of activities post pandemic and other operating investments.

The EBITDA margin from operations for the 12 months period was at 29.3%, 130 basis points lower than the previous year's margin of 30.6%. However, if the revenue is restated at the hedge rate, which was incidentally the basis of our guidance, the EBITDA margin came in at around 30%. Depreciation and amortizing expenses for the year increased by 18%, reflecting capex additions.

The operating EBIT that is EBIT without other income increased by 17% in line with operating EBITDA. However, the interest expense for the year increased from INR24 crores to INR45 crores, driven by rising interest rates and translation losses on foreign currency loans. This is an

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increase of 87%. The higher increase in interest cost and increase in effective tax rate, resulted in a PAT growth of 10% year -on-year. Profit after tax was at INR464 crores which is above the guidance of single -digit PAT growth that we had given before. The capex guidance for fiscal year 2023 was for a spend of about USD 100 million. We recorded a capex spend of around USD 60 million and another USD 30 million has been committed. These projects relate to expansion of research, much of which will happen in Hyderabad and Biologics. The projects are currently under execution and has rolled over to the current year that is FY '24 for completion. To give you the breakup of capex for fiscal year 2023, about 60% of the capex in the reported period was deployed in research services expansion, another 35% was spend in CDMO business to scale up the existing biologics facility and add clinical scale injectable fill -finish facility amongst others. The rest of the capex was spent on common infrastructure, especially on digital technologies. Now let me spend a few minutes on the guidance for FY '24. We expect the contract research, development and manufacturing market to continue to see growth with key fundamentals remaining strong. For the year ahead, we see healthy demand for our services on the back of global pharma and biopharma companies continuing to diversify their supply chains. With stable revenues in the dedicated center, good growth in

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Discovery Services, healthy repeat and new business in development services and start of commercial manufacturing in biologics, we anticipate revenue growth on a constant currency basis to be in the high teens.

I want to emphasize that this guidance is being given at a constant currency . This is a change from what we have done in the past where our guidance was given in our reporting currency, that is Indian rupee. The average conversion rate realized in FY '23 was around INR81 per U.S. dollar and the growth rate in the reporting currency will depend on the spot rate prevailing during the year. For record, our average hedge rate for the year ahead is INR81 per US dollar which is similar to the average spot rate realized last year.

In the year ahead, we will continue to invest in building capabilities and expansion, which will lead to additional expenditures in our P&L. However, we expect our EBITDA margin to remain at around 30% for the overall business. This is, of course, assuming revenue realization at INR81 per U.S. dollar and it could change based on the actual spot rates seen during the year.

As mentioned earlier, in fiscal year 2024, we expect better operating leverage with EBIT growth actually tracking the revenue growth in the year. As explained earlier, the effective tax rate is expected to gradually

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increase, and we expect the effective tax rate to be around 23.5% moving up from 21.8% in the fiscal year 2023.

The increase in effective tax rate will continue to provide headwinds for our profit after tax and hence, we anticipate that the growth in PAT or profit after tax will be in the mid -teens. New capex for the current year is expected to be around \$70 million . With \$30 million rolled over from the previous year, total capex spend will be around \$100 million. Most of the investments will be focused on adding biologics manufacturing capacity, laboratory space for future expansion of research business and capability additions across our service lines.

Overall, we expect to continue the growth momentum of the last year with better margins leading to improved profitability. That concludes my remarks, and I'll now open the floor for questions. Thank you.

Moderator: We have a first question from the line of Prakash Agarwal from Axis Capital.

Prakash Agarwal: Thanks for the opportunity and congratulations on good numbers. Sir, first question on a little bit clarity on the guidance. So, I'm not sure if you talked about the revenue growth guidance, but margins, you said in the first statement that EBITDA margin likely to be around 30, 31 and then in the closing comment you said expected to see operating leverage and

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margins to improve. So, two questions there. One is on the top line growth, if you could give some color for '24 and about the margins also? Thank you.

Sibaji Biswas: Yes, I'll take it. Thanks, Prakash, for that question. What we clearly said in the guidance, first of all, let me repeat my revenue guidance because it appears that you haven't heard it. We said constant currency growth will be high teens. And this is a change from the past. We are giving a constant currency growth guidance this time. But we also said the operating profit or EBIT will grow at least in line with growth of revenues.

We have reported a 29.3% margin in EBITDA. And hence, when we were guiding around 30% EBITDA margin, we have been basically saying that the growth in margins or growth in EBITDA and operating margin and operating profit, which will go at least in line with the revenue. Hence, the margins will not be diluted, and the expenditures will not grow more than the revenues. That's what I said. Hope I'm clear, Prakash.

Prakash Agarwal: But I mean, with Zoetis business coming in, wouldn't the margins and the throughput that we've been investing into hard times also. So, in the good times, we should have seen some operating leverage. So, I think margins should likely improve; is the understanding not correct?

Jonathan Hunt: The guidance, we summed up our view on it giving you the guidance.

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Prakash Agarwal: So, is there any more investments which are going on which requires some kind of gestation when we can see revenue flowing through later?

Is that one part you want to cover?

Jonathan Hunt: Yes, I mean constantly. If you look at the evolution of the company, we've been putting in ever increasing amount of capex to work year-over-year because we see good prospective returns, and we see a good reason to put our shareholders' capital to work in that way. Our total capex investment last year came in at around \$60 million. We expect that to increase in the year ahead to \$100 million. And it's spread across the business, about half of it is going into the Research Services division and the remainder 20% into biologics, 10% or so into Development Services and the rest, which if I do the math quick, at least about 20% would be spread across the rest of the business. So, we're investing because we're optimistic about the outlook, and we see good prospective returns on those investments.

Prakash Agarwal: And one more clarification. So, the Zoetis business would have already started, right? I mean, in Q4, there would be some upside that we have already booked?

Jonathan Hunt: Correct. Prakash, hence, while we've delivered a 31% growth in the fourth quarter. Albeit I know -- and I'm just tweaking you slightly, you described that as a good quarter, I just thought 31% might have

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deserved better than just good. But it was a very good end to the year, and I think a pretty good year overall.

Prakash Agarwal: Yes. So, extrapolating that also for fiscal '24 and since we said this \$500 million business from Zoetis over the next 10 years, so this would have added or will have more visibility for fiscal '24, I assume. So that will add up to the overall revenue growth. So, you were talking about high teen growth. I'm just trying to understand the math. So mid-teen growth we normally do. And Zoetis just adds a couple of basis points or should have been higher in my view, is what I'm trying to understand?

Jonathan Hunt: I leave the modelling to you. I've given you most of the inputs you need. I'm sure like most of the sell-side analysts by now, you've divided \$500 million over 10 years by 10 years and plugged in something around about \$50 million.

Prakash Agarwal: Yes. So, is that the right way to do?

Jonathan Hunt: I don't know. I couldn't comment on your modelling. We don't guide on an individual level. But when we announced the deal, and I was asked the same question, I shared that in absence of any more detail, that is what I would probably do.

Prakash Agarwal: And lastly, on industry trends. So, we hear that a lot of innovative

pharma, the RFPs, a lot of interest in terms of the earlier RFPs converting

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into business. So are you seeing more traction, especially on the innovative pharma side, on the back of where we hear that small biotech companies are having funding crisis, etc. So just comments on the industry, what you are seeing from a client base from the innovative pharma side as well as smaller...

Jonathan Hunt: If you look at the comments I made, I tried to cover some of those. There are multiple moving parts at the moment and we're all going to make our own judgment on what we think the net position will be on all of these. And it will vary company by company and also client by client. But some of the sort of macro trends.

Firstly, I don't think the acceleration to catch up with lost time during the pandemic has played out fully. There are still companies that are pushing hard, recognizing their programs went a little bit slow in the 2, 2.5 years or so of the pandemic. And remember that many of these innovative assets are patent protected, and therefore this is the time that's incredibly valuable in the innovative biotech and pharma industry. So their only incentive is to try and recover time lost. So that there's one macro trend.

Secondly, I think it's the pandemic, but also geopolitics. In all the industries, people are thinking very carefully about the globalized nature of supply chains, where you get work from, where you get raw materials

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from, how your supply chain gives your business a sense of resilience. And there, I think you can see people looking at dual sourcing and just rebalancing in various ways.

Now what that means for individual companies depends on their starting position. Some are heavily exposed to China. They may as well lessen that and rebalance to other regions of the world. If some are massively exposed to, say, their domestic market. I've seen examples of very US-centric clients actually looking to globalize because they're just looking for that dual sourcing and some resilience.

Now for some of you, that becomes a China plus 1 story. And I think in reality you can see growth coming from that. So, if you put those together, first thing is around economic pressures, most visible in the western markets, the U.S., North Am

erica, Europe, clearly, you're seeing unusually high inflation in those countries that's driving up labor rates for many companies. You're seeing higher interest rates. So, the cost of cash and cost of funding new business is going up for some. And in the emerging biotech, you've seen a drop down from what was an all-time peak. So those that have funding are very keen to make it go as far as possible. I think I gave you three big building blocks of macroeconomic factors. And then you have integrate those and come to your own conclusion.

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Mine is that I think at a firm level for Syngene, they offer some good

opportunities. We have a relative operating cost advantage to our clients and some of our competitors in the west. But that means that we can make the R&D dollar go a little bit further to some of those clients.

We have scale and capability. So, in most cases, if a client comes with a particular request, we actually have the infrastructure, the people, the talent to be able to meet it. We don't often turn the work away because it's not the capability we have. So, the strategy being quite broad is working for us. And then we have a geographical advantage, which is in a China plus 1 world, we may well be the plus 1. So, did that help, Prakash?

Prakash Agarwal: Yes, very helpful. Thank you. I'll join back the queue.

Moderator: We have our next question from the line of Harith Ahamed from Avendus Spark. Please go ahead.

Harith Ahamed: Good afternoon. Thanks for the opportunity. My first question is on your parent, Biocon shareholding in Syngene. So, you have seen during the course of the year, that declined from roughly 70% to around 55% currently. So, my question is whether you have any indication from the parent company on their plans in terms of their shareholding in Syngene.

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I'm asking this in the context of the parent company continuing to look at various avenues to raise capital to support their other businesses.

Jonathan Hunt: Yes. I think you know that I'm going to disappoint you by saying it would never be something that I would comment on, on any of our shareholders to be honest, it doesn't matter whether it's Biocon, whether it's any one of our myriads of investors. It's not management's job to comment on other people's investment horizons, holdings and plans. But that's a super question that I'm sure when you re-join the Biocon conference call, you'd be able to ask them.

Moderator: We have a next question from the line of Lavanya Tottala from UBS. Please go ahead.

Lavanya Tottala: Hi, thank you for the opportunity. Congratulations for very good set of numbers. And I just wanted to check on API plant FDA approval timelines that how you are seeing going ahead?

Jonathan Hunt: It wouldn't be a quarterly analyst call without such questions. So, thank you for throwing that one out. The expectations haven't changed. We're working with the FDA to come. It's down to their travel schedule and the logistics. But my expectation would be in the coming quarter. But very happy to have another go at answering that in a quarter's time.

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Lavanya Tottala: Got it. So, I just wanted to understand one thing that the global player BMS have opened their one of the facilities in Hyderabad. So, do you see this as a risk? It might not be in the near term? Do you see anything about that in long term that it shifts from outsourcing to in-sourcing, any thoughts there?

Jonathan Hunt: No, not really. Firstly, I had very good visibility of that happening. And while you may have read it as a surprise in the media. It wasn't a surprise to us. We have a super, super working relationship with BMS, and they've definitely made sure that we were well aware of their plans. I would make a really obvious statement, the capabilities of their planned center in Hyderabad has a range of things that Syngene don't offer and is not part of our strategy. So, I see no operational conflict with what we do with anything. I think it's a healthy indication of BMS' confidence in the relationship they've had with us, the experience

they've had with us in India. And it also reflects more broadly the emergence of the Indian economy.

I think we all need to get used to it. You'll see people coming from all over the world to invest in India because there's an immense amount of talent, economic opportunity, scale. The domestic market is becoming bigger in many more industries. Flying from the airport of Bangalore, I am struck by the number of international executives that are coming in

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and out. So, I think it's a healthy sign to the environment. If it builds more talent, that's a good thing for us. But on the specifics of the center that they announced in Hyderabad, it doesn't do anything that we could have done for them. So, it's off strategy for us. And I think we have a healthy relationship. Does that help?

Lavanya Tottala: Yes. If I may squeeze in one last question. So, I just have a doubt on the hedge rate. So, hedge rate for the current quarter was around INR79 and the spot was close to INR81, INR82, but this is a similar level that we have seen last quarter also but this time the hedge loss was relatively much lower. So, I just wanted to understand why is the difference between last quarter and this quarter?

Sibaji Biswas: Yes. So essentially, we carry a hedge book and the hedge rate that we had during the year quite anywhere between INR78 to INR80, what I was giving you a rough estimate of what the average looks like. And depending on what spot rate we got, this is the hedge loss that we have booked in the financials.

So, the numbers are very consistent in that sense. What we basically also said that the average rate is around INR81, the spot rate that we observed during the year. And next year also, we expect it to be around INR81 because our hedge book is around INR81. So, one of the reasons we gave a constant currency guidance is that we are not able to judge or

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take a call on how the exchange rate will move. If it is around INR81, then the constant currency exchange rate will be almost will be similar to the reported exchange rate or reported growth. Otherwise, we'll have to make an adjustment based on where the spot moves.

Moderator: We have a next question from the line of Surya Patra from PhillipCapital. Please go ahead.

Surya Patra: Congratulations for the great set of numbers, sir. My first question is on the supply to the Zoetis. We are initially possibly talking about supplying to the U.S. but supplying to U.S. requires approval of the product, but that has not happened yet, so we have started supplying so possibly for European requirement. So, sir, my question is that when do you expect the approval of the products for the US market, and do you see a kind of a ramp-up in a stronger way post US approval, that is one. And second question is how lumpy or smoothened the supply would be for this Zoetis contract?

Jonathan Hunt: I think you know what I'm going to say, though, because certainly, the first one of those, that's a question that I think you have to direct to Zoetis. It would be really unfair of me or inappropriate to try and second guess what's a key business event for them and their shareholders, their views of the US regulatory approval. I don't have any special insight further.

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It's actual ly not something I would comment on. If it's a Syngene related question, I'll try and help you a little bit to think about the modelling. But if it's a Zoetis question, I think you have to go and ask them rightly. It's really not for me to comment on someb ody else's business, particularly when it's a flagship product for them . It's an important part of their strategy and real innovation in their industry. And I think you should be guided by them on that one.

But then to your second question, which I think i s a bit more Syngene related, we did start some manufacturing during the fourth quarter. You can see that in strong fourth quarter we've had. I think the simplest thing, and it's the answer I reminded Prakash of in the first question on today's call, in ab sence of any more detail, divide 500 million by 10.

Surya Patra: But on a broader sense, sir, whether it would be a lumpy one within the year, it will not be a smoothened supply situation during the quarter, so?

Jonathan Hunt: Surya, again, if it was me mo delling, I'd assume a fairly smooth flow through the year because the alternative would actually -- you could only really get to it if you were sitting on our operating floor, watching batches complete and whether or not they all finished on time or there were stop gaps and delays of an hour a day here. So, I think your best modelling assumption is divided fairly linearly through the year, looking for Sibaji to see if that makes sense.

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Sibaji Biswas: Yes, that makes sense. And if you divide by 10 and then m ake some adjustments next year being the effectively full first year and we scale up to the maximum level. You will have the answer.

Jonathan Hunt: I mean, there's an infill error because we haven't just done a full year in in FY '23, so you have to adjust for that. Shave a bit off the first and add a bit on the end straight line it through a decade .

Surya Patra: Yes. Sure, sir. My second question is that, given the kind of supply challenges or people trying to de -risk from Chinese suppliers and the increased demand situation for the services. So, have you seen any kind of improvement in the billing rate for you or, let's say, that is what you are anticipating for FY '24 at least? Any sense on that?

Jonathan Hunt: No. But for us, I think it's a fairly stable pricing environment. I think we're more likely to benefit from volume, but we offer attractive prices that create value for us and for our customers. I'd much rather see that volume growth in a stable pricing.

Surya Patra: Okay. Sir, one clarificat ion can I take from you. So, during the quarter that you have transferred your Hyderabad operation to Syngene Scientific Solutions wholly owned subsidiary. What is the motive behind that? And how are you differentiating the operation of Hyderabad versus th e CRO operation in Bangalore?

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Jonathan Hunt: Yes. I wouldn't over interpret. It's just tidying up a little bit of corporate structures and making sure that we've got all the assets that work well together in one place. So genuinely, it's more administratio n than it is strategy. I don't think there's a

nything that you can read into it. No change operationally by the way. If you're working in a lab in Bangalore, Mangalore, Hyderabad, the name on the bottom of your payslip might

have changed, but other than that, nothing else changed.

Surya Patra: Okay. Sure. Sir, just last 1 clarification for the -- sorry for that. You mentioned about -- I mean, we have been associated with Zoetis in some time before we see a kind of a big positive surprise in terms of the supply contract. So similarly, we have been talking about the polymers and the fine chemicals since some time. And now we have seen some progress in terms of capability build up for polymers and fine chemicals. So, could you give some sense, some outlook there, is it right to think positively about some supply contract or something like that?

Jonathan Hunt: I wouldn't over interpret things like the polymers and the other elements. In part, when we talk to the capital markets, we're also talking to our customers. And therefore, we make sure we take every opportunity to remind them of the full range of capabilities and depth that we've got. So not everything has to be strategically significant that we're trying to direct you in the way we want you to model next.

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If anything, I'd go back to the comment I made earlier. One of the reasons strategically that I think Syngene is doing well and we're progressing is that we did deliberately choose to be broad in our capability offering. We want to be one-stop full service and therefore, we add in capabilities as much so that we have them, so we never turn the client away, but not all of them are going to always scale up to be big individual business lines, but they do play their part. So, we're very happy when a client comes that we can say we can go on the full journey with you from discovery to development to manufacturing. Does that help at least the context of the answer?

Surya Patra: Okay. Okay. Sure.

Moderator: We'll take our last question from the line of Cyndrella Thomas Carvalho from JM Financial. Please go ahead.

Cyndrella Carvalho: Thanks for the opportunity and congratulations on good set of numbers. The question to my mind is how much of success are we seeing from making available manufacturing facilities for our existing customers? How much of success do we see? What is the ratio that you have right now? And how much of it will be visible in the coming 2 years going ahead? And what is the thought process on that? And the second is, can you explain the gross margin change Q-on-Q that has happened?

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And if any, is it driven largely by the product mix? If yes, can you please explain it?

Jonathan Hunt: Let's see those in reverse order now, I will give Sibaji a chance to talk about gross margins, they do bounce around a lot. So, which is why we tend to give commentary on where we see it strategically and on a full year basis. So, a week over week, month over month, quarter-over-quarter, you'll see quite some swings on a whole number of things. But full year picture usually makes most sense.

Sibaji Biswas: And I think, you are absolutely right. So, in quarter four, we had seen a big increase in material cost because the product mix changed. But on an average, as you can see, the material cost to revenue came to 27%, and we have been guiding 27% to 28%. So, what happened in quarter four, the mix definitely changed towards manufacturing. And that pushed up the material cost consumption in the business and hence the material cost as a percentage of revenue went up. But I also need to reflect on the accounting policy that w

e have on how we account for raw material cost.

Typically, when we kind of charge raw material to P&L, they are from the inventory, if they are inventorized raw material or they are consumables and consumables are not inventorized. So, consumables get charged on purchase. So, when we start commercial manufacturing, we do buy

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consumables for a longer period of time and not for one quarter. So effectively, what you would see in quarter four is the beginning of the commercial manufacturing and hence, consumables being charged to the P&L and the raw material cost would go up.

And that would again be different in the next quarter. But broadly speaking, depending on when consumables are basically, what it will move from quarter to quarter, but there is a definite 200 to 300 basis points shipped in material cost that you would observe because our mix has changed and that we have seen. Over the last few years, you have seen that gradually going up and 27% to 28% is what we are clearly seeing is broadly stabilizing unless it changes once again, depending on the kind of projects we are taking. Is that clear?

Cyndrella Carvalho: Yes. Yes. That's very helpful Sibaji. Thank you for that. And thanks, Jonathan. But Jonathan, coming back to my first question. How are we seeing the manufacturing viability either on the small molecules on the large molecules, what's the conversion ratio from our existing partners to move towards the full supply or the entire forward execution, what is the ratio today? And how do you see it changing or any examples that you can share, which you would have seen over last 2 years and it would help us overcoming for the year?

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Jonathan Hunt: I think I get it. But sadly, I don't think I've got the facts at my fingertips to sort of illustrate it. So, I'm going to talk about the strategy, and we're actually quite comfortable that the business is rebalancing. If you think about where Syngene was at the IPO, nearly all of the revenue would have been coming out of the Discovery Services as we talk about Discovery and Dedicated research.

And since then, we've not only grown there, that business is the research business now is bigger than the whole company was at IPO. So we've done well in progressing that. But at the same time, we forward integrated through the value chain. We're building a development business and the manufacturing one.

So, they work together. It's not an either all. And that really goes back to my comment about full serve being able to do the full journey with the client on the molecule at each stage. I'm optimistic about the outlook. I think we go into FY '24 with having seen a good year, one with good strategic progress in FY '23 and pretty good momentum. So better balanced with good momentum. On that, I'm not sure I've got the facts I'm prepared to break open on each individual part of the business.

Cyndrella Carvalho That's helpful. But just was trying to understand is like 10% of our consumers are moving ahead with us in terms of going ahead in the

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manufacturing side? Or is it right now where -- anything that you can share on that?

Jonathan Hunt: Yes. The reason I'm struggling to give you a number is it's just not a number we would measure in that way. It's almost not how I conceptualize it. At any given point, we've got 400, 450 plus active clients. But within them, they may have a basket of 10, 20, 30 different projects. You

are not tracking them to see which ones are definitely flowing through to which next stage.

Cyndrella Carvalho: I was trying to understand if any of our manufacturing projects, which are coming to us, are they coming to us from the -- like were they with us since discovery. That was the way of looking at it like I hope...

Jonathan Hunt: That was the last chance to defend the question. I think the best example we've got is that of Zoetis in the sense that we did work with them as an organization. I put that into my comments. We have had a relationship with them not for 11 months, but for 11 years, we started back in 2011, on the research, discovery, development side, and that relationship has grown from there. So, if you look at it less at the molecule level and think about it the firm-to-firm relationship, then I think you can get a much more comfortable picture of how those relationships grow over time.

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Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to Ms. Avantika Mishra for closing comments. Over to you.

Avantika Mishra: Thank you, everyone, for joining today's call. I hope we have answered your questions. If you have any further queries, please do get in touch with our team, and we will be happy to get back to you. Have a good day and thank you once again.

Moderator: Thank you. On behalf of Syngene International Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Syngene International's Q1 FY2024 Conference Call
July 27, 2023

Key Participants from Syngene International

■ Mr. Jonathan Hunt: Chief Executive Officer

■ Mr. Sibaji Biswas : Chief Financial Officer

■ Dr. Mahesh Bhalgat : Chief Operating Officer

Moderator: Ladies and gentlemen, good day, and welcome to first quarter ended June 2023 Financial Results Conference Call of Syngene International Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Avantika Mishra from EY. Thank you and

Avantika Mishra: Thank you, Neerav. Good afternoon, everyone. Thank you for joining us on this call to discuss Syngene's Q1 FY'24 financial and business performance. From the management's side, we have Mr. Jonathan Hunt, MD and Chief Executive Officer; Mr. Sibaji Biswas, Chief Financial Officer;

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and Dr. Mahesh Bhalgat, Chief Operating Officer. Post opening remarks from the management, we will open the line for Q&A, and we'll be happy to answer any questions you may have.

Before we begin, I would like to caution that comments made during this conference call today will contain certain forward-looking statements and must be viewed in relation to the risk pertaining to the business. The safe harbor clause indicated in the investor presentation also applies to this conference call. The replay of this call will be available for the next few days, and the transcript will be subsequently made available. With this, I now hand over the call to Mr. Jonathan Hunt. Thank you, and over to you, sir.

Jonathan Hunt: Thank you. Good afternoon, everybody. Thank you everybody for joining the call. I'll start by outlining the headline numbers then move on to the key operational and strategic highlights and then Sibaji will provide a more detailed insight into the financials in his remarks.

I am pleased to report a strong revenue performance in the first quarter. The performance was led by our development and manufacturing services divisions and was well supported by steady delivery from discovery services as well as the dedicated centers delivering to plan that

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puts us on track with our full year guidance that we gave at the start of the year.

So let me give you key headline numbers: Revenue from operations grew to Rs.808 crores, up 25% over the corresponding quarter last year.

Operating EBITDA was up 23% to Rs.212 crores. Profit after tax was up 26% over the corresponding quarter to Rs.93 crores. Sibaji will make more comments on the P&L.

So, the highlights I think for me were three important steps we took on

our strategic priorities. With the acquisition of additional biologics manufacturing capacity here in Bangalore, the regulatory approval by the FDA of the API manufacturing site in Mangalore, and the land acquisition in Hyderabad being the key events. So let me spend a moment on those.

As you know from a strategy perspective, we took the decision some years ago to forward integrate firstly into the development and then the manufacturing parts of the value chain. Initially, we did this on a smaller scale with clinical stage development and clinical

manufacturing of small molecules and then more recently we expanded this to include large molecules and then most recently some 2-3 years ago we took the decision to forward integrate a step further by entering into commercial scale manufacturing. This strategy of building on our leadership position

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in research services, the CRO part of the business, and add to that by building out both the Development and Manufacturing Services to become a leading CDMO. This gives us the ability to meet the full range of customer needs to deliver greater speed to market to customers and allows us to follow the molecule through its life cycle. It's a strategy we like as it matches the value chain of our customers and it's one that's well balanced and offers a good degree of synergy and resilience. And it's a strategy I think is seeing us both make progress and deliver results. As you know last year, we signed a 10-year contract to manufacture biologic with a long-standing client, Zoetis. This deal plus the contracts we have with a range of other clients has moved us very quickly to near to 100% occupancy of our existing biologics capacity and that triggered the decision to bring forward our expansion plans which we now addressed through the deal to acquire a multimodal biologics facility from Stelis that adds an additional 20,000 -liters of installed manufacturing capacity. It's got room for further expansion, and it also brings with it a high-speed fill-finish facility. This transaction brings forward and actually replaces our internal CAPEX plan and will give us the headroom we need for many, many more years of growth as a commercial scale biologics manufacturer.

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On the small molecule side of things, we hit an important enabling milestone in the quarter having received regulatory approval from the US FDA for the API facility Mangalore. With this approval in hand, we will continue the work to build scale of the small molecule part of our manufacturing business. As these Investments hit their stride in the years to come, we can expect manufacturing to play a more prominent role in the company and this gives us what we think of as a twin-engine business strategy into two growth drivers, the first engine research services is driven by Discovery Services and the Dedicated Centers, and the second engine is powered by our Development and Manufacturing services.

So having noted the rise in importance of Development and Manufacturing, it would be wrong to leave you with an impression that our Research Services are only less important. During the quarter we saw a solid business performance with decent growth. The growth rates in the market are back to more normal levels from the unusually high rates we saw last year. You'll recall I made comments to you throughout last year about the additional demand we were seeing as clients tried to

catch up on lost ground that they lost during the pandemic. We also took the decision to invest further in discovery services through the acquisition of 17 acres of land in Genome Valley in Hyderabad. Our first research center in Genome Valley was inaugurated in 2020 and over the

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last three years has grown to over 900 scientists. This acquisition will give us the space we need to continue this type of growth. Construction is scheduled to commence in 2024 but once we receive the necessary statutory clearances and approvals, I'll be in a better position to

guide on this next year.

The other noteworthy event in Discovery Services during the quarter was the opening of our new centralized compound management facility which will be the repository for all compounds discovered across the company.

Before I hand over to Sibaji, let me try and summarize. This quarter we made good progress on our strategy. The acquisition of additional biologics manufacturing capacity gives us headroom to keep growing two or three years quicker than our internal plan. The US FDA approval of the API facility in Mangalore gives us positive endorsement and removes a barrier to building that business in earnest. The acquisition of more land in Hyderabad gives us the space we need to continue building our Discovery Services business there and the quarter delivered good revenue growth led by a strong performance in Development and Manufacturing supported by decent Research Services growth and together this keeps us firmly on track to deliver our full year guidance. So enough from me. Let me hand over to Sibaji.

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Sibaji Biswas: Thank you Jonathan and good afternoon to everyone. Let me begin by discussing revenue performance followed by an overview of margins and profitability and then I will share the outlook for the remainder of the year. I will start with the key highlights of the first quarter performance.

Revenue from operations for the quarter came in at 25% growth, a strong performance. At constant exchange rate, revenue from operations was up 19% in line with the guidance given for the year. Looking at the various elements of growth, we saw growth in all four of our divisions, with the strongest performances in our Development Manufacturing businesses. Development Services is seeing steady demand, good repeat orders and has maintained the high levels of operational delivery we have talked about in the recent quarters.

Our Biologics manufacturing services business is stepping up production as we fulfil the contract we signed with Zoetis. Here, we had a positive quarter progressing well in delivering our contractual commitments. The Dedicated Centers delivered a steady performance and we also saw decent growth in Discovery Services which comes from the top of the higher base of last year as clients tried to catch up on grounds lost during the pandemic. So, summarizing the market and divisional trends, it's a solid start to the year and we are on track to achieve our guidance for the year.

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Turning now to the P&L, I'll start with EBITDA. EBITDA from operations grew by 23% in the constant currency growth in revenue. However , we experienced a 38% increase in raw material cost over the first quarter last year due to a shift in mix towards Development and Manufacturing Services which has high er material cost attached to it. Mater ial cost as a percentage of revenue for the quarter was at 27.6% which was in the range guided earlier. The staff cost rose by 16% in line with our increased head count and annual increments. Direct cost primarily comprising of power and utility expenses d eclined by 3% year -on-year. This favourable development was attributed to softening of utility input costs and an increase in green energy consumption compared to the previous year. Other operating costs grew by 24% year -on-year staying consistent with the run rate in the previous quarter. The year -on-year increase was mainly a result of increased expenditures on repairs, maintenance and facility costs which were incurred during the commissioning of new laboratories and installation of fresh equipm ent and infrastructure over the pa

st 12 months particularly in Hyderabad and Bangalore.

Furthermore, other operating investments including the expansion of the commercial team and the acceleration of digitization and automation across the business contribu ted to higher costs compared to the previous year.

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Hedge losses amounted to Rs.15.5 crores as compared to Rs.3.4 crores last year. This was influenced by an average spot rate of Rs.82.2 per US dollar and a hedge rate of Rs.80.3 per US dollar.

Depreciation for the period at Rs.102 crores and compared to Rs.86 crores in the same period last year. This increase of 18% on a year -on-year basis is mainly owing to new investments and lease accounting charges.

Earning s from operations before interest and tax increased from Rs.87 crores to Rs.110 crores registering a year -on-year growth of 27% above the constant currency growth of 19% and reported revenue growth of 25%. This positive development highlights effective oper ating leverage driven by the strong performance of the business and reflects the guidance given previously.

Interest income for the quarter increased from Rs.16 crores last year to Rs.24 crores in the current year with an increase in cash balance and impro vement of interest yields . Finance costs increased from Rs.9.4 crores to Rs.10.5 crores primarily due to the interest component in lease accounting.

Profit before tax increased 32% year -on-year. Profit after tax increased by 26% to Rs.93 crores compared to Rs.74 crores last year. The

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difference in growth rate represents the increased effective tax rate of around 24% in the first quarter this year as compared to 20.3% in the same quarter last year. This increase in the tax rate is due to some of our profit g enerating units coming out of the SEZ tax benefit during the year. Moving on to CAPEX, we recorded CAPEX of around US\$13 million during the quarter and another US\$30 million has already been released by projects underway across the businesses. This include s expansion in research services. Much of that will happen in Hyderabad, the purchase

of land for a new campus at Hyderabad Genome Valley, construction of a new multifunctional facility at Biocon Park, and investment in other development service capabilities.

Before we move on to the guidance for the remaining year, let me briefly touch upon the financial implications of the recently announced acquisition of the biologics manufacturing facility from Stelis Biopharma Limited. The companies have entered into a binding term sheet and on completion of the transaction, Syngene will acquire unit 3 of Stelis biopharma on a slump sale basis for a gross value of Rs.702 crores, translated in US\$ it's 86 million. We plan to invest another Rs.100 crores to repurpose and revalidate the facility.

This acquisition as mentioned by Jonathan effectively , replaces an internal CAPEX investment program planned for the next three years and

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will be fully funded through internal accruals and cash. The company will continue to maintain a strong balance sheet, a low debt profile, and a good safety margin for debt covenants even after paying for this acquisition.

Both the credit rating agencies, CRISIL and ICRA have reaffirmed their AA+ ratings for Syngene post the Stelis deal in acknowledgment of our ability to fund this acquisition through internal accruals without causing any undue stress to our balance sheet.

As we ramp up utilization, we expect asset turnover

to grow to 1x in less

than five years with EBITDA margin expected to be in line with the company average from the fiscal year 2029. The acquisition will not materially impact the financial guidance given for the current financial year. In the short term, we expect minor dilution of operating margins as a result of cost to be incurred in this facility and we expect this plant to start to contribute to the bottom line from the fiscal year 2027.

The FDA approval of the Mangalore plant is an important enabler to build a small molecule pipeline for commercial manufacturing. Business development for pharma manufacturing contracts involves a long gestation period with strong returns once the capability is proven and credibility is established. With this approval, we can offer clients the complete range of small molecule capabilities from all the sales

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discovery and development of clinical and commercial GMP manufacturing. The manufacturing portfolio is built up over a period of time and is expected to generate returns about the cost of capital over the period.

Now, coming to guidance, looking ahead, I would like to reiterate our full year guidance given earlier. While we are maintaining our guidance, we anticipate a shift in the mix of revenue growth compared to our initial projections. The growth profile is balanced with a stronger contribution from the Development and Manufacturing services. We retain our high - teen revenue growth guidance on a constant currency basis. We expect EBITDA margin to remain around 30% on a hedge basis, that is if the revenues are recognized at an average hedge rate of around Rs.81 for the year. If the realized spot rate is higher, the reported growth rate will be higher with consequent lower margins due to booking of hedge losses in our P&L, very similar to what we have seen in Q1.

Our operating EBIT growth is expected to be in line with the revenue growth. We project the effective tax rate to be between 23% and 24%,

marginally higher than what was previously estimated at 23% due to the change in business mix. Consequently, we anticipate PAT growth to be around mid-teens. While the effective tax rate is going up, we have a MAT credit of Rs.160 crores which we will utilize over the next few years ,

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and this will enable us to maintain cash outflow for income tax at the minimum tax level. With the Stelis acquisition , the biologic expansion CAPEX for the mammalian facility will be largely avoided . We expect the overall CAPEX spend for the year to be around US\$85 million against the initial guidance of US\$100 million , a net CAPEX avoidance of US\$15 million during the year.

To summarize, we had a good start for the year. We also made good progress in managing operating efficiencies and implementing some of our strategic initiatives to reaffirm the guidance for the year which was given in the last quarter.

With that, I conclude my remarks and invite any questions from the audience.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Tarang Agrawal from Old Bridge Capital. Please go ahead.

Tarang Agrawal: Just a couple of questions. One, does Librela's additional approval in U.S. anyway increase the potential for you to supply more product to Zoetis over and above the 500 -million engagement?

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Jonathan Hunt: No, we are in fact supplying to the U.S., that's what we're doing, that's what the deal was

as. Make sense? That's why the FDA approval of the Biologics site was one of the key enablers.

Tarang Agrawal: For this Stelis acquisition, what kind of regulatory approvals are we seeking and what is the timeline around that?

Jonathan Hunt: You have to split I think in two elements, but some of it's just the enabling stuff. So , we don't complete the deal, get the keys as it were until October, then we want to put some CAPEX in there, I think we said around 10 million effectively to convert it to a very nicely built facility that was built to make vaccines at scale but only to make one product to turn it into a biologics facility that can make multiple products. So , we've got to move some walls around and re -jig some things. Then we have to revalidate it because it's a GMP facility. So that's more of what we were talking about is those sort of enabling. Beyond that, you don't get the sort of product -based regulatory approval until a client gives you a product to manufacture and then that triggers it. So , you've always got two levels of regulatory approval... some are enabling and then some are individual product specific . The first ones I think we suggested would be done by the beginning of the next financial year. The second group is entirely dependent on clients. So , I couldn't guide you on that because it hasn't happened yet. Does that make sense?

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Tarang Agrawal: Yes, yes. In your interaction with your existing set of customers for

whom you would be involved in any part of phase -1 to phase -3, how are they responding to this, and is there something was it ?

Jonathan Hunt: No Not yet, I wouldn't expect them to. We haven't got the keys yet. I don't own the facility. I've merely entered into a binding contract to buy it at a later date. So , it's way too soon. I couldn't show it to a client even if I wanted to. Does that make sense? The reason I'm pushing back on the questions, I do want everybody to get, I just bought five to ten years' worth of growth capacity as it were. I bought a new site. That's the point. It's not a revenue making unit, it was designed to make COVID vaccines, it doesn't come with any revenue, it doesn't come with any product , nor is it intended to. If you wanted to interpret what we've done strategically, we have enough confidence in the demand for Biologic s CDMO that we've accelerated an internal growth program by three years by doing this. After that you can interpret that how you want. Does that make sense?

Tarang Agrawal: Yes, absolutely.

Jonathan Hunt: To me it's quite a positive step forward.

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Tarang Agrawal: The last question Sibaji, for the Mangalore API facility, are the fixed costs getting capitalized, or they're being routed through the P&L and what would be the figure for this?

Sibaji Biswas: Tarang, we have been routing all costs of Mangalore through the P&L. Mangalore to be very clear is not an idle facility, we are doing some small amount of manufacturing for the last few years. It was not FDA approved and it was not getting used for the kind of manufacturing we want to do in the medium to long term. So , all fixed cost and some of the direct costs like utilities going through the P&L and in the past I have kind of indicated , I think in the last call that it's like depending on which quarter you are talking, it's 100 -150 basis points dilution in the EBITDA margin, but it all depends on the top line, right, the cost is fixed, the top line is not, so it's your guess thereafter.

Moderator: Next question is from the line of Surya Patra from Phillip Capital. Please

go ahead.

Surya Patra: First question is on the Mangalore facility. So , if you can tell what is the kind of investment so far that we have made... what are the CAPEX of that Mangalore facility currently? And also, if you can share the CAPEX that you would have done so far in the Biologic s CDMO in the Bangalore site?

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Jonathan Hunt: It's all too precise. We'll try and help you as we can, but I think that question may have been asked on multiple occasions every quarter for the last six years. Sibaji, over to you to reprise the answer that we've given on a quarterly basis because nothing changes. I think every one of you has this number in your model.

Sibaji Biswas: Let me take the Mangalore question first. We have invested close to Rs.550 crores in Mangalore for the API manufacturing facility and that at today's exchange rate should be around \$65 million, I'm just converting at Rs.80 to Rs. 83, but the number is around close to 550 crores of CAPEX in Mangalore. On the biologics, we had told last quarter, we had invested around \$50 million and thereafter we haven't invested much, because we are preparing ourselves for buying out this facility. So the numbers that we had given in the last quarter still holds good. There's no incremental investment of significance in the current reported quarter.

Surya Patra: Wasn't this investment on the Mangalore facility was \$80, \$85 million because that is -?

Sibaji Biswas: Yes, as I said it's exchange thing, right. If you're dividing by 72, it will be close to 80, right, if you are dividing by 83, it will be much lower. So that's why I gave you the close number and not the US dollar and then converted it to US \$ at the current rate.

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Surya Patra: My second question in fact about the acquisition what you have done, the Stelis Biologics plant. It is an integrated site, really interesting to see within a vicinity of these things plant that is coming, so all that is fine.

What I wanted to understand is that you have indicated that the commercialization of this plant can happen during 2024, but the incremental contribution in terms of earnings that can come only in FY27 onwards. So, time gap between these two periods, so what is the kind of activities or the kind of approvals or what progress that we should be seeing so far as the specific plant or site is concerned?

Sibaji Biswas: Just to clarify what we said, any plant of that size and nature would have a fixed cost attached to it, right, and what we have said, it would give positive contribution from FY27 which means between FY25 and FY27 we will gradually grow our revenues, to lead to a positive contribution on the bottom line from FY27, that's what we said. In between, obviously, we believe that there will be some production which will gradually scale up and then that would lead to positive contribution from FY27 and PAT positive from FY29. This is exactly what we mentioned in press release as well.

Surya Patra: This facility is already having some regulatory clearances, may not be US but Emerging Markets as well as I think European approval, right. Is that

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right, and whether it will lead to kind of incremental business immediately after the acquisition, or no?

Jonathan Hunt: No I don't think so. It was built for the pandemic COVID -19 vaccine which it didn't make because the pandemic ended. Think of it as a Greenfield build as though we build it organically, but we didn't build

it organically,

we've acquired it in one step. So, it just brings forward the capacity availability by three years. From an analysts questioning point of view it just gives you three years to ask where is the revenue coming from?

From a strategy point of view, it just gives us the headroom for growth much sooner. And what we try to indicate in some of our comments, we've done well enough better than expected over the last 18 months, two years in our biologics CDMO business that we're currently in danger of running at a capacity. As we complete this acquisition and have lots of spare capacity to go into, but I wouldn't expect it all to be filled overnight.

Surya Patra: Since it is kind of a ready facility that we are achieving through this acquisition, may not be a kind of a greenfield kind of asset. So, here's the asset turn what you have indicated that 1x kind of asset turn that can be achieved within five-year time period. But is it fair to believe that is the peak potential or the peak potential is something different than the 1x asset turn?

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Jonathan Hunt: That's the potential of the installed capacity today, but it comes with a little bit of land, and if we wanted to put more CAPEX on, we could make it bigger, but as an approximation from an analyst sort of modeling perspective, if we started in FY25 and take three or five years you choose whether you're optimistic or conservative and plugged in a number that was on the time asset value, sometime in that you'd have a reasonable revenue glide path if you just did it linearly. I'm not sure I could give you any more precision than that, but I think that's quite helpful.

Moderator: Next question is from the line of Abhisar Jain from Monarch. Please go ahead.

Abhisar Jain: Just wanted to know from you that now with the FDA approval in place, what is the visibility that we have from our clients and from the prospective clients on the small molecule space manufacturing from this facility, and how would you now be expecting the ramp up from this to hunt over the next two to three years?

Jonathan Hunt: I think I covered that earlier which is that I'm not breaking it out with that level of granularity. So, it's an integrated manufacturing strategy.

You've got all of the assumptions you need for you to form your own view and we'll update you as and when we sign client contracts, but I'm not going to predict the rate at which they're going to come in.

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Abhisar Jain: But sir any timeline in terms of what utilization we can hit in the next three years because now the approval is in place and you had earlier indicated that once we have the approval, the client dialogues on the manufacturing and all those things can evolve and you will be able to better guide?

Jonathan Hunt: That's just the same question in a repackaged form, so I will give you the same answer.

Abhisar Jain: On the Biologics, we just wanted to know that what is the current capacity that Syngene has based on the 50 million CAPEX that we have done till now, what is the capacity that we currently have on which you have indicated that we are almost close to running on full capacity, so just wanted to understand what are we adding? And secondly, when we go for this future expansion of 20,000 -liters which is an option in the Stelis plant, what would be the CAPEX which would be required?

Jonathan Hunt: I think we've given you both of those in opening comments. So, it's an acquisition price of the plant is \$87 million and then we said we'd add up to another \$10 million of CAPEX in the coming months to transfer it.

S

o, you've got a total CAPEX number and then given a guidance we said in the next three to five years, we think we could do a one-time asset turn. So, we've actually given you an implied revenue number and you

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just have to choose whether you put it in three years, four years or five years.

Abhisar Jain: No sir, I was asking for the additional. I thought 12 million is just to repurpose for the 20,000 -liters existing.

Jonathan Hunt: Maybe go back and reset, because I think you asked what the revenue capacity of the 20,000 -liters is that's already installed and the answer is one time the asset turn, 87 plus up to 10 in three to five years.

Abhisar Jain: That's for the existing 20,000 -liters, right?

Jonathan Hunt: Correct.

Abhisar Jain: But for the future potential that is there for the expansion, which is mentioned in your release, I'm assuming that there'll be a further CAPEX other than the disclosed numbers.

Jonathan Hunt: I couldn't give you that because I've made no decision on when and if I'm triggering that further expansion. All the expansion beyond that in the unbuilt space that's at the side.

Abhisar Jain: Just the previous question on the existing capacity that Syngene had, based on the 50 million that we have done till now, what is that capacity?

Jonathan Hunt: I'm not sure we're going to disclose that on the basis that that's commercially sensitive when negotiating, but we've given you the

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revenue number. So, I'm not sure what you would do with knowing how many liters of capacity we've got.

Moderator: Next question is from the line of Shrikant from Asian Market Securities. Please go ahead.

Shrikant: Sibaji, I would have this question on the CDMO business. So, if I want to take out the Biologics CDMO business revenue for this quarter, what would have been the growth for the rest of the business in the constant currency terms?

Sibaji Biswas: Obviously, we are not breaking that up, otherwise I would have given that. Having said that, what we are saying is 19% overall growth in constant currency and 25% in reported currency. We are also saying the research business is growing with a different number attached to it, right. So, it's quite a different growth that we are seeing. But the Biologics is clearly leading the pack with a very, very strong growth year-on-year.

Shrikant: I'm just combining two more questions, that is related to Biologics. So just want to know on the current biotech funding environment which we are reading that there are some challenges in the small biotech funding, so do you see there was any impact on the CRO business services this quarter? And the second question will be now that we have acquired

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one large facility so how easy or difficult is it for you to hire right sort of people to fill in this facility or in fact you are also doing another center at Hyderabad, so how do you ensure that you get right kind of people to fill in those facilities?

Jonathan Hunt: The first one actually is I am really very happy to give you a comment, because I think you already know the answer and the capital markets understand it quite well. Zoom in and think about the last five years coming through the pandemic. We have seen a level of society's capital flow to healthcare particularly in the US and particularly in biotech that I think is a once in a lifetime high. We've seen an enormous amount of investment and underlying base which is some r

really good innovation

going on, new technologies coming through. On a global basis you have aging societies and ever-growing sort of demographics and drivers to consume more healthcare and for more society's wealth to go into it. So, if you're a bull on healthcare, you've brought very good fundamental demographic and scientific reasons for that. At the same time, the pandemic quite rightly closed large tracks of the world's economy and sent capital flying towards healthcare. What I also talked about all of last year with you on a much narrower lens on that which is services within CRO services. We saw not only good underlying demand, but also an

awful lot of catch-up as western clients, whether it be European or American wherever they are in the world, came out of the pandemic,

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went back to work, got back in their labs, they took a decision last year to try and catch up on lost time. The economics driver that's really clear, if you're in innovation-based science, you have got an asset that's patent protected and the patent has a clock, and the clock is winding down every day. So, if during the pandemic you felt you were going at half speed, then you want to try and catch up. So, we saw some pretty healthy above normal demand last year in CRO services, oddly enough, at the same time as we saw the capital markets closed to biotech funding and slowing down. Those two things are sort of working their way through. But it's not the whole market, it's just a sub-segment. US VC private equity funded, start-up biotech, good science is still getting funded but it's down off a peak, the peak was a once in a generation high. Does that give you a sense of it? Well, I think actually what we're seeing is a reversion to more normal demand levels which are value creating and sustaining.

Shrikant: Follow-up on that will be if there will be any impact of this current funding challenges on your business going in rest of the quarters of the year?

Jonathan Hunt: I think I've just answered that. Of course, there are impacts. There are some clients who are struggling to refund and refinance. So, they're going to struggle to spend money with us. There are others that have got

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financing and are thinking rather than try and refinance in the capital markets, can I make my money go further. One of the ways they can do that is shift their buying point from spending their money with CROs in the west and moving it to India, because we can do the same quality of science for a lower price. So, it's the net of those two, but I don't think that the biotech funding environment and I would love to hear your view, it's not closed forever, it's just a temporary slow down, funding around biotech has been cyclical around my entire career. What's your perspective? Do you expect biotech funding to never ever come back?

Shrikant: I think it messed up for a while and it will come back just that we have seen during the pandemic time.

Jonathan Hunt: You got the right thing too, so that means that any impact on our business is short-term and temporary, that's your view.

Shrikant: The other question I asked was about the hiring the right sort of people in your Biologics Manufacturing and the new R&D center in Hyderabad?

Jonathan Hunt: Pretty good, I mean one of the good things about India is that it's not short of people and talent and then I can't think of many places in the world where you get quite so many graduates, you've still got a societal predisposition for young Indians to go and study what in the west are increasingly considered to be difficult subjects like chemistry and biology

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and engineering and computer programming. So, you've got a large

young graduate workforce that comes out pretty well educated and in what are some of the tougher subjects in the world. So that's a good place to be. We are quite lucky I think partly within sort of Syngene but also within the broader Biocon group. I think we've got reputations in the Indian labour market within science as being an employer of choice. We hire some of the largest number of young graduates and laterals. So, from that point of view, I think we did pretty well in getting our unfair share of the talent that's available in India. And on the Biologics specifically, we're in pretty good place, we've already got a reasonable size organization with some very experienced people in it. So, I don't think we'll have a problem in staffing the Stelis facility once we take it over.

Moderator: Next question is from the line of Utsav Mehta from Edelweiss Asset Management. Please go ahead.

Utsav Mehta: First one, slightly long one, so apologies for that. If I strip out an approximate Zoetis number of around \$12.5 million, I think I'm getting a growth rate of around mid-single digits year-over-year in the non-Zoetis business. So, I just wanted to understand, is that a function of the sluggishness that you've alluded to in the previous question or is it just a supply side issue, in the sense that we're building infrastructure and

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that will come in over the next few quarters or is just a timing thing base effect or something like that?

Jonathan Hunt: I'm not sure that your backout calculation is accurate. So don't think that any comment I make is an endorsement that your maths are the same as what my internal spreadsheet says. But more than that from a strategic point of view, our strategy delivered 25% revenue growth in this quarter, that's the strategy. The strategy is not to run a business minus Zoetis, plus Zoetis, it's an integrated strategy becoming both CRO and CDMO. We made that clear five or six years ago and we're delivering on it and that's why I took the trouble in my prepared comments to go back and remind everybody. I think this is clear with our shareholders, they understand that the strategy is to be a fully integrated broad CRO to CDMO, research through to development and manufacturing. And that's the strength of the business. It gives you two engines, but it also gives you resilience. So, from that point of view, I wouldn't disaggregate 25% top line growth, because that was the strategy.

Utsav Mehta: I was just trying to get some flavor of the rest of the business sort of environment from that number. It wasn't to say that the rest of the business is not growing fast enough for us, that's all.

Jonathan Hunt: I know, maybe it's my use of English, I was too coded in my last answer. What I think you're seeing on the research side is fairly healthy demand

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in our kit, coming from an exuberant peak of last year, and the exuberance would have been good underlying demand plus a lot of catch up, and I think the catch-up is caught up. And if you read Charles River in the U.S., I'm trying to think Lonza, one or two other companies have had results already and their management has said very similar things which fundamentals are okay, but the extra peak of catching up last year is working its way through. If you are unusually exposed which we are not to just

the U.S. biotech sector, then you've got an extra dimension going on at the moment which is the funding environments a little bit lower than it has been. It's not zero, the mark that there are still good

businesses financing and getting new capital going to them. It's just not at the rate it was 18 months, two years ago. But 18 months, two years ago felt to me is like once in a decade high. So, I think again that's a bit of a normalization. Neither of those things change the fundamentals and you can look at that strategically. If I thought there was a fundamental shift going on, I probably wouldn't have invested in 17 acres of land to de-risk our growth for the next five and ten years in Hyderabad and I wouldn't be going along on manufacturing capacity with the biologics acquisition. So I think these are temporary things and they're all in the wash. Does that help? Is that the sort of strategic sense you're looking for in the question?

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Sibaji Biswas: I will add to that discussions because I think I really don't understand the calculation, but I think you are calling it a bit on the lower side. So, if I can separate it out Development and clinical manufacturing business in the small molecule which is not Zoetis, not Biologics, I'll not like to call out Zoetis separately but not Biologics, it's also showing the very strong growth. The research service business conserve two parts. One is Discovery Services, one is Dedicated Centers. The Dedicated Center obviously grows incrementally with whatever little expansion has, but generally flows to the extent we can take care of the inflationary adjustments that we need to do. But even the Discovery Services is going at a rate which is not as high as last year as Jonathan mentioned, but it's going at a rate which is nothing to be unhappy about. So obviously biologics is going very, very well and Zoetis is.... (call drop)

Utsav Mehta: Second question is just a data point guys. If you could just share the IRR or the hurdle rate that you guys are broadly using for your acquisition would be really useful?

Jonathan Hunt: That's not something any company disclose that partly because if I tell you, I've told everybody I'm ever going to negotiate within the future what my hurdle rate is and therefore it makes it something of an asymmetric negotiation. So, forgive me if we don't but we've got a pretty good discipline thinking around returns beyond the cost of capital over

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the lifetime of the asset which is at least what our shareholders and long-term investors would want to hear.

Moderator: Ladies and gentlemen, due to time constraint, that was the last question.

I now hand the conference to Ms. Avantika Mishra for closing comments.

Avantika Mishra: Thank you, everyone for joining today's call. We are sorry for the brief interruption in between. If you have any further queries, please do get in touch with our team and we will be happy to get back to you. Have a good day and thank you once again.

Moderator: On behalf of Syngene International, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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" Syngene International Limited
Q2 FY2024 Earnings Conference Call"

October 18, 2023

MANAGEMENT : MR. JONATHAN HUNT - CHIEF EXECUTIVE OFFICER –
SYNGENE INTERNATIONAL
MR. SIBAJI BISWAS - CHIEF FINANCIAL OFFICER –
SYNGENE INTERNATIONAL
DR. MAHESH BHALGAT - CHIEF OPERATING OFFICER –
SYNGENE INTERNATIONAL
MS. SURUCHI DAGA - SYNGENE INTERNATIONAL
Syngene International Limited
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Page 2 of 15 Moderator : Ladies and gentlemen, good day and welcome to Syngene International's second quarter, FY2024 Financial Results Conference Call. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Suruchi Daga from Syngene International. Thank you and over to you!

Suruchi Daga : Thank you Yashashri. Good afternoon everyone. Thank you for joining us on this call to discuss Syngene's Q2 FY2024 and H1 FY2024 financial and business performance. From the management side, we have Mr. Jonathan Hunt, MD and Chief Executive Officer; Mr. Sibaji Biswas, Chief Financial Officer and Dr. Mahesh Bhargat, Chief Operating Officer. Post opening remarks from the management, we will open the line for Q&A, and we will be happy to answer any questions you may have. Before we begin, I would like to caution that comments made during this conference call today may contain certain forward-looking statements and must be viewed in relation to the risks pertaining to the business. The Safe Harbor clause indicated in the investor presentation also applies to this conference call. The replay of this call will be available for the next few days and the transcript will be subsequently made available. With this, I now hand over the call to Mr. Jonathan Hunt. Thank you and over to you, Sir!

Jonathan Hunt : Thanks Suruchi and good afternoon to everybody. Thank you for joining us on today's call to review our second quarter and first half performance of the financial year. I will start my remarks with a quick overview of the key financials for the quarter before getting into some of the operational and strategic highlights. I will then share some thoughts on the first half of the year before handing over to Sibaji to give you more of the financial details and then of course we will be happy to open up for questions as usual.

Overall, the shape of the quarter was pretty much in line with expectations positive and strong performances across the divisions led by development and manufacturing services. Revenue from operations came in at 910 Crores that is up 18.5% reported that is 15% on constant currency basis. Operating EBITDA was up 17.4%, 254 Crores. Profit after tax before exceptional items was up 20% over the corresponding quarter last year to 122 Crores. You can see some operating leverage through the P&L the re. In line with our strategy and the focus on building up the development of manufacturing parts of the business we continue to add capabilities in our development services division. We commissioned a non GMP facility which added the capability to do early phase development projects and in what I think is an agile and cost-effective manner. In Syngene International Limited
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Page 3 of 15 manufacturing services, we made good progress in the quarter with our biologics manufacturing partnership was the latest and we also commissioned the state-of-the-art

digitally enabled quality control lab that will support our growing biologics operations. Looking at the research divisions which covers discovery services and dedicated centers, they

showed together sustained growth, in discovery services while the global demand has remained generally healthy, we did experience some softening in demand in the US based biotech segment as it adjusts to a new funding environment. However, if you look at new capital raising in the sector over the last two or three months, it has really started to come back to pre-pandemic levels and we expect that to normalize in due course. Overall sector fundamentals remain strong and we expect continued demand growth, but at a slightly reduced level in the second half of the year. Most of this will come in the next quarter so there is our guidance for thinking about your modeling with a strong return to growth in the fourth quarter again that is steady as we have seen in previous years for a very strong fourth quarter for us and quite a strong exit to the year. The short-term slowing in demands reflected in the updated guidance that we gave for the full year on revenue. We have adjusted our annual revenue guidance to mid teens year on year growth in constant currency from high teens that was previously announced. I will leave Sibaji to give you a bit more color on that if needed. It is important to note that these nuances really are limited to the smaller biotech companies in the US, the major pharma companies in Europe and the UK, and the large pharma companies in the US are well insulated from this funding dynamic and we continue to see positive demand from these clients. As you know pharmaceutical research is a long-term business so our planning is based on market growth that we see 3, 4, 5 years down the line and in that context none of our plans or our expectations have changed hence the purchase of the 17-acre land parcel in Genome Valley in Hyderabad that we announced last quarter. That is really about giving us headroom and space, literally space to grow for the next decade or so in Hyderabad. Although our roots lie in research services, in the last few years we have also focused on building up our development and manufacturing division. The CDMO part of the business and the long-term manufacturing contract OHS provided the platform to expand our biologics capacity and the proposed acquisition of a multi-modal facility from Stelis Biopharma would be part of that strategy. Looking at the first half of the year as a whole, our financial results have been robust, revenue growth of 22% reported that is about 17% on a constant currency basis and we have achieved some important milestones that I think are a key part of accelerating and delivering our strategy. As explained, we are expecting to see a little bit of a slower growth in research in the short term, but notwithstanding that the order book looks in pretty good shape and we remain cautiously positive as we head into the second half of the year. With that, let me hand over to Sibaji.

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Page 4 of 15 Sibaji Biswas : Thank you Jonathan and a good afternoon to everyone. I am pleased to share with you the strong financial performance of our company for the second quarter and the first half of the year.

Let me begin by discussing the second quarter performance and I will cover the first half and updated guidance before I close my commentary. In the second quarter we witnessed close to 18.5% growth in reported revenues from operation, which translates to around 15% of constant currency. This growth was predominantly driven by the development and manufacturing parts of our business with commercial manufacturing of biologics being the key contributor. The Zoetis contract has now reached the run rate of around 50 million US dollar per annum as previously guided and small molecule development services delivered steady growth driven by repeat orders from clients and strong growth in our clinical formulation

business. Our research businesses continue to perform well with the dedicated centers that we operate for BMS and Baxter maintaining steady growth. However, as Jonathan mentioned, discovery services experienced temporary softening of demand as companies adjust to the new biotech funding environment. I am sure that you will have seen this reported by others already. The industry fundamentals for the research business remains strong and there are already signs that the US biotech funding is getting back to more stable pre-pandemic levels, which should then bring back growth momentum in the research business over the next few quarters. The demand signals from the large and the medium buyer from the companies are encouraging, so we remain optimistic, although this arrangement generally takes a longer period to materialize. In the second half, we continue to invest in scientific capabilities and other enterprise projects and we expect our capex investments to run to plan. As usual we will pace this over the coming quarters with the pace of execution being determined by the demand environment. Internal cash flows remain strong and all investments are expected to be funded from internal accrual so we will have

limited need to resort to external credit. Now moving to profit ability metrics, EBITDA from operations grew at 17.4% surpassing the constant currency revenue growth rate. Operating profit, which is EBIT also showed strong growth at 18.4% reflecting the impact of operating leverage on the back of improved capacity utilization in our development and manufacturing businesses.

Let me now turn to some of the cost lines. I will explain the key changes and trends we saw in the quarter. The cost of raw materials increased by 34% year on year, primarily reflecting the shift of business mix towards development and manufacturing services, which by nature have a higher material cost component. While the cost of raw materials was at 29% of revenues for the second quarter we expect this to stabilize around 27 to 28% of revenues for the full year. Staff cost rose by 10.4%, tracking the increased head counts as well as the impact of annual increment cycle. Although it is worth noting that it is a lower percentage

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Page 5 of 15 of revenue at 26.5% compared to 28.4% in the previous year. This is driven by the shift towards manufacturing, which is less people intensive business. Direct costs, primarily power and utility expenses showed a decline of 4% year on year. This favorable trend reflects reduced utility input cost and an increase in captive green energy consumption compared to the previous year. At present, 81% of our total energy consumption is from renewable sources, an increase from the 77% last year. Other operating costs grew by 18% year on year, which is similar to the trend that we saw in the last quarter. As before, this increase primarily stemmed from increasing spend on the upkeep of our facilities which have expanded with new laboratory spaces and installation of new equipment and infrastructure. Furthermore, other operating investments, especially the recruitment of commercial and scientific teams located outside India closer to our clients have contributed to higher costs compared to the previous year. The hedge loss for the quarter came in at Rs.18 Crores compared to Rs.19 Crores in the same period last year. Spot rate averaged around Rs.82.7 per US dollar during the quarter against our hedge rate of 81.3 for the quarter. Overall operating EBITDA margins remain at similar levels in the second quarter at 27.9% of revenue compared to 28.2% in the previous year. Depreciation charges increased by 16% year on year, driven primarily by asset additions across business divisions and rent from new leases entered during the period. The new lease include are non GMP facility which adds

much capability to deliver early phase development projects in an agile and cost-effective environment. Operating EBIT margins for the quarter remain flat at 16.4% compared to the previous year. Finance costs increased from Rs. 11.7 Crores to 13 Crores mainly due to the increase in interest component on lease rentals. Other income increased by 40% year on year due to higher cash balances and improved interest yield.

Turning now to tax, our effective tax rate remains stable at a approximately 23%. Our profit after tax growth before exceptional items was around 20%. However, during the quarter, we had an exceptional item of Rs.5.3 Crores net of tax and this is attributable to the transaction costs relating to the acquisition of the bio-pharma manufacturing facility from Stelis. PAT after exceptional items grew at 14.4%.

Turning now to the performance in the first half, reported revenue from operations grew at 22%, 17% at constant currency primarily driven by development and manufacturing services. Operating EBITDA grew at 20% while operating profit in other words EBIT grew at 22%. The trend in expenses in the first half broadly mirrors that of the second quarter. The cost of raw materials increased 36% due to shift in mix towards development and manufacturing services. As mentioned earlier, the raw material cost will stabilize around 27-28% for the full year. Operating EBIT margins are maintained at 15% almost in line with the first half of the previous year. Other income increased by 46% attributing to higher cash balance and improved interest yields. On the other side of the equation increased

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Page 6 of 15 finance costs also reflect higher interest rates. Overall, we had a very good first half of the year with profit after tax before exceptional items growing at 23% year on year and profit after tax after exceptional items growing at 19% year on year. We have invested around \$30 million in capex in the first half of the year. Around 60% of that directed towards adding new capabilities and capacities in the research business. Capex in discovery services was mainly in Hyderabad while we opened an automated compound management facility and a DMPK biology lab for integrated small molecule study. Hyderabad now houses close to 40% of the scientists in discovery services making it a sizable operating footprint with further plans for capacity expansion. The rest of the capex was largely invested in development and manufacturing services, which includes support infrastructure such as

quality control and testing laboratory for the biologics manufacturing business and additional capabilities for the small molecule business. Now moving on to the revised guidance for the year. As you have seen the first half revenue performance was in line with the guidance, the sector fundamental remains strong, we expect continued demand growth but at a reduced level in the second half of the year and most of this will be reflected in the next quarter with a relatively strong recovery expected in the fourth quarter. The biologics manufacturing for Zoetis is on track and will continue to deliver strong revenues. However, please note that we started to build up revenue from the contract from the second half of the last year. So the year-on-year growth will be modest compared to what we have experienced in the first half of the year. This is built into the revised guidance. In the small molecule business, several ongoing projects are scheduled to complete in the fourth quarter so we expect lower growth in the third quarter and a strong fourth quarter, which typically is our highest in a year. Putting these factors together will result in mid teen revenue growth for the full year at constant currency, which equates to high teens growth for the full year on a reported basis.

Overall, we see the current demand growth situation from US biotech as short-term and expect it to stabilize as the biotech funding environment normalizes, signs of which are already visible. The demand situation from other client segments continue to be normal so we remain cautiously positive in the second half of the year. Moving on to the capex guidance against the revised capex guidance of 85 million that we indicated in the first quarter call, we now believe we will execute close to US dollar 80 million of capex this year and the balance will be carried over to the next year. \$30 million has been executed in the first half another 20 million has already been committed for execution. Out of the total 80 million more than 50% will be invested in research business, around 5 million towards upgrading the multimodal facility being acquired from Stelis and the remaining capex will go for small molecule development and manufacturing service businesses and other enterprise initiatives. The acquisition of the Stelis facility is in progress and both parties are working towards fulfilling all closing conditions. We will update you on this once we close the date. To summarize, we had a productive half year making progress in implementing Syngene International Limited
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Page 7 of 15 strategic initiatives while delivering operating efficiencies. We believe we are well positioned to navigate through the temporary US biotech funding challenges and we will continue to invest in building capabilities and capacity for growth in the future. With this, I conclude my remarks and will now take your questions. Thank you.

Moderator : Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Tarang Agrawal from Old Bridge Asset Management. Please ahead.

Tarang Agrawal : Hi, good afternoon. Three questions from my side. One because of the IRA right, there is an implication that perhaps it would result in transitioning of investments from out of small molecule developments towards large molecule developments because of the stipulations laid out in the IRA. Are you seeing any signs of that happening in your interaction with the customers so that is one? Second in terms of your large molecule outsourcing business, are there any developments that you are seeing other than Zoetis contract and third given that we have already received the approval for the Mangalore API facility, if you could comment on the ramp up of that business, say in FY2025 and 2026 and last fourth a small bookkeeping one, you said \$80 million of capex guidance for FY2024. I would believe this is organic capex, Stelis acquisition will be over and above if you could clarify on that?
Thanks.

Jonathan Hunt : Yes the last one is a yes. Your supposition is correct on the last one. I will talk around some of the others, the IRA had to be inflation reduction that is quite an interesting question. The really easy answer to your question is no, we have seen no impact whatsoever, but I am not sure that is particularly informative. I would expect this to play out over the next 5, 10, 20 years to go to the other end of it. If it has implications for the research strategies of major bio-pharma companies, the decisions they make today would be about where they invest their front edge of their science. That is 3, 4 years in discovery, 4, 5 years in development before you even get a product. So you are effectively asking questions that are predicated if there was a decision that you would make differently today at the very front end of the R&D process. When would we see that play out and it is a 10-year discovery development cycle so no, there is nothing immediate happened in the last two to three quarters since the legislation became visible. The other bit is just around scientific technological risk. The challenge of finding

a molecule in a target that works, that produces a drug I think dwarfs the selection of is it a small molecule or a large molecule. If you look at the success rates

that we all understand in drug discovery the choice is not always there between well let us have a large molecule version of that same thing. So I think it is almost a false narrative to think that will be the choice between them, that said what it will do or make people think around speed to market, how many things traditionally that they would have done in the Syngene International Limited
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Page 8 of 15 discovery development phase sequentially and will they want to do them in parallel so it might increase the amount of investment at any given decision stage for our clients and then I am going to pull it back into a net implication for us. We offer world class science to FDA, EMEA, global standards. We do it with speed that is equivalent to our clients and in sometimes quicker and we do that with an operating cost arbitrage low as the expense so if they were going to try and do more things in parallel and they wanted to do it quickly, I can see it being advantageous that scientific footprint continuing the trend we already see of moving to places like India and companies like Syngene, but on the immediate premise of your question, have I seen anything in the last 12 weeks, no I think it is way too early. It will play out over years. Let me just pause there and see if that answer helped.

Tarang Agrawal : Yes, it did.

Jonathan Hunt : Having been helpful on the first question, I am going to duck giving you specific product level guidance on either of the other two questions which are really the same one which is what is the outlook for our manufacturing businesses? Same thing as I would have said last quarter and the quarter before that. We are out there. We are connecting with clients. We continue to see a step up actually in the number of meetings that we have with clients. We are seeing a healthy environment around client inquiries, but I actually do not have anything to tell you because if I did I would have put it in the press release earlier today, but our enthusiasm for being a CDMO business as well as a CRO business has not changed at all. I still think the capital we are deploying for shareholders is the right thing to do to create long term value.

Tarang Agrawal : I was just thinking given the interest rate environment in the West and while I understand that it emerges as a short term risk in terms of the funding drying up but purely from a medium to long term perspective given that capital is going to be more expensive does it therefore not increase the requirement of businesses like ours because creating an infrastructure or for that matter of fact getting the drug faster to market will be even more important than what it was before and in that sense from a medium to long term perspective it works for us.

Jonathan Hunt : I mean if you just reverse the economics in your question if capital is harder to get, more expensive you may well only get a smaller amount of investment in which case you have to work hard to make it go further and one of the ways you can make any given dollar go further is to spend it wisely and if you can get equivalent science, equivalent service, world class regulatory compliance for a lower dollar amount, which is essentially what companies like Syngene offer their clients in comparison to doing the work themselves in the West or using Western service providers and it sharpens the value proposition we have and that Syngene International Limited
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Page 9 of 15 would not be lost on our customers nor would it be lost on our sales people. Those are the sort of conversations we are having every day.

Tarang Agrawal : Thank you. All the best.

Moderator : Thank you. We have our next question from the line of Harith

Ahamed from Avendus
Spark. Please go ahead.

Harith Ahmed : I was checking if there is an update on your margin guidance for the year you had previously guided for 30% EBITDA margin for FY2024.

Jonathan Hunt : I still think it will be around 30% so there is no change in the guidance. The only thing we commented on earlier today in sort of the press release and various media interactions and in Sibaji's remarks is high teens, constant currency revenue growth becoming mid teens by the way I still think that a gain share outgrowing our market sector, outgrowing most of our competitors type performance. So looks pretty good. On the EBITDA margin I think we said around 30% was the phrase we used at the beginning of the year. I continue to think that everything indicates around 30% is the right guidance for the full year.

Sibaji Biswas : Our hedge is around 81 to 81.5 in that range and I would like to remind everybody the 30% or around 30% guidance was given for the revenue translated at the hedge rate so you can work out your arithmetic or the guidance for margins still holds and the hedge rate as I said is between 81 to 81.5.

Jonathan Hunt : Actually, if you triangulate in to it I am sure for the analysis on the call that calculators will be running through this already. If we expect around 30% of the full year and our average

EBITDA margin rate for the first half, Sibaji I am looking at you was how many.

Sibaji Biswas : First half was around 28%.

Jonathan Hunt : Okay so if the first half was around 28% then we are going to do around 30% for the full year, one of the implications you can triangulate into is that second-half EBITDA margins will be higher than first half.

Harith Ahamed : Okay understood. Sibaji I also noticed that there is a sharp reduction in working capital by almost 20 days versus March and especially the debtor days has come down so trying to understand what has led to this.

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Page 10 of 15 Sibaji Biswas : Actually we are running a very focused program on working capital improvement and that is on receivables, inventory, payables so all are improving. Of course you must have also noticed a marked improvement in the receivables as well and typically that is the arithmetic because Q4 is the highest quarter for us and the receivables is calculated as number of days right of billing so compared to that there is also some benefit which is coming, on the receivable line. But if you take that out overall, you will see improvement in all the lines of working capital and it is coming out of a structured program that we are running. If you recall during the pandemic, we built up a lot of inventory to kind of de-risk our business and as we have settled that down post pandemic we are optimizing inventory across the business, although in absolute terms inventory will still go up as our business move towards development and manufacturing, but in terms of proportion of the billing we are continuously optimizing that and you will see that going forward as well.

Harith Ahamed : Last one, with your permission. Stelis facility acquisition can you share the timeline for closing the transaction and the additional capex which is around 100 Crores the timeline for spending that and once you close the acquisition will there be expenses sitting at P&L from the facility or will you be capitalizing the expenses that you are incurring there.

Jonathan Hunt : With the rate we are progressing, I would expect to close in this quarter, but it is not running to a timetable, it is running to a checklist if that makes sense. So there are a number of things that need to be completed closing items that need to be done and that is what will govern the closing of that deal. So it is not to a clock. It is to a checklist, but I would expect us to get through that in the quarter. On the accounting and the financials

Sibaji.

Sibaji Biswas : As you might remember the cost of the acquisition was around 700 Crores, a little bit more than 700 Crores and we said we will spend close to 100 Crores modernizing that facility. 50% of that is actually built into the capex guidance we gave because we consider that as organic capex. So you can take anywhere between \$5 to \$7 million is built into the 80 million capex that we are giving and rest is for our own facilities that we will be incurring.

Harith Ahamed : On the cost or the costs that are coming through or you are incurring or that be incurring at the facility, will it come through the P&L or will you be capitalizing it on the closer transaction.

Sibaji Biswas : Are you talking about the cost of transaction like due diligence in investment banking.

Harith Ahamed : The operational expenses at the facility.

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Page 11 of 15 Sibaji Biswas : Okay the operational expenses from the date of acquisition till the date of commissioning and starting operation will be capitalized.

Harith Ahamed : Okay that is very helpful. Thanks for taking my questions.

Moderator : Thank you. We have our next question from the line of Sudarshan Padmanabhan from JM Financial Services. Please go ahead.

Sudarshan : Thank you for taking my question. Sir my question is to understand what is really driving the near-term slowdown in the biotech spending as you said. As I understand that there is cost of capital that has increased very sharply and broad outlook remains that interest rates would remain high for long. In this scenario smaller biotech companies I would assume will largely be affected more as compared to well capitalized larger names. In this context, do we have the versatility to shift the business from say smaller companies in case the slowdown prolonged to larger names and also you look at ramping up the manufacturing a little bit faster in case this related issues continue.

Jonathan Hunt : Super, your question is better than my answer. I think you described all of the elements of it. That is sort of what we were trying to get to in some of the comments earlier and some of the media interviews. We are a broad-based business with a 450 plus active clients. They cover from I think the very largest pharmaceutical company in the world to the smallest newest biotech startup. I have actually met one client where it was a single person entity. They were the chief executive and receptionist all-in-one so we span the whole range. It is not a case really of moving from one to another because we have always engaged with both

whether it is big pharma, big biotech, medium sized or startups that is one of the advantages. I think the productive capability and our strategy is we have got the ability to go with all size of clients from discovery through to development through to manufacturing but I think your implications are right. If I take bits out of your question, large pharma, large biotech those companies are not dependent on the VC environment for funding their super well capitalized, massively cash generative, some of the biggest corporate entities in the world, so for them it is not an issue in their decision making. They are more likely to be looking at their long-term distribution of where they do the research, where can they tap into talent.

Sudarshan : You were saying that smaller companies depend more on VC, the larger companies are well capitalized, but the versatility of the business would play in your favor?

Jonathan Hunt : Yes actually it is good. So that was one of my key points. The other bit I was just going to say is if you go back pre pandemic, I think that the US biotech sub segment was seen to be

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Page 12 of 15 healthy, dynamic, well funded and a good thing for investors, biotech companies and services business

essence we then as we went into the pandemic had a couple of factors. One was financial macroeconomic which was interest rates were soon below almost to the point of being negative. So capital was in search of places to be deployed and we had a global existential threat to the whole world in a pandemic and we saw a lot of money possibly for me if I look at it certainly a generational high, maybe a lifetime high of capital going into new funding of biotech around the world and particularly in the US. As we have come out of the pandemic, we had a very busy year in the first 12 months after the pandemic as the world tried to catch up. Some of the growth rates you saw in our business and in other businesses last year would indicate that, but simultaneously, we also saw the capital starting to move back into all of the other sectors of the economy. Think about it during the pandemic there were a whole industry groups that were not getting funded because they were on furlough or people were closed up. So as the capital was redeployed it of course meant relative to an all-time peak at much low base. There are a number of investment banks track this and report. I would point you to any number of them report on this but the data I have seen over the years and certainly over the last three months suggests that US biotech funding is now stabilizing. It is starting to settle back and the level it is settling back looks very similar to the levels it was pre pandemic. So a new normal but the normal looks very much like the pre-pandemic normal. So what I may think we have is a timing issue between raising new capital, hiring people, restarting your programs and spending it in the market with people like us and it is going to take us one or two quarters to work through there. But we will have to watch it. We will have to watch it through the quarter but we are not the first company to comment on this. I would say we are amongst the last actually to have any impact on their business. If I read CRO's around the world, particularly those that are publicly listed because they are more likely to make a quarterly comment. We are a couple of quarters into people making exactly the comments I have made today. Does that help so it gives you a beginning, a middle, and an end, and a sense of the temporal nature of this.

Sudarshan : Yes definitely. So it looks like it is probably one or two quarter phenomena and probably all your investments will pay dividends probably say once this issues are reallocated and you are able to reallocate.

Jonathan Hunt : I mean, put it another way. When we deploy shareholders capital into things like buying land in Hyderabad we are taking a 20, 30-year return and value creation view and a belief that we will create value beyond our cost of capital over decades. We are not looking at it over weeks and months.

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Page 13 of 15 Sudarshan : Sure Sir the next question from my side before I join the queue is see if I take the last five years and even post you coming into Syngene there has been a lot of investments not only in the capacity on the capability side. Now typically when you work with your clients on the research, I mean one is you get the quantity of orders. I mean there will be a lot of low hanging fruits, which MNC company are innovative would like to give. The second is the quality of project where there are certain complexity involved probably projects with higher success rate which unless you demonstrate your capabilities your clients would be hesitant to give, in your experience say over the last five years have you seen the quality of the projects moving up and with the current investment do you see the quality of the projects moving up further and also help the return ratios on the profile margin preferable.

Jonathan Hunt : Yes, to the first one, definitely. I mean that is

essentially our long-term strategy is to move from efficiently doing simple things really well to where we are today, where I think we are in many ways at an equivalent level of sophistication, scientific innovation, and complexity to any of our clients. We no longer sit around the sort of boardroom table or in the labs with our clients is anything other than scientific partners and equals and that is the intention, many of them and if you look at some of the smaller companies would look to Syngene and say eight and half days in people, six and half days in scientists coming on for 30 years of experience. They are actually looking to us for insight and advice based on our experience rather than to instruct us and hope that we can follow instructions. So it has changed dramatically in parenthesis that is not unusual in services business and I am India is world leader in IT services and there is a 30-year journey that looks very, very similar there of starting out, doing simple work, and following western clients instructions to now maybe setting the technological boundaries of what is possible. Hopefully, that makes sense.

Sudarshan : Sure and some more qualitative commentary on the kind of capabilities that you are building I mean through the capex.

Jonathan Hunt : In which aspect of the business, I mean there is so many. If you take for example this SynVent model that we have got. It is a particular type of service offering where we will fully integrate all aspects of drug discovery and effectively that us becoming our client as it were indistinguishable from them in process approach. The ability to do not only the chemistry and the biology, but then to synthesize and integrate them and get that through to decision making point. It is a simple way of looking it. There is a difference between being on the bus and driving the bus and in something like the SynVent model, we are actually driving the projects for the client.

Sibaji Biswas : And to do that do that we work across therapies so in a very versatile manner, but may I request questions to be limited to one or two because I am sure there is a queue.

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Page 14 of 15 Sudarshan : I will join back the queue thanks a lot.

Moderator : Thank you. We have our next question from the line of Dheeresh from Whiteoak. Please go ahead.

Dheeresh : Yes thank you for the opportunity. I have two questions. First question is if you can share what percentage of our let us say, last year's full year revenue we got from small biotech firms that will be question number one. It seems in the gross margin there seems to be some one off this quarter. So is there a one off this quarter because even assuming a certain mix of manufacturing versus discovery, the margins seem to be subdued?

Jonathan Hunt : Okay Sibaji I will get that one to you. The question is are we subdued in our gross margins. While you are thinking about that, I will do the first one on small biotech. We do not normally disclose it, but to give you a sense of it, I would guess about 15% or so of our revenue would come from at a total firm level would come from US biotech segment.

Dheeresh : Okay thank you 15 you said right.

Sibaji Biswas : On the gross margin, first let me clarify, There is no one off it is a function of the mix and even within CDMO part of our business raw material as a percentage of revenue in small molecule and large molecules, which is biologics are different in a quarter while you have high biologic revenue in the overall revenues you will see a move towards higher raw material cost. In a quarter where you have small molecule in CDMO you will have slightly lower raw material costs. So it is all in the mix. There is no one off I can communicate that. In fact I guess you are also taking utility and power in the direct cost that has gone down and that has gone down quite sharply

reply because of the multiple agreements that we have entered for green power which also comes at a better rate for us so it is a mixture of all those things but no one of such.

Dheeresh : Thank you, One last question in Mangalore API have you given any utilization guidelines for FY2025 of 2026 at least we guide path in terms of when do you plan to fully utilize it?

Jonathan Hunt : No, we have not but it is a gift so that I can preempt the other questions. It will be the same line of that. We roll up all of our guidance into the annual revenue and margin guidance.

We do not give breakups and plant level and machine level and line level operating and utilization guidance. It is progressing in line with our broad strategic direction. I am quite happy actually with the progress we are making in development and manufacturing. We said we would start to rebalance the shape of the business. We thought it was more evenly

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Page 15 of 15 balanced between the CRO side and the development manufacturing and that is exactly what is happening.

Dheeresh : Thank you for taking my questions.

Moderator : Thank you. Ladies and gentlemen, that was the last question for today. I now hand the

conference over to Ms. Suruchi Daga from Syngene International for closing comments.

Suruchi Daga : Thank you everyone for joining today's call. If you have any further queries, please do get in touch with our team and we will be happy to get back to you. Have a good day and thank you once again.

Moderator: Thank you. On behalf of Syngene International Limited, that co ncludes this conference.

Thank you for joining us and you m ay not disconn ect your lines.

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"Syngene International Limited
Q3 and 9 Month FY 2024 Results Conference Call"
January 25, 2024

MANAGEMENT : MR. JONATHAN HUNT – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – SYNGENE
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MR. SIBAJI BISWA S – CHIEF FINANCIAL OFFICER –
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– SYNGENE INTERNATIONAL LIMITED
MS. SURUCHI DAGA – SYNGENE INTERNATIONAL
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Syngene International's Third Quarter ended December 2023 Financial Results Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Suruchi Daga from Syngene International. Thank you, and over to you, ma'am.

Suruchi Daga : Thank you, Dr. Orwin, and good evening, everyone. Thank you for joining us on this call to discuss Syngene's Q3 FY 2024 and 9 month FY 2024 financial and business performance.

From the management side, we have Mr. Jonathan Hunt, Managing Director and Chief Executive Officer; Mr. Sibaji Biswas, Chief Financial Officer; and Dr. Mahesh Bhalgat, Chief Operating Officer. Post opening remarks from the management, we will open the line for Q&A, and we will be happy to answer any questions you may have.

Before we begin, I would like to caution that comments made during this conference call today will contain certain forward-looking statements and must be viewed in relation to the risks pertaining to the business. The safe harbour clause indicated in the investor presentation also applies to this conference call. The replay of this call will be available for the next few days, and the transcript will be subsequently made available.

With this, I now hand over the call to Mr. Jonathan Hunt. Thank you, and over to you, sir.

Jonathan Hunt: Thank you. Good afternoon. Thank you, everybody, for joining today's call. As always, my remarks will cover an overview of the key financials for the quarter before getting into operational and strategic highlights. I will share some thoughts on current industry dynamics before handing over to Sibaji to go into more detail. And then, of course, we'll be happy to take any questions that you've got.

So overall, the shape of the quarter was pretty much in line with the expectations that we had, and I think the comments that I made last quarter. As indicated last time, we expected the quarter to deliver growth, but at a softer level when compared to previous growth rates. And I think that actually reflects the impact the industry is seeing from the reduction in funding flows into the U.S. biotech segment, which in turn, that's feeding through into our biotech clients near-term spending behaviours.

Trends outside of biotech, so big pharma, animal health, big biotech, other regions of the world other than the U.S. are much less affected. And as I look across the global industry and at our peer groups, you can see these patterns are pretty widely reported. And I think that sort of suggests they're well understood and in many ways, already baked into everybody's

expectations and understandings.

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Now for the quarter, we delivered 9% revenue growth in the course from operations. Slowdown in the U.S. biotech funding did impact Discovery Services. Aside from that, the company delivered good performance in our dedicated centres, Development and Manufacturing Services. So, the benefits of our broad operating spend and the investments we've made over the years building our divisions outside of Discovery Services is really giving us some resilience there.

Now let me turn to the financials. Revenue from operations came in at INR854 crores, it's up 9% year-on-year. I take the currency out, that's about 7% growth on a constant currency basis. Operating EBITDA was almost flat, that came in at INR232 crores, and profit after tax before exceptional items was up around 4% over the cor

responding quarter last year, that's INR115 crores.

So, looking at performance over the first 9 months of the year, revenue from ops grew 17%. PAT before the exceptional item was up 16%. That shows pretty good growth through the year so far, but front loaded, which is what we've talked about at the midyear. To give you some broader industry context, let me go back to the fundamentals. If you were to plot the funding that's gone into venture capital backed biotech over the last decade, it's evident that we see a long-term growth trend, and then with a real spike as we went through the pandemic. What looks to be happening over the last 12 months is a reversion back to that long-term trend. It's finding a new stable level, and I think that returns is back to a sustained upwards trajectory. In many ways, we're back in 2019 or 2020 at a time in which we all considered a pretty healthy one for biotech and for the industry.

But with that gap in funding that reflects the change from peak to mean, and I believe that gap will work its way through the systems, biotech is starting to access funding again and they in turn will then start to place project and Discovery Services with companies like us to take those molecules through to the next stage.

Typically, you'd expect a lag of a few quarters between funding inflows into biotech and funding -- flow of that funding into new project commissioning within our industry. Hence, we expect a little bit slower growth coming out of the U.S. biotech segment for 1, 2, maybe 3 more quarters before it annualizes out.

At the same time, I am encouraged by some of the signals in the market. Large and mid-sized pharma segment continue to deliver sustained growth in demand for outsourced research, development and manufacturing. This trend from big pharma, coupled with an uptick that we saw in request for proposals or RFPs for research services from the biotech segment during the third quarter suggests we might be at the beginning of a recovery mode, although I'm going to be much better placed to comment on that at the end of this quarter when we get to the full year results.

In the meantime, we're seeing some interesting structural dynamics. Those companies that have funding are increasingly searching for best value. There's a bit of an element of price sensitivity going on. That's a good scenario for companies like ours, given our relative

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operating cost advantage, particularly in Discovery Services, where labour cost is a higher percentage of the total cost to deliver a service.

There's another segment in the industry made up of large and medium-sized bio and pharma companies which just aren't reliant on venture funding. And they're looking for supply chain resilience. I think one of the big learnings coming out of the pandemic was think very carefully about how your supply chain are structured. And we've all got used to talking about that as the China Plus One trend. This is a medium- to long-term trend. I think India is well positioned to benefit from it, and as a leading provider in our marketplace, we're pretty well positioned to benefit from that.

So, looking ahead, we expect the fourth quarter performance for Syngene to be better than this quarter. That's a sequential comment. Given the slower growth in the third quarter, we believe mid-teens revenue growth guidance is more likely to come in now at double digit for the full year.

So, moving to some of the operational updates. In Manufacturing Services, we concluded the acquisition of the Stelis Biopharma facility announced in July '23. The facility will significantly increase our biologics manufacturing capacity to pretty much double the current installed capacity. But we've got to complete the revalidation and the upgrading of that facility and that will be the priority during the calendar

year ahead.

The quarter saw good operational delivery within biologics, particularly in our manufacturing partnership with Zoetis. And in Discovery Services, we added Assay Biology to our operations in Hyderabad. We completed the DMPK and Compound Management activities that are located there and we continue to expand our service offerings from Hyderabad.

So let me conclude my remarks by reiterating that we're continuing to execute on our strategy. Next quarter is likely to be better than this one. The longer-term indicators for health care look positive, and we've got good reasons to remain optimistic, and I think stay the course strategically.

With that, let me hand over to Sibaji to talk a little bit more about the financials.

Sibaji Biswas : Thank you, Jonathan, and good afternoon, everyone. As Jonathan highlighted, while we like others are currently navigating a period of demand adjustment in Discovery Services due to shifts in the biotech funding landscape, we believe that general industry conditions remain positive. The biotech funding is beginning to settle down at levels prevailing before the onset of the pandemic and this is likely to lead to improved demand growth for our industry in a few quarters from now.

Against that backdrop, I would now like to cover the third quarter results, followed by an overview of the first 9 months of the year. I'll also provide an update on guidance for the current full year before concluding my commentary. Overall, the third quarter performance was consistent with our expectations.

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We reported 9 % growth in revenue from operations, which translates to around 7% on a constant currency basis. The growth was primarily driven by Development and Manufacturing Services with commercial manufacturing of biologics playing a key role. We are now delivering commercial manufacturing for Zoetis at the indicated run rate of USD 50 million per year. We continue to produce clinical batches for other clients, and once the Stelis facility comes online in the second half of the next financial year, we expect to see continued growth in our Biologics business.

Our small molecule development services demonstrated steady growth attributed to repeat orders from the clients and the expansion of our clinical formulation business. In this area, especially in the early-stage development projects from biotech, we have seen some project deferment as the industry scouts for new funds.

Moving to the profitability metrics. Operating EBITDA remained at the same level as last year. Operating EBITDA margin currently stands at around 27% compared to 29% last year. We achieved better operating leverage through enhanced capacity utilization in Development and Manufacturing Services, especially in biologics manufacturing. However, the fixed cost base in the research business, primarily in Discovery Services, impacted the margin due to the slowdown in demand.

Let me now turn to some of the other cost lines. I'll explain the key changes and trends we saw in the quarter. The cost of raw materials was around 28% of the revenue for the third quarter compared to 26% in the previous year, which is an increase of 15% year-on-year, primarily reflecting the shift of business mix towards development and manufacturing services, which inherently involves a higher component of material cost.

Staff costs rose by around 10% versus last year due to increments and key hires in scientific and commercial roles. Direct costs, largely power and utility expenses, showed a decline of 4% year-on-year.

This favourable trend reflects reduced utility input costs and an increase in captive green energy consumption compared to the previous year. In quarter 3, 87% of our total energy consumption was from renewable sources, an increase from 75% in the previous year. Hyderabad operations staff

has now started to use green energy from quarter 3, and we have also commenced work in bringing renewable energy sources of power to the newly acquired biologics manufacturing facility.

Other operating costs grew by 21% year-on-year, and it is broadly in line of what we saw in the last quarter. This increase over last year primarily came from new facilities added during

the last 1 year, including new equipment and infrastructure, resulting in higher facility costs. We also had increased commercial activity, leading to higher travel sales and marketing expenses as well as hiring of key talent in the business. The hedge loss for the quarter came in close to INR12 crores compared to about INR16 crores in the same period last year. The spot rate averaged around INR83.3 per US dollar during the quarter against our hedge rate of around INR82. Depreciation charges increased by 14% year -

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on-year, driven primarily by asset additions across business divisions over the last 12 months and rent from new leases entered during the period.

Operating profit or EBIT declined by 9% in comparison to the last year and EBIT margin is around 14% versus 17% in the preceding year. The acquisition of biologics manufacturing facilities from Stelis Biopharma Limited was completed effective 1st December 2023. While we will be capitalizing the preoperative costs directly linked to the commissioning of the plant, there are some recurring costs like lease, rentals and power that will continue to be expensed off in line with the standard accounting practices.

I would like to remind you that we guided for some dilution of operating margins in the short term because of cost incurred in this facility. Some of that is reflected in the current quarter and the remainder will be fully reflected when the plant goes live in the second half of the next financial year. The finance costs reduced from INR14 crores to INR11 crores, mainly due to repayment of an ECB loan of \$50 million, partly offset by increase in interest component of the new leases entered during the period.

Other income increased 70% year-on-year. This was primarily due to a INR16 crores interest income from an income tax refund, which was partially offset by lower interest income on liquid investments as our cash balance reduced to the payment for the acquisition of the manufacturing facility from Stelis Biopharma. While we continue to have a strong balance sheet, you should also consider in the modelling that our lower cash balance will be to lower interest income, resulting in a corresponding impact on PAT.

Turning now to tax. Our effective tax rate stands at around 19% this quarter due to shift in business mix towards tax units with lower tax debt. Our profit after tax growth before exceptional items was around 4% year-on-year. During the quarter, we had an exceptional item of INR3 crores net of tax attributable to transaction costs related to the acquisition of Stelis. PAT after exceptional items grew at 2%.

Now moving to the performance for 9 months. Revenue from operations grew 17% in reported currency and at 13% at constant currency. This growth was primarily driven by development and manufacturing services and steady performance from the dedicated centres. Operating EBITDA grew by 12% with a margin of around 27% against 28% last year.

The trend of expenses in the first 9 months of the year broadly mirrors that of the third quarter. The cost of raw materials increased by 28% due to the shift in business mix towards Development and Manufacturing Services and even the rate we guided earlier for the full year. The operating EBIT margin is at 15% versus 16% in the previous year.

Other income increased by 55% attributed to the higher cash balance and improved interest yields. As mentioned earlier, the increase was also due to the INR16 crore

interest from an income tax refund. The finance costs increased, reflecting higher interest rates and the interest component of lease centres. This was offset by a lower interest cost as we repaid the ECB loan during the quarter.

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Currently, we carry \$35 million, which is approximately INR290 crores debt in our balance sheet. And our balance sheet could support both the payments, 1 for the acquisition and the other for the repayment of the debt in the same quarter. At the end of the quarter, we are net debt negative. And I repeat, net debt negative with INR397 crores of net cash balance reflecting the continued strength of our balance sheet.

Overall, we reported a resilient performance for the 9 months despite external headwinds to record a 16% year-over-year increase in profit after tax before exceptional items. After exceptional items, it was 13% year-on-year.

Coming to capex now. We have executed around \$40 million of capex in the first 9 months of

the year, primarily directed towards adding new capabilities and capacity in the research business. Close to 50% of this capex was invested in Hyderabad as we opened our automated compound management facility and the DMPK biology lab for integrated small molecule study. The rest of the capex was invested in Development and Manufacturing Services, including support infrastructure such as a quality control and testing laboratory for biologics manufacturing and additional capabilities for the small molecule business.

The fundamentals of the outsourcing industry continue to be strong and our commitment to long-term investment plans remain unchanged although we'll carefully calibrate and stage-gate immediate investment needs. Consistent with our usual practice, we will phase our investments over the coming quarters, aligning with the pace of execution and with the prevailing demand environment. Our internal cash flow remain robust, providing assurance that all current organic expansion plans will be financed from internal accruals, eliminating the necessity to rely on external credit for expansion of our infrastructure.

Now let me comment on updated guidance for the rest of the year. Consistent with what we told you last quarter, we saw growth, but at a lower level in the third quarter. Projections for the fourth quarter indicate a quarter-on-quarter improvement and should mark 1 of our largest revenue quarters for this year. However, it is worth remembering that Zoetis project was fully operational in the fourth quarter last year, which will result in a comparatively modest year-on-year growth for the quarter 4 this year.

We consider the slower growth in Discovery Services as transient and while the exact timing of recovery is uncertain, you will watch the uptick in RFP inflow that Jonathan mentioned closely in the coming weeks as an early indicator for improved growth in the next financial year.

I'll provide guidance on the year end at our next call. By then, we should have better visibility of how the market is shaping up. For the current full year, we anticipate double-digit growth in revenue. With respect to capital expenditures, about \$20 million of additional capex spend is expected in projects under execution, and we expect the capex for the full year to come around \$60 million. This is below our last guidance of \$80 million in the second quarter call as it has been moderated to balance investments in research business to revenue growth visibility.

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In conclusion, our twin-engine strategy, focusing on research services and Development and Manufacturing Services reinforces our status as one stop shop partner and brings with it a degree of resilience. We see the biotech funding situation already on a recovery mode, and we expect stronger growth

to return in the later part of this calendar year.

With this, I conclude my remarks, and we'll be happy to take your questions. Thank you.

Moderator: Thank you very much. The first question is from the line of Shaleen Kumar from UBS Securities. Please go ahead.

Shaleen Kumar : So, Jonathan, if I look at the implied growth of 4Q, while sequentially it will be better, but given the double-digit growth for the year, I think we should be somewhere low single digit to possibly negative growth year-on-year. I mean, and you also mentioned that there will be a lag between VC funding improvement to -- and then growth coming back. So, while I'm not asking for the guidance for FY '25, but can there be a reason for us to see any material change beyond 4Q in near term?

Jonathan Hunt: I'm not sure I got the question.

Shaleen Kumar : So, I was saying that...

Jonathan Hunt: No, I got that. But your math isn't far. I'm not sure how you concluded negative growth, but that's your math, not mine. But what was the strategic element to it?

Shaleen Kumar : Low single digit, let's say, low single digit would be the growth for the 4Q possibly. I'm saying, can there be a material change in the near term, given the environment is still tough.

Jonathan Hunt: What do you think in terms of the industry, UBS and your colleagues in UBS in the U.S. and UBS in Europe will all have a house view, you'll have a biotech analyst many of whom I know from years ago. What's the UBS view on the future of the U.S. biotech sector? I'm assuming it's positive, you still think it's going to grow, it's going to bounce back.

Shaleen Kumar : It will. Absolutely, there's no question about it, right? It's just a timing thing, right? So, I'm not debating on that funding is not going to come back, absolutely it will. Structural story is intact.

My only challenge is -- how should I think about my growth trajectory or recovery trajectory?

Jonathan Hunt: That's why I'm trying to make it into a conversation. So, we both agree there's life still in biotech, and it's viable, vibrant sector for the future. And we're trying to call it 1 quarter, 2 quarter, 3 quarters before the funding stabilizes? And again, I could possibly point you back to your own organization's biotech reporting. You guys seem like me to be calling some

stabilization in that fund. I think it's going to be a couple of quarters for it all to settle down. But I don't see it as structural or necessarily strategic. I think, it's temporal. And that was really what I was trying to get at with my comments. It's a slowdown for everybody in Discovery Services that is used to seeing growth come out of the U.S. biotech sector that's funded by new capital flows and formations from private equity. It seems to be levelling at about where we

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were in 2019, 2020. And 2019, 2020 was a 10 -year bull run in funding going into private equity.

So, I'm not brave enough to call the bottom, but it does look to be stabilizing. And then from that, it will just take a couple of quarters to work through. Outside of biotech, our business and the market fundamentals look pretty solid. Nothing has really changed. Our CDMO strategy is evolving quite nicely, I think. I think the market opportunities are there. Hopefully, that gives you a sense.

Shaleen Kumar : Yes, sure.

Jonathan Hunt: I actually don't think I've said anything that every other CEO in this sector and most analysts have said over the last 2 quarters.

Shaleen Kumar : Sure. No, sure, I agree with you on that. I'm not debating upon this. I'm just -- it's difficult for us also to understand the trajectory of recovery. So, on the CDMO side, right, can -- I mean can you guide us like how the things are shaping up, how the utilization is ramping up, anything visible on any new product API, specifically?

Jonathan Hunt: I

made some comments earlier, I did some media interviews and was trying to sort of pull it all into a sort of strategic framework. We took the decision about 5 years ago to sort of accelerate and build out the CDMO side of the business, both small and large molecules, development and commercial manufacturing.

So, if you look at that strategy as a whole, not bad. Over 5 years, we've doubled the revenue in that sector. We're now about 40% of total revenues are coming out of the CDMOs, and the growth rates of the CDMO business in the quarter would have been up in the 20s, 20%, 25% or so quarter-over-quarter growth. So, it's progressing quite well.

Blow-by-blow, client-by-client, production line by production line commentary is not something that we'd give. But we wouldn't have invested in the Stelis acquisition to bring forward by a number of years the capacity build-out that we wanted, if we weren't bumping up against the capacity limit already, which means we've fully sold out everything that we had on the biologics side.

So, I think as a whole, good market opportunity. We've now got capacity to grow into on both sides of the house. We've strengthened our capabilities over 2 or 3 years. It's about execution, which means it's about sales, which means it's about getting out and being visible in the market, and we're doing those things. We'll report that rather than predict it, if that makes sense. So, I'm trying to really paint the strategic picture for you.

Shaleen Kumar : That I completely agree and I'm supportive of that, right? I really like that story. But it's about the visibility, right? I think Zoetis really helped us. Now that's in the base -- so beyond, let's say -- or in fact, from the 4Q onward, how should we think about the growth rate of that segment?

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Jonathan Hunt: Well, it's baked into the guidance we've given to you. We told you where we think we're going to end the year. I think your math is not far off, but I'm not sure if I necessarily agree with the negative growth that you -- at the bottom end of your math figures.

Shaleen Kumar : That's more of a scenario thing, right. So, you can ignore it.

Jonathan Hunt: Correct. And then gut feel now, I mean I'd remind you; our habit is to give guidance for the year ahead in April. I think we'll do that in April. But my expectation is next year offers better opportunities than this year. But that's predicated on the assumption that my view that the biotech funding will work its way through sooner rather than later, turns out to be correct. But I'll be in a much better position to give you guidance in April.

Well, if you don't mind, I'm going to -- you've had 4 questions. Our rule is one. So, I think maybe we need to offer somebody else an opportunity, if that's all right.

Shaleen Kumar : Absolutely, yes, for sure, for sure.

Moderator: The next question is from the line of Avendra Singh, an individual investor.

Avendra Singh : Hi, am I audible?

Moderator: Yes, you are audible.

Jonathan Hunt: You are audible.

Avendra Singh : Mr. Hunt, I just wanted to touch on what's happening on a group level. So, we saw that your predecessor has now come back to the group in a senior management position and there was a lot of talk about synergies across group companies and him working with the individual CEOs. So, I just wanted to get a sense of where that conversation or where those steps have panned out and where you see opportunities across the group playing out?

Jonathan Hunt: Good question. Yes, I mean in some ways, Peter never really went away. I mean it's somebody I've kept a close personal relationship throughout my time at Syngene. Of course, he has been on the Board of Directors at Biocon for a while, and now he's moving into something a little bit more operational.

I think there's many ways in which we can work

collaboratively together. We have an interesting relationship with Biocon. They're a customer for ours as well. We're delighted in the services that we provide to them across our business. So, we have to keep that sort of relationship, they're a customer.

There's another element, they're a strategic shareholder. And of course, Kiran was the founder of all 3 companies. But I think wherever you're looking at things where you can get scale benefits or a little bit in procurement, simple things, our physical infrastructure, I don't know if you've ever had the opportunity to come and look at our main campus, but you've got 3 companies operating on 190-acre site.

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That's a way of driving efficiency, and I'm highly dependent, I mean, on an literal sense, the electricity coming through the lights, the Internet, the infrastructure on the site are all on an integrated Biocon, Biocon Biologics and Syngene site. So, wherever we can get more together, I think that's in scope.

Avendra Singh : Understood, understood. And if I can just ask a follow-up to my first question. In terms of your capex, I understand that you have a plan over the next couple of years. But is there a possibility of doing something like we did with the Stelis plant where we sort of have a buy versus build decision and bring up capacity if we see the potential pipeline from buyers?

Jonathan Hunt: I'm trying to work out what's underpinning that question. Just restate it because I don't want to give you a nonanswer if I can really understand the question better.

Avendra Singh : So, my question is that you have a capex plan over the next 3, 4 years on your biologics side, right? So, like we saw with Stelis where you all of a sudden brought up that capex by paying a certain amount and being able to bring that capacity online, is there a potential for that to continue happening? Or do you see the pipeline at this point not such that...

Jonathan Hunt: Right. No, I get it. I mean the first thing I'd say is we've not guided the capital markets on a multiyear capex program. We gave you 1-year guidance, which tends to be our habit. But strategically, we -- I mean we actually did this, this year. We started the year at \$100 million capex. We reduced the expenditure for the year precisely because we had bought the Stelis facility.

So, I'm now not going to build something that looks just like the Stelis facility that I've just bought because we've done it already. So, it's just a straight in swap. The advantageous bit for us is it gets us there quicker so that we have capex available to -- we have capacity available to sell in the market some years sooner than we would have done if we've done an organic build out.

And then the other question is, is there the scope in the future for us doing more deals like that? Only if they present themselves, only I think they are a good use of shareholder funds and create shareholder value. But I would love to have that problem. I'd love to be back in the position where we're running out of capacity because we've sold it all. So that would be a good thing for shareholders, good thing for us.

I'm not going to predict whether that's going to happen. We're already just digesting the Stelis acquisition. We've got a year, a busy year ahead of turning that facility around so that it's operating as an antibody plant rather than as a vaccines plant. And then simultaneously we're out trying to sell that capacity. Hopefully, that addresses the premise of your question.

Moderator: The next question is from the line of Sheersh from Apex Capital.

Sheersh : I just wanted to understand what kind of customer profile are we looking when we are looking for business for our manufacturing plant, especially? Are we looking especially at the

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customers like Zoetis who might be willing to go out of China to look for alternate manufacturers?

Or are we more prominently looking for small biotech companies who might not have very big manufacturing orders, but will be very hopeful that they might turn something very successful in future? So, I just wanted to understand what is Syngene is exactly looking for when they go out and do the business development?

Jonathan Hunt: Super. Practically answer to both of the ones you described is, yes, they are in scope. We're broad enough in our connections with customers and our capabilities. So, I think we've got in development and manufacturing, something to offer everybody in small and large molecules at the clinical development stage, clinical manufacturing scale.

If we then look on at the large molecules, actually, it's sort of almost sector-agnostic. We could deal with the needs of large biotech and biopharma companies, medium size and small. And I think on the small molecules, the ideal customers more likely to be innovation focused rather than a generics business. And those high added value new molecules is the best fit with our capabilities and with our capacities.

So, we're not really a generics API manufacturer in disguise, we're much closer to the innovation science as being the ideal fit. But whether they're small companies or large companies doesn't really make a difference on their underlying need.

Sibaji Biswas : Is there anyone on in the queue?

Moderator: Yes. We have the next question from the line of Shaleen Kumar from UBS Securities.

Shaleen Kumar : Just a bookkeeping question to Sibaji. Sibaji, so with this new biologic capacity acquisition done, how should I think about the depreciation? It has been inching up. So, is this the 3Q run rate is the one we should take or it can be slightly increase from here as well?

Sibaji Biswas : So, let me repeat what I said in my commentary that first of all, the depreciation is not going to start immediately because we'll have an in-between time where we'll be modifying the plant and the capex will be in CWIP. We'll also be capitalizing the preoperative expenditures directly related to the commissioning, not the other expenditures, which are already in the P&L, as I mentioned.

So once the depreciation starts, we'll evaluate exactly what the life of the assets should be of that. And that process of evaluation is on, and we'll come back with more details in the next quarter. So, I must clarify over here, historically, when our manufacturing and development business was small, we were applying the rules of the research business also in development and manufacturing.

We now understand -- we now have a much bigger share of development and manufacturing and accounting rules and estimates related to that have to really align and get benchmarked

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with similar development and manufacturing businesses. And we are actually working on that, and we'll come back with a clear position in the next call when we have this discussion.

Shaleen Kumar : Okay. Okay. And I missed your comment on the tax. Just if you can repeat that, that would be really helpful, tax rate?

Sibaji Biswas : The tax rate is -- it's basically a mix of different facilities because we have SEZ facilities, right? And what happens is that depending on where the growth is coming from, the effective tax rate moves a bit. This quarter, we have seen a lower effective taxes because more revenues have got generated from facilities with lower effective tax rate or lower tax rates. As a result, the weighted average tax rate has gone down a bit. Does that makes sense to you?

Shaleen Kumar : Understood. Yes. But for the full year, is there a guidance for the tax rate? How should I think about it?

Sibaji Biswas : YTD is 22%, so you can assume it will be around

that.

Jonathan Hunt: Operator, just 1 more check, see if there's anybody else in the queue that wants to ask a question. If not, I'm getting the sense we're coming awfully close to Republic Day and the holiday and people are drifting off already.

Moderator: Thank you. Ladies and gentlemen, that was our last question for today. I now hand the conference over to Ms. Suruchi Daga for closing comments. Over to you, ma'am.

Suruchi Daga : Thank you, everyone, for joining today's call. If you have any further queries, please do get in touch with our team, and we'll be happy to get back to you. Have a good day, and thanks once again.

Moderator: Thank you. Ladies and gentlemen, on behalf of Syngene International, that concludes this conference call. Thank you all for joining us. You may now disconnect your lines.

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"Syngene International Limited
Q1 FY'25 Earnings Conference Call "
July 25, 2024

MANAGEMENT : MR. JONATHAN HUNT – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – SYNGENE
INTERNATIONAL LIMITED
MR. SIBAJI BISWAS – CHIEF FINANCIAL OFFICER -
SYNGENE INTERNATIONAL LIMITED
MS. NANDINI AGARWAL – SYNGENE INTERNATIONAL
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Q1 FY25 Earnings Conference Call of Syngene International Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Ms. Nandini Agarwal from Syngene International. Thank you, and over to you.

Nandini Agarwal : Thank you, and good afternoon to everyone. Thank you for joining us on this call to discuss Syngene's first quarter FY 2025 performance. To discuss the financial and business performance for the period, we have on this call today, Mr. Jonathan Hunt, Syngene's Managing Director and Chief Executive Officer; and Mr. Sibaji Biswas, Executive Director and Chief Financial Officer. After the opening remarks, Jonathan and Sibaji will be happy to answer any questions you might have.

Before we begin, I would like to caution that comments made during this conference call today will contain certain forward-looking statements and must be viewed in relation to the risks pertaining to the business. The safe harbor clause indicated in the investor presentation also applies to this conference call. The replay of this call will be available for the next few days after the call and the transcript will be made available.

With this, I would now turn the call over to Managing Director and CEO, Mr. Jonathan Hunt.

Jonathan Hunt: Thank you. Good afternoon, everybody. Thanks for joining us on the call today. I'll start with commenting, I think, on some of the industry dynamics that we think will shape the coming quarters and then Sibaji will provide a more detailed insight into the financials in his remarks.

When we met in April, we set out our guidance for the full year and that predicted a largely flat first half to the year, with momentum building in the second half and that view remains unchanged. We continue to track indicators of two key trends: the return of new funding into the US biotech sector and the interest amongst large biopharma clients looking for alternatives to China as they rebalance their supply chains to mitigate potential risk.

So let's take a look at each of those. On the biotech front, we saw a positive quarter of new capital flowing into the US biotech sector. It's back and holding at pre-pandemic levels. And I think this predicts for an improving demand environment as that new capital flows through to increase client demand for services and expenditure. And it's this dynamic that underpins our view that the second half of this year and into next year is likely to be a better environment.

On the large biopharma side, we're seeing increased client -- increased visits by clients as they look for alternatives to China and it's noticeable that when we talk to these clients and the change in the wording of the Biosecure Act around the timeline to implementation has lessened the urgency in which we're looking for alternatives, but it hasn't changed the direction of travel. What we're seeing most commonly is that these China switches, as we call them, are setting up pilots across a broad range of services, often placing them with a select short list of suppliers.

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We then intend to run these comparative pilots through the year and use this as a way of down-selecting to a longer-term partner and here, I think we've made good progress in the quarter. And I get a sense that it sends you winning our fair share of these pilots. Other leading indicators are also turning more positive. Our request for proposals, we're up almost 50% year-over-year in terms of value in the first quarter.

Now admittedly

, even the first quarter of last year was a little bit of a low point. So it's coming off a low base. But it is the best quarter for RFPs that -- best first quarter for our RFPs that we've seen in four years. We're also kicking off multiple pilot projects in Discovery Services and have also got the potential to scale into larger contracts over time. And I believe Syngene's in a good position to capture fair share of the upturn in biotech spending in the quarters ahead. So turning to the fourth quarter numbers, revenue from operations was down 2% over the corresponding quarter last year to INR790 crores. Operating EBITDA was down 20% to INR170 crores and reported profit after tax was down 19% to INR76 crores. And this is coherent with our guidance and the commentary that we gave you with the full year results. While we've been very focused on clients, we are an innovation-based industry and technology is constantly evolving. So we've got to keep -- got to continue to keep a close eye on the leading edge of technology and leading engine capabilities.

And recently, we've launched a protein production platform that leverages advanced cell line and transposon-based technology, combining this with our existing capabilities, we can deliver end-to-end cell line development options faster and I think that's a real benefit to customers. So a good step forward technologically in our Biologics business there.

So let me summarize before handing over to Sibaji. Key leading indicators are more encouraging. With biotech funding showing signs of the revamp our assumption is that this should translate into more outsourced projects from biotech as the year progresses. In the large cap Biopharma segment, there was a noticeable shift that companies seek to diversify their operations away from China to mitigate geopolitical and geographical risks.

For now, this is playing out in increased client visits and audits as well as a rising number of pilot projects, and I think it's a healthy indicator for the second half of the year. With these more positive indicators in place and reflecting in the increased flow of interest that we're seeing, the long-term outlook for Syngene in the broader sector, I think, remains optimistic.

So with that, let me hand over to Sibaji.

Sibaji Biswas: Thank you, Jonathan and a very good afternoon to everyone. As you have seen, revenue from operations came in broadly flat as expected for the first quarter. Jonathan has outlined the dynamics, so I won't repeat them here. We believe that revenue is on a positive trend with momentum expected to build in the second half of the year.

Revenue from operations for the quarter was down 2% versus last year and in constant currency terms down 4%. The dedicated centers delivered sustained performance during the quarter and biologics manufacturing continues its growth momentum driven by both commercial and clinical scale projects.

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Discovery Services showed our resilient performance. However, it was impacted by the biotech funding issues mentioned earlier. Small molecule development and manufacturing services remains steady with repeat business from existing customers and new opportunities at early stage from both new and existing customers.

Turning to cost, raw materials accounted for close to 30% of revenue from operations compared with 28% in the first quarter last year. The increase is due to the change in revenue mix with a higher proportion of revenue from development and manufacturing services. This is a business which inherently carries higher material cost as a percentage of revenue.

With a more balanced mix of revenue growth going into the year, we expect the full year raw material cost to be around 28% as highlighted earlier. Other direct costs primarily comprising power and utility expenses declined by 8% year-on-year, attributed to a

an increase in share of

green energy consumption compared to the previous year and deployment of energy efficiency measures in-line with our ESG program.

Employee expenses increased by 10% year-on-year, driven by investments in the organization for building commercial and technical capabilities and salary increments during the year, partially offset by a slightly lower headcount as we rebalanced our hiring plan to meet client

needs.

With the aim of improving productivity and delivery effectiveness, we continue to invest in automation and digitization programs across the scientific and enterprise domains. We also invested in many parts of our business to ensure that we have ready capacity for our plants. Our operating expenses increased by 3% year -on-year, reflecting these initiatives. Overall, operating costs that is all operating costs – operating expenses excluding raw materials, while in-line with the run rate in the fourth quarter and about 7% higher compared to the first quarter last year.

The decrease in revenue, combined with increase in costs I just mentioned, resulted in operating EBITDA margins at 22% in the first quarter versus 26% in the same period last year. We believe these investments are growth drivers that will deliver operating leverage and revenue growth returns as expected in the second half of the year.

EBIT from operations was at INR63 crores, lower year -on-year as depreciation increased to INR107 crores compared to INR102 crores in the same period last year. The 5% increase in depreciation is mainly due to new leases and infrastructure coming online in the last year. We continue to maintain a strong balance sheet which enables us to effectively navigate through industry cycles.

After meeting our capex spending for the quarter we have net cash of USD 108 million as of June 2024 which is at a similar level to March 2024. During the last year we reduced debt on our books by USD 55 million primarily due to repayment of USD 50 million of ECB loans. We also fully financed our acquisition of the biologics manufacturing facility from our internal cash.

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All this had reduced the cash balance and hence the interest income that we had in the P&L. The underlying interest expenses also reduced due to lower debt, but the reported interest expense is higher on account of the final component of the new leases undertaken during the year. The effective tax rate for the quarter was lower at 21% versus 24% in the same quarter last year due to the change in business mix and the lower interest income.

We expect the effective tax rate for the full year to be around 22% to 23%. Overall profit after tax before exceptional items was INR55 crores. We received INR 32 crores as the final settlement from our past insurance claim which has been accounted as exceptional income net of tax. With that, the reported PAT came in at INR 76 crores down 19% year -on-year. As indicated at the start of the year the long-term market indicators are positive and our plan is to continue to make strategic investments in capabilities that make us future ready.

We have incurred capex of around USD 12 million during the quarter including upgrading the biologics manufacturing facility acquired in financial year 2024 which is on track to start operations in the second half of financial year 2025. Finally, let me say a few words about the guidance. In the current financial year our expectation of improving business growth from the second half remains unchanged and we are on track to hit the guidance range that we provided last quarter.

We expect the EBITDA margin to be in the high 20s for the full year that is similar to last year and implicit within it -- within this is the EBITDA margin with the fact that EBITDA margin will improve sequentially as the revenue grows through the quarter. PAT growth for the

full

year is expected to be in single digits as previously guided. With that, I suggest that we open for questions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. We'll take our first question from the line of Surya Patra from PhillipCapital (India) Private Limited. Please go ahead.

Surya Patra : Thanks for the opportunity. My first question is on the margins. In fact, in the opening remarks you have indicated that there is a limited portion of the manufacturing activity and hence there could be -- and because of that there is a decline in the gross margin this quarter. So is it linked to that Mangalore facility utilization and hence improve activities there and that impacted the margin. If that is the case, could you share what is the kind of utilization that we would be currently having for the Mangalore facility right now?

Jonathan Hunt : Well, it's a super question. I'll let Sibaji talk about the margins. The quick answer is no, it's not related to Mangalore. And no we won't give you facility level break up of utilization. Just as a matter of policy in the way we communicate about 2.5 million square foot of lab space if we start the presser breaking it down by site, by operating unit. I think our analyst calls might go on for days.

But giving you a general sense what's driving it I think there is a switch particularly in biologics. So the -- our overall CDMO strategy remember it's not a small molecule strategy.

business is leading the way. We're really quite happy with the progress we're making there. It triggered us last year to acquire the site from Stelis because we were running out of headroom for growth in our biologics.

We've fully sold out our capacity for the coming years and that prompted us to move quickly to switch from an organic build-out that we plan to do in the next couple of years and bring it forward by a couple of years through an acquisition. So CDMO overall is doing pretty well, could always do better, but we're fairly happy with the progress and it's led by the biologics piece. Anything else you'd say Sibaji.

Sibaji Biswas : You're on the dot. But Surya what I said is year-on-year for the same quarter. So as you know that over the last year our share of development and manufacturing business has increased and development and manufacturing business carries a higher raw material cost hence you have seen a bit of a shift in the raw material. So that's the only thing, yes.

Surya Patra : Sure, sir. Okay. My second point is that regards the facility that has been acquired from Stelis. So post commercialization which you said that okay possibly that will take around 12 months' time after the acquisition completion to be commercialized. So once it is commercialized what is the gestation period one should think about for really seeing the number implication to the overall financials of Syngene. Just if I add sir I just wanted to understand what preparatory timeline that would be required once the facility will be capitalized and how long -- what time that would be required to really see the benefit of that facility in our numbers?

Jonathan Hunt : Yes, I get the premise of the question. If you strip all of the detail out of the question, essentially asking what is our sales cycle for new plants once again, the answer is no and I get it. It's just I can't predict. We're out there and then the steps we have to go through between now and the end of the financial year we will have made the operating changes, upgraded the facilities, moved pieces of equipment around, replumbed, HVAC vents whatever we need to do to get it to how we want it to be. We would have been through a qualification validation process. So we would

have checked that everything is working well is up to standard.

We'll have done all of the environmental stuff that you've got to do and then it will be ready to show the first client as this is the plan that you could use that will happen between now and the end of the year and then you're into a sales cycle and we're confident that there is demand in the marketplace, that it shows well. It's a facility that when you look at it and go around it looks good, looks well designed has some good equipment in there. So I think it's attractive to the eye when clients come and audit it. And after that it's just selling. I'm not going to try and predict in which month, which quarter, which client do whatever.

Sibaji Biswas : Surya, I'll remind you that -- sorry carry on Surya.

Surya Patra : Yes, please, sir. So I just wanted like -- so the business development activity for the Stelis plant will start post the capitalization of the asset or it is already active on that front?

Jonathan Hunt : No. I mean you can soft sell, you can bring it to the client's attention, but in reality for this type of outsourcing one of the key buying steps for any client is sending in an audit team walking

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literally around the facility and checking it meets their standards. So you've got that step to go through anyway and in any biologics.

And it's actually just inherent in all manufacturing in the industry. So until we finished validating it you can't really -- there's not a lot of benefit in showing clients and their audit teams because they'd have to come back anyway once post the validation.

Surya Patra : Sure. Just last one from my side. Regards the export trend see whether you have found out any kind of challenge because of the availability of container or anything which would have impacted your exports in this current quarter? Or you have not faced anything of that sort?

Jonathan Hunt: No, nothing. But then to be fair, we're not a business that really exports anything by containership in the main. Our research services business, I'm going to oversimplify it to illustrate the point, exports its work product by e-mail and digitally. We create new knowledge. There's not a lot of physical movement of goods. And if there is -- you're talking about FedEx and DHL -type sized parcels, we send things around in gram scales or micrograms. And even on the manufacturing side, it's still airfreighted around the world.

Surya Patra : Even for the biologic...

Jonathan Hunt: Yes. It's not -- it's funny. It's one of those things about pharma. You have this image that

everything looks like the inside of a steel plant or a steel foundry that it's big heavy industry. And actually incredibly sophisticated equipment looks like a room full of photocopiers and then the DHL things around the world. Air freights are most common way of moving goods around the world.

Moderator: Next question is from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.

Shyam Srinivasan : Just the first one is on the comment around dedicated centers and biologic manufacturing services reporting steady growth. So just wanted to get some context around dedicated centers at this point of time. Around the same time, you reported, I think, quarter 4, Bristol also announced a large cut in terms of reduction. So is there something that we need to be mindful of, when we look at the dedicated center business, especially with Bristol around.

Jonathan Hunt: Yes. I mean I need to be careful in my comments. I don't want to be seen to be misspeaking or giving a view on BMS' business and business strategy. So you do need to triangulate back with their IR team on the ir policy.

But for us, in many ways, they're an organization that continues to globalize that continues to seek new innovation. And I think they've been quite clear if you look at the sta

tements from

their management team and their CFO that they are looking to drive cost savings across their operations.

And we already do that for them. I mean the relative cost of the things that we do with BMS in partnership is more cost efficient for them than doing it in other parts of the world. It's not the only reason they do it. It's also because the team that they've got here in India is spectacularly good scientifically, they really do drive innovation and high science. So we're very proud of Syngene International Limited

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our Syngene colleagues working at BMS here in India and the local BMS management team do a really good job driving science forward.

So I get the premise of the question. I don't think we'll ever be complacent about that relationship. It's a particularly important one for us. It's been mutually beneficial for both companies. But the environment where they're looking to create operating leverage and drive cost out of that business. I think we've got things we can do to help them. And -- does that get to the heart of your question.

Shyam Srinivasan : Yes, I did get, but just one -- just one follow-up. I remember at the time of renewing the last one, if I remember some of the wordings was it envisaged 40% more scientists, I think additional 50,000 square feet capacity. So we should assume some of that?

Jonathan Hunt: Yes, we've done all of that. It's all being done. Yes. I think we're already at that. We've gone past that. Yes.

Shyam Srinivasan : Understood. That's helpful. Second question is just on the bio manufacturing piece. I was under the impression that it's Librela largely and how have we got growth if I'm assuming Librela remains at the same 50 million per year annual run rate. So are we doing other things other than ex Librela?

Jonathan Hunt: Yes, we are doing. Yes. We have other clients beyond Zoetis, and we make other things both at clinical and other scales beyond Librela. And actually, one of the bits that we've done, our operational efficiency, tighter operations, better yield production is allowing us to create some hidden capacity and that then has helped us during the quarter. And of course, then we're not that far away from the new plant coming online towards the end of this year where we'll have more capacity to take to the market.

Shyam Srinivasan : Just again, clarification. So when you said very little headroom in our biomanufacturing in the original 8K plant, we still were able to squeeze out things to drive this growth. That's how I should interpret it, right?

Jonathan Hunt: That's a good interpretation. It's one of the truisms of running a plant. The busier you are, the more creative people get in operational delivery it's like anything. If you train regularly, you get good at it. And I think the team has done a really nice job over the last 6 months with jiggling some -- finding some hidden capacity by being more operationally efficient.

Moderator : We have our next question from the line of Udit Bokaria from Catamaran.

Udit Bokaria : I just wanted to understand if you can share what has been the client response to the new platform? And how should we think about how big or how many inquiries can we expect because of this development?

Jonathan Hunt: A bit too early to say. That's why I put it in the press release is to put it in the shop window. It's nice technology. We offer, I think, a very competitive gene to GMP or vials to trials is the sort of phraseology that people use. It's about getting biotech clients from their idea to a product they can take into clinical testing as quickly as possible. And this technological platform just Syngene International Limited

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shaves some time out of that and in a competitive world, that's beneficial. But we'll let you know how that progresses in the current -- in the coming quarters.

Udit

Bokaria : And some of your partnerships, which you had announced last year, like with Cromos or even with ERS Genomics, how has that helped you either win more share with big pharma or attract more number of biotech companies if you can just highlight that.

Jonathan Hunt: What was the first company that you said?

Udit Bokaria : You had an alliance with Cromos Pharma, right?

Jonathan Hunt: Not that I'm aware of. I don't remember making any announcement on that?

Udit Bokaria : Got it.

Moderator: Mr. Bokaria.

Udit Bokaria : Thank you. That's it from my side.

Jonathan Hunt: Udit, if you misremembered, that's okay, if I misremembered, we'll drop your note after.

Udit Bokaria : No, I think I had seen it in the file, in one of your press releases as well. And I think one another thing. I think in your annual report also, you have mentioned that you are also developing some performance and safety materials for EV. So if you can just highlight like how did this opportunity come up? And how should one think about other new industries which Syngene is targeting?

Jonathan Hunt: Okay, got it. Yes, I don't think it's transformational to the investment story. There's a simple way of putting it. So it's some good science, and we're very happy where we've got capability to help in other industries. The core of the business is human life sciences, innovations in medicines for humans. And I think the other bit that we've seen a lot of growth is exactly the same skills applied in the animal health sector. And then beyond that, we're delighted with the other smaller segments that we serve, but those first to human health and animal health really drive the majority of the business.

Moderator : We have our next question from the line of Harsh Bhatia from Bandhan AMC.

Harsh Bhatia: Just in terms of the guidance, in terms of the earlier commentary, I think you mentioned EBITDA margins towards high 20s. If I'm not wrong, fourth quarter we had mentioned that the EBITDA margins would largely be steady on an adjusted basis. So is there some level of cut to the EBITDA margin guidance probably more to do with the research aspect going down or am I missing something here.

Sibaji Biswas: So this is Sibaji here. So what we also said is that the full year EBITDA margin is expected to be very similar to the previous year. So there is no cut. That's all what we said in the first quarter as well. And essentially, as the year progresses, quarter -by-quarter, we would expect to see the EBITDA margin improving on an average getting in the high 20s, which are also the EBITDA margin of the last year. So very similar to last year, no change in position over there.

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Jonathan Hunt: Yes. Harsh, is that clear? So just so nobody misunderstands, no change in any element of the guidance from what we gave at the beginning of the year. And at the end of the first quarter, we're still saying that's our expected outlook whether it be on revenue, the revenue ranges remains the same and then the margin through to PAT, the guidance remains the same.

Moderator : Thank you. Ladies and gentlemen, we'll take that as last question for today. I now hand the conference over to Ms. Nandini Agarwal from Syngene International for closing comments. Over to you.

Nandini Agarwal : Thank you, everybody, for joining today's call. If you have any other further queries, please reach out to us, and we'll be happy to help you. Have a good day, and thanks once again.

Moderator : Thank you. On behalf of Syngene International Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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"Syngene International Limited
Q2 and H1 FY'25 Results Conference Call "
October 24, 2024

MANAGEMENT : MR. JONATHAN HUNT – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – SYNGENE
INTERNATIONAL LIMITED
MR. SIBAJI BISWAS – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – SYNGENE
INTERNATIONAL LIMITED
MR. DEEPAK JAIN – CHIEF FINANCIAL OFFICER
DESIGNATE – SYNGENE INTERNATIONAL LIMITED
MS. NANDINI AGARWAL – SYNGENE INTERNATIONAL
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Syngene International's Second Quarter FY 2025 Financial Results Conference Call. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Nandini Agarwal. Thank you, and over to you, ma'am. Nandini Agarwal : Thank you, and good afternoon to everyone. Thank you for joining us on this call to discuss Syngene's second quarter and half year results for financial year 2025. To discuss the financial and business performance for the period, we have on this call with us today, Mr. Jonathan Hunt, Syngene's Managing Director and Chief Executive Officer; and Mr. Sibaji Biswas: , Executive Director and Chief Financial Officer.

After the opening remarks, Jonathan and Sibaji will be happy to answer any questions you might have. Before we begin, I would like to caution that comments made during this conference call today will contain certain forward-looking statements and must be viewed in relation to the risks pertaining to the business.

The safe harbour clause indicated in the investor presentation also applies to this conference call. The replay of this call will be available for the next few days, and the transcript will be made available. With this, I would now turn the call over to our Managing Director and CEO, Mr. Jonathan Hunt.

Jonathan Hunt: Thanks, Nandini, and good afternoon. Thank you all for joining us on the call today. I'll start with my remarks with a quick overview of the key financials for the quarter and the first half before getting into sort of the operational and strategic highlights, and then hand over to Sibaji to provide more detailed insights into the financials in his remarks. For the year so far, things are panning out pretty much as expected. Performance in the second quarter and the first half of the year was broadly flat as we continue to see stabilization in the U.S. biotech funding environment, pickup in inquiries from medium and large pharma and a healthy level of interest in our biologics CDMO market.

So while there are early signs of stabilization, some signs of improvement in the early-stage discovery market, I think it's a bit too soon to declare victory. So we'll have to wait and watch that for a little bit longer. Revenue from operations for the quarter was INR891 crores, down 2%. That's about minus 3% in constant currency or U.S. dollar terms.

Operating EBITDA was down 4% to INR245 crores. Reported profit after tax after exceptional items for the quarter was down 9% year-on-year to INR106 crores. This quarter, we also reported that revenue from operations increased sequentially by 13%. And I think that's an indicator of things moving in the right direction.

I am encouraged by some of the early positive signs of recovery in Discovery Services. These

are being driven by collaborations in pilot projects with large and medium-sized biopharma clients that are looking for alternatives to China and to rebalance their supply chains.
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As we've discussed previously, clients usually run these comparative pilots for a year or more and then use that as a way of selecting a longer-term partner, which for us would be an opportunity to seize those into larger, longer-term relationships. We continue to receive a healthy interest from clients through increased requests for proposals, RFPs and increased number of on-site visits. And we also successfully concluded around 60 audits in the first 6 months of the year

to give you a sense of that, that's up a little over 35% year-over-year compared to the first 6 months of last year.

Tone of the conversations with clients has been very much around long-term supply chain resilience, dual sourcing as well as having the right capabilities and offering best value. I think with the lessons from the pandemic, we've been discussing these things for quite a while. It's not all about the Biosecure Act.

Our proposition to clients is that we can make sure that they've got the resilience, flexibility and dual sourcing they need. And as you know, we're also a buyer of service and we apply the same logic in our own sort of procurement. Syngene is among the leaders in the industry in introducing sort of China independent supply chain as an option in our proposals to clients. And to do this, we're sourcing from the Indian local ecosystem, especially for those who are suppliers of niche and complex chemicals. And at the same time, we're working with our global supplier networks in the U.S. and Europe, trying to encourage them to also set up shop in India. This not only helps expedite the timelines on materials reaching us, but also ensures business continuity in the case of disruptions.

And we introduced that sort of China independent supply offering about 18 months ago. And we're seeing reasonable traction, about 1/3 of RFPs, the clients opt for that today. So coming back to the quarter, pleased to see a healthy level of interest from clients in Biologics. We're also seeing a high number of process development projects compared to last year in small molecules.

And as you know, we've proven capabilities in biologics and then additional manufacturing capacity comes online in the second half of the year. Once operational, the biologics manufacturing facility will offer plug-and-play manufacturing platforms and we can customize those to clients' needs as they see fit.

In the coming quarters, we also plan to strengthen our capacity and capabilities in Discovery Services. We're investing in sort of in-fill capabilities in antibody drug conjugates, peptides, oligonucleotides. So to summarize, the performance in the first half of the year and the second quarter was as expected. I believe we're seeing a positive change in momentum building in the second half as we see healthy interest from large and medium-sized biopharma clients who are rebalancing their supply chains.

A number of requests for proposal and client visits have increased compared to the same period last year. We're focused on executing the pilots, and we've got real potential there to convert a number of them across into longer-term partnerships.

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With a strong third quarter already underway, we remain on track to deliver within our guidance range for the full year. So with that, let me hand over to Sibaji for more detailed financial comments.

Sibaji Biswas: Thank you, Jonathan. And a very good afternoon to everyone. Let me begin by discussing the second quarter performance, and I will cover the first half and guidance before I close my commentary. As expected, revenue from operations remained broadly flat for the second quarter at INR891 crores.

This marks a 13% sequential growth and is a revenue decline of 2% year-on-year and 3% in constant currency terms. This quarter saw research services returning to growth on back of multiple pilot projects in Discovery Services and sustained performance from the dedicated centers.

Development and Manufacturing Services revenue growth was impacted due to more project completion milestones now in the third quarter this year compared to the previous year. We continue to see good traction in our biologics business and early-stage process development projects in our small molecule business. Our delivery of both the early-stage projects and the

pilot projects has

been strong, creating thereby a solid foundation for the future growth.

With improving sequential revenues, operating EBITDA margin came in at 27.5% for the quarter compared to 22% in the first quarter, and broadly in range compared to the previous year. On the cost front, raw material cost decreased by 11% year-on-year due to a shift in the revenue mix towards the Discovery Services, which has a lower raw material cost as a percentage of revenue.

Similarly, the early-stage process development projects in the small molecule CDMO business has a lower raw materials to revenue ratio, which helped the raw material cost line. We expect the long-term raw material cost to be around 28% of revenue.

While our head count tracked business volumes and did not grow versus the previous year, our staff cost increased by 12% year-on-year, driven by annual salary increase and recruitment of new employees in the skill areas needed to build capabilities in the business. Other direct costs, mainly power and utilities decreased by 12% year-on-year due to increase in captive green energy consumption compared with the previous year.

Notably, in the second quarter, 96% of our total energy consumption was from renewable sources, in line with our focus on ESG and green initiatives. Other operating costs increased by 16% year-on-year due to maintenance and upkeep of expanded facilities and infrastructure. We continue with our investments in digitization and automation, which we believe are essential for higher efficiency in our business.

EBIT from operations was at INR134 crores, lower year-on-year as depreciation increased to INR111 crores from INR105 crores last year. The effective tax rate for the quarter was 22.7%, similar to the same quarter last year.

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We expect the effective tax rate for the full year to be around 22% to 23%. PAT before exceptional items decreased by 13% year-on-year. Accounting for exceptional items in the second quarter last year relating to transaction costs associated with the acquisition of Biologics facilities, reported PAT after exceptional items, was down by 9%.

We continue to invest in capacity and capabilities to drive future growth. Our total capex spend for the quarter was USD 12 million with large share of the capex allocated to research services, particularly the dedicated centers, expanding our facilities in Hyderabad and adding new capabilities.

In Biologics, a significant portion went towards upgrading the biologics facility acquired last year, which remains on track to start operations in the second half of the current financial year.

We continue to maintain a strong balance sheet. And after meeting our capex for the quarter, we have gross cash balance of INR1,000 crores and a net cash of INR865 crores as of September 2024. Our first half performance was also broadly in line with our guidance. The movements are very similar to as explained for the second quarter of the financial year.

Revenue from operations declined by 2% year-on-year. Raw material cost was down by 4% and staff cost increased by 11%. Our direct cost declined by 10%, again, driven by increased green energy consumption and energy efficiency measures. Other operating expenses increased by 10% as we continue to invest in expansion of facilities and capabilities, including automation and digital transformation across our scientific and enterprise functions.

Operating EBITDA margin stood at 25% for the first half compared to 27% last year, primarily due to lower revenue and increased operational costs, as explained before. PAT before exceptional items declined by 25%, while PAT after exceptional item was down 13%, reflecting an insurance claim received in the first quarter.

Finally, let me say a few words about guidance. We guided for a revenue growth of high single digits to low double digits

for the financial year, with momentum expected to build in the second half of the year. We have seen sequential revenue growth in the second quarter, and we expect this to continue in the third quarter and onwards ending the full year with growth momentum.

Overall, biotech funding has recovered to pre-pandemic levels, which is more directed towards late-stage programs. We also see demand from the big and mid-sized pharma who should drive growth from next quarter through into the next financial year.

We are maintaining our revenue guidance for the year. However, based on current visibility, we believe that the revenue growth for the year is more likely to be at the lower half of the guidance range.

As previously communicated, we expect margin recovery in the second half, which should then lead to full year margins around last year as we have guided previously. Our capex

execution also remains on track, and we expect to execute \$60 million capex by end of the year.

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Our focus will be on executing in line with our strategy, delivering on pilots and process development projects, which we believe will position us for further growth in the medium to long term.

As I hand over to Deepak, which should be by end of November, I feel deeply satisfied with what our leadership team has achieved over the last 5 years. We doubled revenues during the period while maintaining profitability and resilience in the middle of a global pandemic. Our balance sheet position now is very strong with over INR1,000 crores of cash after investing in acquisition and expansion during this period, all of which was from internal accruals. Deepak has joined us at a very exciting time for the industry and the company.

I think he has both the depth of experience and the skills to steer the finance function of the company and from hereon, he is a valuable addition to the Syngene leadership team. Deepak is with us, and now I hand over to Deepak for his introductory comments. Over to you, Deepak. Deepak Jain: Thank you, Sibaji. As we note, Syngene is a leader in research development and manufacturing services, serving companies working at the forefront of human and animal health in the world. I'm just delighted to be a part of this organization and this sector. I've now had the benefit of working alongside Sibaji for over a month, and I'm already feeling well integrated into the company. I look forward to being a part of the leadership team in this very exciting time for the company and the industry. Thank you.

Sibaji Biswas: Thanks, Deepak. And now I will now turn back the call to start your questions. Thank you. Over to the operator.

Moderator: Thank you very much, sir. The first question is from the line of Karan Vora from Goldman Sachs.

Karan Vora: I hope I'm audible. So my first question is with -- needed one clarity with respect a statement, which we have made in the press release saying the second quarter was underpinned by positive signs of recovery in Discovery Services business. So does that imply a growth on a Y-o-Y basis as well? Or is it only referring to a sequential recovery? So that is first my first question.

Jonathan Hunt: Okay. Clearly you've got a second and the third, you may as well get them all out at once.

Karan Vora: Okay. And for -- on a full year basis, is it fair to assume that our Discovery Services business growth will be faster than CDMO services growth? So that's my question. That's all my questions.

Jonathan Hunt: Super. I'm going to look at Sibaji to give you an answer to those. On the latter one, I don't know, I haven't done the mental math, but the -- I think the broader message -- the shape of the year seems to be turning out as we predicted and guided at the beginning of the year, relatively flat, if not muted first half, but growth on a full year basis.

So you can b

ack calculate and triangulate into the guidance and figure out that the second half must have fairly healthy revenue growth embedded in it. So I'm sure you've done that piece.

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The balance between discovery development, manufacturing, small molecules, large molecules for me is less important than the overall rebound and recovery in growth that's implied in us maintaining our guidance. I just want to make sure that you've -- there's a quadratic equation there in an excel spreadsheet, but I'm sure you'll be able to figure out. Any specific comments?

Sibaji Biswas: I will just add one thing over there. We have been indicating over the last couple of quarters that we are building up a healthy pipeline for all parts of our business. Same is for Discovery Services. So we do expect healthy growth of Discovery Services, both on a sequential basis and year-on-year basis. And to the other question, I'll just kind of add to what Jonathan says, across all our business elements we expect healthy growth. Hope that answered your question, Karan.

Karan Vora: So just one clarification here. For Q2, have we seen discoveries -- so when we say we have seen positive signs of recovery for Q2, does it mean a recovery on a Y-o-Y basis as well? Or is it just sequential?

Jonathan Hunt: Yes. No, I got the premise of the question, which is why we gave you the guidance that we gave you. But you got my broader message. Second half should look good.

Moderator: The next question is from the line of Shaleen Kumar from UBS.

Shaleen Kumar: Let me try my luck. So 2 parts of the question. Is it fair to assume that momentum will build on from third quarter to fourth quarter, and it may continue in FY '26, right? So like your comment on that. And second, do we need to like build up in terms of the capacity, capex, etcetera. This is more from a medium-term perspective, given we are excited about the long-term opportunity, which can move upon with the Biosecure Act, etcetera, right?

So do you think that Syngene should start thinking about some capex plans because the opportunity can be so big that it could be overwhelming, and you may not be ready to capture that opportunity.

Jonathan Hunt: Okay. Super questions. This is one of the challenges of giving guidance for the year and then actually coming to fruition, is that it catapults into asking for next year's guidance, we won't get at the half year, only 6 months in. Let me try and sort of disentangle apart.

I think we've got sufficient headroom for growth in the business in terms of capacity, infrastructure and people. We've got more in biologics coming online in the second half. So I don't expect this year or next.

Let me put it this way. The restraints or ceiling on growth is going to be us bumping our head on a capacity limit. So from that point of view, it's much more around client demand, sales execution, service delivery and delivering on our promises to our clients. We're not held back by a capacity constraint. Is that in the spirit of your question.

Shaleen Kumar: Yes. In the near term, I understand that. If I can expand it a bit then. Are there any areas that you're able to identify that you would like to build upon. Again, this is more of a long term seeing that how the opportunities will come. Let's say medium to long term. And when I say Syngene International Limited

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medium to long term, it's beyond what you have answered to me right now, right? So let's say, beyond...

Jonathan Hunt: Literally, help me understand the premise of your question. When you say medium to long term, are you talking 1 year, 3 years, 5 years, 10 years?

Shaleen Kumar: Yes, let me clarify. So what I mean is, let's say, this -- next year -- beyond this year.

Jonathan Hunt: That not long term. It's a blink of an eye. I'm actually trying to

be helpful. Let me just take a

step back, why I'm trying to be helpful. So one of the sectoral trends that a lot of the investment community and the industry is looking at is China Plus One, geopolitical sort of rebalancing of supply chains.

Even if you take the premise of, say, the Biosecure Act, which has an implementation deadline of 2032, work at how many years it is between now and 2032. That seems like almost infinite amount of time from a capital markets point of view. Operationally, if you're managing a manufacturing supply chain in a large pharma company, that's not a long amount of time at all. A couple of years to decide what the sourcing strategy is, couple of years to do a tech transfer and build in scale, you're there really quite quickly. So that's why I was pushing a bit on what do you mean by medium and long term. So I think we've got more than enough capacity for this year and next. I'm hesitant to give you long-term guidance at the mid...

Shaleen Kumar: No, no, no. Okay. I didn't get a chance to complete the question. So let's leave aside the timeline. So what I meant -- what I want to intend -- what I intended to ask you is are there any gaps in terms of the capability, which you probably need to build upon given this opportunity coming in and it could be organic/inorganic as well, right?

Jonathan Hunt: Probably. But again, that's just because we're a growing business. If I look over the last decade even at Syngene, we have expanded and grown and deepened our capabilities. We've moved into new areas of science as we've seen market demand. We've got quite a good track record actually of building new scientific capabilities.

So I think you can -- it's an almost certainty you'll continue to see us do that. I try and give you some directional hints on where I see the market demand emerging, ADCs, oligonucleotides, peptides being 2 or 3 of those capability already. Clearly, we have a positive outlook on large molecule CDMO development and manufacturing, which is why we did the acquisition last year and we're bringing it online in this year. I think that's quite a lot as well as seeing good growth across the rest of the business.

Moderator: We'll take the next question from the line of Sudarshan Padmanabhan from JM Financial PMS.

Sudarshan Padmanabhan: Sir, my question is on a little bit more deeper in terms of the nature of the incremental inquiry that you're getting. I want to understand a little bit more on this primarily because if I look at last 5 year trajectory for us, we have done so much in terms of not only even bringing capacity but also capabilities, right, if you look at from peptides, oligonucleotides et cetera.

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So I would like to understand, today, when you are getting inbound requests from clients, whether it is Biosecure Act, which is moving the change or even a Europe Plus One story, whether that capabilities are something that is getting tested today? And how do you see traction moving, say, in the next 2 to 3 years?

Jonathan Hunt: I'm not sure I get the premise of the question. We're seeing the nature of the inquiries just aligned to what our business structure is. So I'm seeing a step-up in discovery, development, manufacturing, large molecules, small molecules. It's across the full range.

Sudarshan Padmanabhan: Sure. But what I'm trying to understand here is -- yes.

Jonathan Hunt: Sorry, yes, it's quite noisy. So it's difficult to hear you. But if you're on a hand -- if you're not on a handset, if you could pick up one, that would help. And then what is it that you're really trying to get to...

Sudarshan Padmanabhan: Yes, I would like to understand, I mean, the kind of -- if I'm looking at, say, the last 5 years or in the next 5 years, the investments that we have done towards the R&D capabilities and the nature of projects, which

our client is giving us.

So are we moving towards a much higher complexity chain in terms of the synthesis and the delivery with our clients. So in a way, what I'm trying to understand is are we becoming closer to the innovator in terms of partnering with them more and more?

Jonathan Hunt: Yes. Yes. No, it is. But that's sort of the strategic history of Syngene laid out over 20, 30 years there. We are doing more complex integrated projects. We're also doing some not complex non-integrated projects. There's nothing wrong with that. There's a market demand for want of a better phrase, point and shoot chemistry, point and shoot biology, and we're very happy to do that, do it well and create value for our clients through it.

But there's also a demand for more integrated and sophisticated work. That's symbiotic and sort of dovetails rather nicely traditionally with the biotechnology model of being people and asset light, heavy on ideas, they bring the capital and the idea, we bring capability and the infrastructure. So that works quite well in that space.

But we're also pretty good at simple things done well at scale effectively and efficiently. And we're very happy to have both of those in our offering to our clients.

Sudarshan Padmanabhan: Sure. And just taking things forward from your previous commentary. You have also built huge capacity in Mangalore and the biologics capacity that we have. Now that we are seeing a lot of products coming in, can you -- your capacity, coming on the capacities. I mean now that we are seeing a lot of one molecule.

Jonathan Hunt: Capacity.

Sudarshan Padmanabhan: Yes. On the capacity side, I mean, now that you see a lot of business coming in and several molecules moving up the value chain. One, how do we see the utilization, say, in the next 2 to 3 years?

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3 years. And derivative of that, should we see a new high in the margin, say, in the next couple of years? One is complexity, the second driven by operating leverage.

Jonathan Hunt: Okay. You're not going to be surprised that I may not give you a full and frank answer from that. It's the midpoint of the year. We set out guidance for the year, fairly directive that we think the second half is going to see a good improvement in revenue growth rates.

You saw some operating margin improvement in the second quarter year-over-year. You're going to see more operating margin improvement, operating leverage in the second half. That's me prognosticating 6 months out, having drawn a picture.

Sudarshan Padmanabhan: I'm actually taking a little bit longer. If you can say about, say, FY '26, FY '27.

Jonathan Hunt: Yes, I'll do that at the full year results as we do every year.

Sudarshan Padmanabhan: Sure. Sure, but I would assume that directionally, we should be positively surprised?

Jonathan Hunt: That's fine. Your assumptions are yours.

Sibaji Biswas: To your point, it's a no brainer that as capacity utilization increases, margin would increase, but we'll not stop doing what we are doing, right? We are always investing in future technologies, future platforms, future skills. And it has been our effort to kind of keep the margin within the range of what we are now guiding.

So it will be a balance, but it's a combination of both, and you can model that out because we will not pause further investment, further acceleration, further skill building. So it will -- the ultimate margin will come out as a combination of growth somewhere and investment somewhere else. I hope that clarifies well.

Moderator: The next question is from the line of Tarang from Goldbridge Capital.

Tarang: A couple of questions. One, Jonathan, in your opening comments, you said that the inquiry pickup that's coming your way at the current point of time, it's for pilot processes. And you're

not the only partner that your customer is workin

g with.

There are multiple pilots that the customer is running. And hopefully, you should be able to convert this. So the underlying question is, what is it that the partner really looks into? And how does the partner compare? Or I mean, what are the drivers for the partner to finally sw ay the decision in your favor of in favor of one of your peers. So that's one.

The second is on your large molecules business. As you see utilization is ramping up for this business, say, 2 years out or 3 years out, do you believe that this facility will be utilized only by multiple contracts of small value? Or do you think more likely case of a single or a couple of customers really ta king away the entire capacity. Just to try to get a sense on how this biocontract manufacturing business will emerge 2 to 3 years from now?

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Jonathan Hunt: Okay. So I'll probably try and answer them in reverse order. No, I would expect it to be multiuse, multiclient in terms of the mix in the biologics business. But that just reflects the size of capacity that we've got there and also the amount of space and headroom to scale it.

I mean we're going to bring Unit 3 online, but it's not fully built out. The re's further space on the site and there's infrastructure there to go for a second and even a third wave of further capacity expansion over the long term. So it's a bit of a nonstatic frame that you've got to put around your question.

The capacity can expand to meet the demand and therefore, you become circular in your logic, you end up with multi -clients, multi -product, I think, is the strategy there. And then on your other question around what is it clients are looking for, nothing new and insightful. It's what they've always looked for.

Have you got the capability? Are you competitive and capable? Can you deliver to time to cost to quality? Do you have scientific creativity alongside good service and you offer good value for money. So I don't think t here's anything new under the sun around how customers select their CRO, CDMO partners.

I think the China Plus One rotation, if you want to view it through that lens or supply chain resilience and dual sourcing, it's all the same thing. There's different drivers behind it. If you're looking at big pharma, they tend to be steady to the point almost have been glacially measured in the speed of change, but when they change, they change with real purpose.

They've got a 2032 deadline out of the Biosecure Act. So they'll move over the next 2, 3, 4, 5 years. It's not an overnight sensation, but it's a really positive tailwind on the industry for those of us that have got capacity in this part of the world and outside of China.

Tarang: Sure, Jonathan. Just to foll ow up. I mean, to my first question, all things equal, but say, at a slightly elevated price point, do you believe that customers in pursuit of wanting to have a more sustainable supply chain, are willing to go ahead with that proposition?

Jonathan Hunt: What do you mean by sustainable? Are you using that in the ESG?

Tarang: No, no. sustainable in the sense a derisked supply chain, if you may call it. I mean, are the customers willing to pay a little more to ensure that it's a more robust derisked supply ch ain?

Jonathan Hunt: Not massively, no. I mean are any of us looking to pay more if we think that if we bring volumes, we can get good prices. But we make good margins at existing market prices.

Moderator: The next question is from the line of Tushar Manudh ane from Motilal Oswal Financial Services.

Tushar Manudhane: Okay. Sir, with respect to the Stelis facility, just would like to understand post -acquisition, like where are we in terms of, say, in terms of the product development phase, are we into the stag e where we exhibit batches for the customers or we are still some away...

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Jonathan Hunt: Not really. We're still in the engineering, upgrading, kitting out, getting it ready to operationalize phase. Absolutely on track, maybe coming in a little bit early, coming into budget, if not a little bit under budget, perfectly happy. But maybe our sort of prior comments didn't land. Since we bought it to today, we're looking to convert what was a plant design to make vaccines into one set up to make antibodies, and that's the phase we're at, at the moment.

Tushar Manudhane: So effectively, the exhibit batch level, the commercial benefit would be like a quarter or 2 away? Is that a safe assumption?

Jonathan Hunt: No, you're jumping ahead, assuming there's exhibition b atches in production and it's a revenue,

the new capacity play brings us headroom for future growth.

Tushar Manudhane: But by the time -- I mean the facility would have been already showcased to the potential customers, right? So any RFPs on that facility while we sort of reengineer and make the facility ready for the customers?

Jonathan Hunt: Yes, I think that's a level of forensic detail that we've never shared. I mean I roll all of that up into our annual guidance. I'll go back, biologics demand in the market looks healthy. Our business has performed well during the year.

Strategically, we were starting to worry we're going to run out of capacity, which is why we were delighted to bring our organic capacity expansion forward by a number of years through acquiring the site from Stelis.

But I can start calling it Syngene Unit 3 and not Stelis. They're getting a lot of free advertising from questions. And we're bringing it up to our standards and retooling it from a vaccine plant to an antibody one. In terms of future outlook on sort of revenue potential, I'll roll it all up into the guidance we'll give you at the full year.

Tushar Manudhane: Got it. This helps. And lastly, on the second half FY '25 guidance, while the guidance as far as revenue growth is sort of maintained, just would like to understand what will drive this.

Whether it is discovery development or commercial? And it's not in terms of quantifying it, but if you could at least help in the pecking order?

Jonathan Hunt: So yes, no, and across all 3, how about that? So yes, yes, you've understood this correctly, we expect there to be growth in the second half. Actually, it's going to be reasonably well balanced across all the aspects of our business. Costs for running a place like infinity and all is in the P&L.

Tushar Manudhane: So which means at least the profitability? Sorry?

Jonathan Hunt: Go on, go ahead.

Tushar Manudhane: So which effectively means that the profitability growth will be much better compared to the revenue growth, right?

Jonathan Hunt: What a super question. Given that it's Sibaji last conference call, that one's going to him.

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Sibaji Biswas: So instead of kind of making it a relative statement, first half is 25% and if you -- if we are saying that the overall year would be close to last year, which was 29%, automatically, we are stating that second half profitability would be pretty good, right?

And that profitability would come from revenue growth happening across all businesses, which should then ideally slow down the profits after adjusted for the direct cost. So looking to a good second half, good growth and good profitability. That's how I sum it up.

Tushar Manudhane: Sure. And lastly, just one more, if I may. This related to Stelis facility, is that already captured in the P & L?

Sibaji Biswas: Can you repeat the question?

Tushar Manudhane: Operational cost related to Stelis facility, is that already captured in the P&L?

Sibaji Biswas: So we go by the accounting standards, any engineering costs directly attributed to the modification of the f

acility is capitalized, but otherwise, operating costs for running a place like utility and all is in the P&L.

Tushar Manudhane: So basically, the employees and all are already onboarded, and so that cost is already in the P&L.

Sibaji Biswas: I'll qualify that by saying that the operating employee costs are in the P&L that -- but some part of that, which is directly attributed to the modification of the facility is capitalized. So when it becomes operational, the operating cost may go up from what it is currently the P&L, but only to a certain extent because a large part of that is already in the P&L.

Moderator: Ladies and gentlemen, this will be the last question for today, which is from the line of Deval Shah from RBSA Investment Managers.

Deval Shah: Yes. So I basically have 2 questions.

Moderator: Mr. Shah, I'm sorry to interrupt. Your audio is low, sir, can you please increase the volume a little bit?

Deval Shah: So Jonathan, I have 2 questions. So one is surrounding -- so both are strategic. So I was reading a report, and it said that your international larger peers or competition, I would say.

They -- when they were in the growth phase, they gained immensely by establishing the labs and the smaller operations, proximity to their innovation hubs in U.S. and Europe and they retain the larger delivery operations in China and their domestic place.

So just wanted to know your thoughts in -- with regards to this, with respect to Syngene how we would like to develop 10 years from now. Or I would say, so whether having a lab in U.S. or Europe would have us in getting more business. So your thoughts on that?

Jonathan Hunt: Super. That was one question. Was there a second one?

Deval Shah: And yes, the second question is with respect to the -- your domestic -- so it is now the open thing that, yes, there is a China Plus One Biosecure Act, and many innovative companies are looking in India to have a partner. So what is the evolving landscape in India? How your competition -- so have we, as a Syngene are standing vis-a-vis the competition within India? And what is our right to win in gaining the incremental business or the RFPs we are getting. So that's the 2 questions.

Jonathan Hunt: Well, super. Good questions. I mean, the first one, actually, strategically, I'm open-minded on it. It becomes much more about how and when. But there are elements and segments of the market that you can't access if you're already in one geography of the world. By the way, that's true for people that are only in one geography in the world, but it's another part of the world. So if you've got a European-only footprint, you're going to struggle to provide service to people who want an Asia-only supply chain or a U.S.-only supply chain. So I'm not intrinsically for it or against it, we're open-minded, and we'll address it on its merits. There are certainly some segments where you can see a very local regional supply. So people who are in the U.S. want to partner with people that are in close geographical proximity. So it's a means to an end.

Is that -- it's a neutral enough strategic statement, I can see some merit in it. But we judge every case, whether it's an organic build-out or inorganic acquisition, a partnership model on its merits and we'll be looking to create good shareholder value in a risk-managed way. That's for the domestic element. Our competition is good. It drives up sort of overall capability within the industry.

I don't think there's anything to fear. We already compete with some very good competitor companies from around the world, and we do reasonably well, I think. So I don't particularly worry about the competition. Hopefully, they're worrying more about us than we are about them.

And then there's a lot of private equity capital on the hunt around

and the world on the China Plus

One story. There are companies in adjacent sectors considering sort of pivoting towards the CDMO part, in particular, you see a number of generics companies considering it. So different business means different rules of operating, different ways of doing it. We've got a lot to learn and figure out, but I don't mind competition, and I don't mind if it drives up standards for everybody.

Yes, but also I'll just be pragmatic. Please -- there's no element of sort of hubris or nonchalance about that. You've got to come into work every day, assuming that somebody out there is planning to eat your lunch. We certainly come in thinking about other people's lunches.

Moderator: As that was the last question for today. I would now like to hand the conference over to Ms. Nandini Agarwal for closing comments. Over to you, ma'am.

Jonathan Hunt: Yes. Actually, before we do that, I was going to dive in. It would be remiss of me not to publicly thank Sibaji for a fantastic innings. It's certainly his longest innings. And for those of

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you, and it won't be visible to the capital markets, he's had a real impact within the company, way beyond the realms of just finance.

He's done an awful lot of good things to raise the standard of our supply chain and many other areas. And also has been a thought contributor in all of the discussions with the management team. I was asked earlier on a TV interview what changes we were looking forward as we segue from Sibaji to Deepak.

And I gave an honest answer, which is I don't want to see very much change. Continued impact and excellence would be very much appreciated. So we've got to thank Sibaji, he's not going yet, there's a couple more months of hard work before you go on to pastures.

And of course, welcome Deepak. It's not his first rodeo, to use the cowboy expression. This is his third or fourth time out as a CFO. So I know he starts with a good understanding of what the role is and he's already been here a month. So it feels more like an internal promotion than a new hire.

So thank you, Sibaji. Welcome, Deepak. And then the other comment from me, of course, is to wish everybody a happy Diwali. So with that one, we look at you, Nandini, anything you need to do in closing?

Nandini Agarwal: Thank you, everybody, for coming on today's call. Thank you, Sibaji, Deepak and Jonathan for

the comments. And if you have any queries, please free to reach out to the IR team. We'll be happy to know. Thank you and have a good day.

Sibaji Biswas: Thank y ou.

Moderator: Thank you, members of the management. Thank you. On behalf of Syngene International Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jan 2025

"Syngene International Q3 FY'25 Earnings Conference Call"

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MANAGEMENT : MR. JONATHAN HUNT – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER , SYNGENE
INTERNATIONAL
MR. DEEPAK JAIN – CHIEF FINANCIAL OFFICER ,
SYNGENE INTERNATIONAL LIMITED
MS. NANDINI AGARWAL – SYNGENE INTERNATIONAL
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Syngene International's 3rd Quarter FY'2025 Financial Results Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Nandini Agarwal. Thank you and over to you.

Nandini Agarwal: Good evening, everyone. Thank you for joining us on this call to discuss Syngene's 3rd Quarter and Nine Months Results for FY'2025.

To discuss the Financial and Business Performance for the period, we have on this call today, Mr. Jonathan Hunt, Syngene's Managing Director and Chief Executive Officer and Mr. Deepak Jain, Chief Financial Officer.

After the opening remarks, Jonathan and Deepak will be happy to answer any questions you may have.

Before we begin, I would like to caution that comments made during this conference call today will contain certain forward -looking statements and must be viewed in relation to the risks pertaining to the business. The Safe Harbor clause indicated in the "I nvestor Presentation" also applies to this conference call. The replay of this call will be available for the next few days, and the transcript will be made available.

With this, I now turn the call over to our Managing Director and CEO – Mr. Jonathan Hunt.

Jonathan Hunt: Thank you and thank you to everybody for joining the call today.

As always, my remarks will cover an "Overview of the Key Financials and Market Trends for the Quarter" before getting into any "Operational Strategic Highlights," I will then hand over to "Deepak to Provide a More Detailed Insight into the Financials in his Remarks both for the Quarter and for the First Nine Months of the Year."

We are pleased with the performance in the 3rd Quarter , return to growth and I think it sets us on the right trajectory for the rest of the financial year. Reported revenue from operations for the quarter came in at Rs.944 crores, up 11%. We benefited from a favorable exchange rate between the US dollar and t he rupee that resulted in approximately an 8% increase in revenue from operations in constant currency terms, saw 3% FX benefit.

Looking at the growth sequentially :

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Revenue from operations increased by 6%. I think that's an indicator that things are moving in the right direction. Operating EBITDA was up 23% to Rs.284 crores. So, we delivered good operating leverage with the operating EBITDA margin increasing by around 300 basis points. So, that came in as 30.1% for the quarter.

Reported profit after tax after exceptional items for the quarter was up 18% year -on-year to Rs.131 crores. This reflects good underlying performance and despite the tax-related one-off that you will hear more from Deepak shortly. So, during the quarter there were signs, I think, of stabilization in the US biotech funding environment. That said, the market didn't recover as quickly as we'd anticipated when we set our guidance at the beginning of the year. So, while we called the return to growth in the direction of travel, I think correctly the timing feels like 8, 12 weeks off. So, we will cover more of that when we comment on expectations for the full year. But back to growth in the quarter, directionally in the right way took a little bit longer in the year than I anticipated when I first set the guidance at the beginning of the year.

Discovery Services contributed to the growth in revenue in the quarter as well, marked by collaborations with mid and large pharma companies on pilot projects. Last quarter, we had quite a discussion around biopharma companies looking for

alternatives to China as they rebalance

their supply chains, the partnering through pilot projects and they're using these as a way to select their longer -term partners. And during the quarter the initial pilots converted through for us into longer -term contracts and of course, they then have the opportunity to contribute to growth next year.

The performance of development and manufacturing services remain steady, driven by biologics with repeat orders from existing customers and also through new collaborations on integrated projects that cover anything from drug development to clinical stage manufacturing.

To sort of conclude, performance in Q3 was positive with a return to growth, good momentum across the business divisions that put us on the right track for the next quarter, we made good progress on our strategic priorities, and I think we are moving in the right direction to gain in that longer -term, China Plus One trend.

So, with that, let me hand over to "Deepak and he will give you More Detail on the Financials."

Deepak Jain: Thank you, Jonathan. Good evening, everyone.

Let me walk you through our " 3rd Quarter Performance, followed by a Review of the Nine Month Results and an Update on our Outlook for the Fiscal."

As we had indicated in the year, we expect growth momentum to build in the second half of the year and Q3 marks the return to growth on a year -on-year basis. As highlighted by Jonathan, growth during the quarter was driven by performance across all divisions.

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Operating EBITDA margins came at about 30.1% for the quarter compared to 27.5% in the previous quarter and 27.1% in the same quarter last year. Operating EBITDA margins benefited from lower material costs during the quarter which as a percentage of revenue from operations declined from 27.8% to 25.2% in the 3rd Quarter . This was driven by a change in the business mix and some efficiency gains.

Material costs are likely to be in the range of 26% to 28% as we had guided earlier.

Staff cost increased by 14% year -on-year, primarily driven by salary increments and recruitment in skill areas needed to build capabilities in the business.

With a focus on deployment of energy efficiency measures, renewable energy now comprises 96% of our total energy consumption.

Other direct costs remain flat during the quarter as compared to the same quarter last year.

Moving on to other operating costs, which increased by 18% year -on-year, largely driven by investments in digital initiatives, maintenance and upkeep of expanded facilities and infrastructure. This broadly remains the same as percentage of revenue through this year at around 13%.

Turning now to Treasury and our Hedging Performance. Revenue for the quarter was hedged at around 85.3 per dollar. The average spot rate during the quarter was lower at about 84.8, resulting in a hedge gain. As a reminder, we hedge most of our sales for a 12 month period, hence any change in spot rate while is reflective in the revenue gets adjusted in the hedge rate as a hedge gain or loss in the P&L. The company saw a hedge gain of 2 crores against a hedge loss of 12.4 crores in the 3rd Quarter of the previous year.

Operating EBIT was up 42% year -on-year, supported by stable depreciation cost of about Rs.109 crores similar to the last year.

Interest expense increased by 15% year -on-year due to an increase in lease liabilities.

The other income for the quarter was Rs.18 crores compared to Rs.29 crores in the previous year, which included a one -off item relating to income tax refund amounting to Rs.15.8 crores in the same quarter last year and Rs.2.5 crores in Q3 FY'25.

Moving to income tax, during the quarter, the company chose to settle income tax dues for prior

year amounting to Rs.9.5 crores under Vivad Se Viswas Scheme.
With facilities coming out of the favorable tax base created by the SEZ s

tatus adjusted for prior
year taxes I mentioned, the reported effective tax rate stood at 22.2% against 19.3% in the same quarter last year.
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Reported profit after tax before exceptional items increased by 14%, after exceptional items grew by 18% to Rs.131 crores.

Turning the Performance in the First Nine Months of the Year. Revenue from operations was up 2% year -on-year in reported currency, flat in constant currency as early softness in the first half of the year was offset by the recovery in the 3rd Quarter . This growth was marked by return to growth in discovery services division as well as continued growth in the Syngene CDMO division with increased traction in biologics.

Despite decline in revenue and EBITDA in the first half of the year, the 3rd Quarter revenue growth and improvement in margins enabled us to report flat year -on-year EBITDA for the nine-month period. The operating EBITDA margins stood at 26.6% compared to a 27.1% in the same period last year.

While raw material costs benefit from gain efficiencies in biologics, investments in people, digitization initiatives, in addition to decline in revenue in the first half of the year, impacted margins. The trend of operating expenses in the first nine months of the year broadly reflects that of the 3rd Quarter .

Reported PAT after exceptional items decreased 3% year -on-year to Rs.313 crores due to an increase in depreciation on account of investments made in the last 12 -months and a decline in interest income due to lower cash balance as we utilize the cash to acquire Biologics Unit from Stelis Biopharma in Q3 of FY'24.

We continue to invest in the expansion of capacities and capabilities in technological advancements to drive long -term growth. Over the first nine months, we invested a total CAPEX of around US\$34 million, approximately 50% in research services and approximately 25% in biologics to upgrade Unit -III, the manufacturing facility that we acquired last year. We continued our investments in digitization and automation, which we believe are essential for increasing efficiencies in our business. We maintain a strong balance sheet and after meeting our CAPEX for the quarter, we have a net cash of Rs.838 crores as of December 2024.

Finally, let me say a few words about "Guidance." Revenue trajectory in the first half of the year was as anticipated. The 3rd Quarter performance was back to growth after three quarters of decline. The growth observed in the quarter indicates that market dynamics, particularly within the US biotech sector, are stabilizing. As mentioned by Jonathan, the recovery in demand, which was expected in the second half of the year, experienced a delay of approximately eight to 12 weeks.

We saw initial pilot projects with large and mid-size pharma companies starting to convert into longer -term contracts. We are also seeing positive momentum in the CDMO division led by biologics.

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We expect the growth momentum to continue in the fourth quarter of this financial year. Despite challenges faced in the first half of the year, we expect to close the full year with single digit revenue growth and a flat track.

As communicated in the last quarter, we expect operating EBITDA margins recovery to continue in the fourth quarter, which should lead to a full year margin around the same as last year in the high 20s as we have guided previously.

Our CAPEX program for the year remains on track at around 60 million by the end of the year. While we remain cautiously optimistic, we continue to focus on executing in line with our strategies and are investing in the right capacity and capabilities to position the company for future growth.

I will now hand it back to the operator and we will take a few questions.

Moderator: We will now begin the question -and-answer. We will take our first ques

tion from the line of

Shyam Srinivasan from Goldman Sachs. Please go ahead.

Shyam Srinivasan: Just on the revenue guidance cut, right, so I think earlier we had high single digit growth. I know it started with range high single digit to low double digit. Now, can I assume like mid-single digit dollar like 5%? I am not asking you to pin down a number but just trying to see this trajectory of revenue revisions downwards. If you could help us understand with the qualitative comment around eight to 12 weeks but in terms of when we started the year versus now what's

been the biggest mis s for us in terms of expectation versus reality? And two, if you could also help us give the split of the businesses between CRO and CDMO, right, research versus CDMO, has there been a mix shift in the nine months or maybe in the forecasted 12 months so th at we can get a sense of where the weakness is higher or lower? So, those are my two questions.

Jonathan Hunt: I shall try and color in a bit more and help you think about it. I mean, what I was trying to get at with my comments, our guidance at the beginning of the year is two sets of forecasts really, isn't it, because I have to trip. Let's take a view on what we think the rate of recovery in the US biotech funding and then flow through to expenditure market is and then I had to try and take a view on what we think our share within that market is. And I think the comments I was alluding to you to is the rate of stabilization in the biotech funding took longer in the year than what we'd included in our original guidance. I was hopeful that we would stabilize clearly in 2Q and I think it stabilized more in 3Q. If you actually look at our ability to win share in, it looks on plan to what I originally expected, just phase shifted out by those eight to 12 weeks. So, that's what, the coded language if you are decoding what were we saying in the press release in the comments was exactly that. It's good to be back into growth in the 3rd Quarter plus 11%. I just think that the external environment stabilized a little bit later in the year than I'd originally baked into our guidance when we gave it. And then I am sure as the earning seasons go through, you will read that across into the performance of others and other comments and we will all piece together the Syngene International
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jigsaw at the end of the earnings cycle. As to the split, I think and again this is intuitively embedded in it. If it's US biotech funding, it's more likely to be in research because that's what they spend their money on when they rave in. So, I think that's probably true. Does that help?

Shyam Srinivasan: Yes. So, maybe you put this number out only once a year. So, is it fair to assume like 100, 200 basis points of that 60% has actually come off, right? I am trying to assess the decline in the CRO business. I think that's what we are trying to assess, Jonathan.

Jonathan Hunt: It's growing; it grew in the 3rd Quarter .

Shyam Srinivasan: Just macro. There's been a delay in the whole US Biosecure Act being cleared by. So, I am not asking you to comment on legislation, but from a conversion of these projects, like you said, there's a pilot project that has been converted. Has there been any behavioral change or are people now reluctant to kind of or there is the urgency to move things out of China, let's assume, has that reduced, so any comment?

Jonathan Hunt: Again. I don't know what would terrible thing to the CEO asking me analyst question rather me , it is other way around. Well, how would you interpret all the comments I've made throughout the year and the year before and things like Biosecure. I think I've been fairly constant and saying, at best, it's the cherry on the top of the cake, it isn't the cake, it's as much or more so about pandemic learning, COVID supply chains, it's around structural rebalancing around it's about risk co

mmitees. I think I and many other CEOs have not placed a single point emphasis on the Biosecure Act. Now, if you're using that as a shorthand for the whole thing, I get it. But the big change in the Biosecure Act was the moment that they took the implementation deadline from, you've got to get it done in 12 months to you've got to get it in eight years. But that happened over a year ago. And again, that's the 3rd Quarter I've made that comment. I think it feels like it anyway. So, I don't think it's that. I think it 's more structural. Here's a good word for you. It's more tectonic, like plate tectonic, it's going in one direction, it's powerful, but it's slow moving, steady moving, however you interpret tectonic. But that's what I've been trying to say to you all year, I said it over here. I said it on public dias and conference calls. In most industries, that would be considered to be a reasonably positive structural tailwind that was going to play out all them, you can now go back to the last two quarters, this will play out over many years, not over weeks. So, there you go, Srin. You've got me in a talkative mood and I've colored in as much as I can. So, that's what I think is going on across the industry. And that's good, that's a positive for the Indian industry to have that sort of structural dimension to it.

Moderator: Next question is from the line of Chirag Dagli from DSP Mutual Fund. Please go ahead.

Chirag Dagli: Jonathan, you talked about positive momentum in the CDMO division led by biologics. Does this mean that the new facility, which is going to come on stream, you already have customers for that and how should we think about ramp up of that capacity as and when it comes on stream?

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Jonathan Hunt: Super question. No, it doesn't mean that, no, it doesn't mean that as in I made no comment on it. The whole point we were telling you is about the acquisition of that facility. We were running out of capacity because of the rate of growth we have seen over the last two or three years in our biologics. We were getting close to me being concerned if we continue at this growth, we will have to turn clients away because we won't have capacity. That prompted us to think do we accelerate our internal build out. And that's still left us with an overhang risk, which was you

can't build plants that quickly. And then we saw a good opportunity, which I think was good value. We paid cents on the dollar for that facility, and we have invested and then we told you, look, don't start plugging anything into your models. It's 12 months just for us to do the renovation and the retooling and the reengineering and that 12 months is not yet that ends this quarter and we are on track. So, all that happens probably in April is that facility is ready to do work for clients that want to place work there and then we are into the selling cycle. But I am going to look across at my finance colleagues and not if I am getting this right. The life cycle on the plant like that is 20, 30 years. So, we will try and sell capacity, but I don't know, I am not a big believer in hockey stick moments in any sort of business. Does that make sense?

Chirag Dagli: Understood. Fair point. The other question is, Jonathan, we have spent two years now with single digit kind of growth in FY'24 and FY'25 and you always articulate the reasons well. The question is the next two years or maybe three years, how different should they look versus the last two years where we spent single digit while we continue to invest in the business for the longer term? But revenue growth -

Jonathan Hunt: Yes, super like I get. You know, I am not going to give you a two-year guidance, I would look at the 3rd Quarter results. But let's just minimize it to quarter, shall we? Minus two last quarter, minus two the quarter before plus 11 this quarter, you can triangulate as Srinivasan did from

Goldman in his first question, what does it mean for the full year, fourth quarter. I think feels like the 3rd Quarter. So, there you go. I am not prepared to go into next year, but at least I have told you a bit about what I think is happening in this quarter and next. We are back into growth. We will update you in April when I've had a chance to really have a look at the annual operating plan. But I see very similar patterns. If I look across either our Indian peer group or look more broadly, we don't look to some of anything, we went into the slowdown a little bit later than them, we have come out of it maybe a quarter earlier than many of them, but was all largely experienced the same. I think slowdown in research because of slowdown in biotech funding and therefore slowdown in expenditure and I think it stabilized. We will see how much it rebound.

Chirag Dagli: What is your employee strength and scientific talent pool strength?

Jonathan Hunt: I need to look it up, but we publish it once a year in the annual report. It's largely unchanged. There's some very good scientists though.

Chirag Dagli: So, it's largely unchanged from the March '24 number as on today?

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Jonathan Hunt: I think so, but I'd have to go and look it up. Not something that we report quarterly.

Moderator: Next question is from the line of Alankar Garude from Kotak Institutional Equities. Please go ahead.

Alankar Garude: Sir, one question is on the technology bit or the capabilities bit. Now out of the various capabilities, technologies such as say lyophilization, low chemistry, column chromatography which we offer, which ones would you say are our forte? And similarly, I mean which would be the technologies where you think that there is some catching up to do in terms of the depth of our offering?

Jonathan Hunt: Clearly we think we do a good job in large molecule biologics, whether it's discovery, development or manufacturing of those. In the small molecules, actually all of the things that you listed are sort of core competencies where we are right in the middle of the pack where I think we are very solid on our small molecule development and manufacturing. And then once you go into the research services, remember, historical research is the biggest part of the business. You're right on the frontier of many things. Whether it's some of the advanced techniques in biology or in chemistry, I think we are doing some really good innovation work. But if you roll it back to strategy, our intention is to be broad enough on our scientific capabilities that we can meet the needs of a large proportion of the market, particularly recognizing that a lot of our customers also have large scientific footprints, and they don't want to be having managing a multiplicity of partners. They quite like that bit of one-stop shopping. They can align culturally, operationally, and then get everything they need. So, we are intentionally broad scientifically.

Alankar Garude: The second one is more of a clarification. Last month in December, there was this FDA letter which came for Librela. This is not really a new issue, but I just wanted to understand, get confidence from you whether that \$50 million annual number, do you foresee any risk to that at all?

Jonathan Hunt: I couldn't comment on the FDA letter. I mean, that's a question for Zoetis. I will go right the way back. The \$50 million I think what I actually said at the time was an answer to a question, how do you want us to think about this? And I said \$500 million over 10 years will average around \$50 million a year. Beyond that, we don't call out individual quarters or months of production partly because it's clearly competitive and sensitive for our clients. I don't think they would want to be disclosing that to their competitors. My understanding is it's doing well in the marketplace.

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and we are very happy with our relationship.

Alankar Garude: So, essentially, on that \$500 million number, you don't foresee any risk as now?

Jonathan Hunt: I don't think I said that, but then I don't know the CEO, you're not a professional risk, I don't know what it would be. I spend a lot of time worrying about what could go wrong to make sure it doesn't go wrong. Please don't misinterpret. I am not making any suggestion around that, but

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you did ask me a question to prognosticate for another eight years. I don't think I could do that.

But today the relationship is good, the product is doing well, I understand certainly our delivery and manufacturing has been good and continue to get better. Very happy to have that relationship.

I hope we do a lot more with Zoetis, with other animal health companies and with human health companies.

Moderator: We will take our next question from the line of Madhav Marda from Fidelity International. Please go ahead.

Madhav Marda: My first question was if I understand right and correct me if I am wrong that we have two facilities, one is the one which we acquired and one is the Mangalore API facility, both of them seem to be running lower on the utilization side. So, just what I wanted to understand is how much of a drag does that have on our profitability given that there might be operating leverage that you're facing with those sites currently, so if you could give us some sense to understand?

Jonathan Hunt: Just the basic construct of the question, no, we don't have just two facilities, we have an entire manufacturing campus facilities here, our main campus in Bangalore around the corner, we have got Unit -III which we have added, which is a large molecule one, we have got a campus with more than one block over in Mangalore. Yes, so to some extent your question is a derivative of the construct.

Madhav Marda: No, my point was that these two facilities are the ones which are a bit underutilized currently, right, where one we are renovating the site and one way -

Jonathan Hunt: Super. Well, it's not unutilized. One of them hasn't opened yet.

Madhav Marda: My simple question was how much of a cost very broadly are we incurring at these two sites so we can get a sense of the underlying business profitability given that initially as you scale up the plants, you might be incurring some OPEX at both the facilities, right?

Jonathan Hunt: Love the question. Not sure we have ever given that level of detail. I am looking at my finance colleagues anything helpfully I can do. I mean, you've got turnkey operations in there. Whatever you need to bring a facility up to speed, it won't be an enormous amount. But beyond that, I am not sure I can give you that level of color.

Moderator: We will take our next question from the line of Bharat Sheth from Quest Investment. Please go ahead.

Bharat Sheth: I want to understand how much we integrate the IT on the research side, expedite as well as AI part side, so if you can give some color in our road map for the same?

Jonathan Hunt: Gosh, we could be here till midnight if we really talked about it. It's quite an exciting area. We do, do it. So, we have within the company of course our own AI informatics and sort of digital

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research if you think in that way group. So, as I was saying a good question. There's an awful lot of excitement and there's column entries written every day around Gen. AI application in all walks of life and we are making good progress on that journey. We have those sort of decision support tools already operating in the company, whether it's use of things like alpha fold, you will have read about that to help you predict, how proteins fold and therefore help you in drug discovery, whether it's AI augmentation of scientific decision making, we have algorithms that will go

and look at all of the scientific literature in the world and help our scientists understand what's already known so they can add to it with new innovations. We have digital ways of helping us predict the MPK distribution properties. So, it's real. I don't know. I think it's a little bit like the moment where the world started talking about the internet and then just not being able to live without it. Certainly, I find in my home life, with my youngest son, he can barely breathe unless he has access to the internet. I think that's what we are going to see in the world of work. We will build those AI tools into everything we already do scientifically. Does that help? I am not sure I told you anything specific other than what we are doing.

Bharat Sheth: Yes, but if you have to think of from say two, three years perspective, how do you think that can really benefit on the efficiency side or bringing down the cost, so any color do you have at this moment or will have to wait?

Jonathan Hunt: Certainly, if you find ways of doing things quicker... I think the real issue in innovation, let's split it between the innovative bit of the company, finding new drugs, creating new knowledge and then the rest of it. In the innovation bit, you just want to help you, make the right decision more often, make the right decision quicker, have a higher degree of confidence in your scientific

decision making. So, it won't necessarily make it cheaper, but it will make it more value creating because those are the magic moments in drug discovery. It's an intuitive breakthrough that you validate it, proving that something works. So, it's a lot around decision support. And then I think if you come into the rest of the business, like many companies. I don't know you will end up with AI bots looking at your financial accounts, your press release, your admin, your contracts, and there you will just try and industrialize white collar work and augment it digitally and that will drive up speed, drive down cost. But I think that's a journey that all businesses, yours, including, I would imagine would go through and those sort of things. And then the last bit for us actually scientifically it bridges from manufacturing into the labs, it's around automation. How do you try and link various machines together so that you don't have that human intervention and therefore you can go a little bit quicker with certainty, and we do that sort of thing every day at sort of a business as usual task to see how we can try and automate various processes within the business.

Bharat Sheth: I have one question for Deepak. Sir, in initial remark we said that we take the hedging for the 12 months. Is it fair understanding the rolling 12 months or for our financial year only?

Deepak Jain: No, we are just talking about the financial year.

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Bharat Sheth: Again, say next hedging will be at little higher rate than what we already have, correct?

Deepak Jain: Hedging or financial year.

Jonathan Hunt: Do you hedge one for 12 months or do you hedge every day for a rolling forward view of 12 months?

Deepak Jain: We do a rolling forward view hedging. I thought your question was around financial.

Jonathan Hunt: Just let me summarize. No confusion that we caused. Hedging forward view 12 months, but rolling. So, we updated in real time. Forward book goes 12 months.

Moderator: We will take our next question from the line of Neha Manpuria from Bank of America. Please go ahead.

Neha Manpuria: Jonathan, based on your comments that there is a structural need by innovators to look at alternate location to China. Is there any investment you think we need to make the increase in the commercial footprint in order to get that business with the competitive dynamics changing globally?

Jonathan Hunt: I think we have done quite a bit of that. So, if you look two levels either on a capacity level now

go back to the earlier discussions were asking me about when is Unit -III Stelis coming on line.

That's just making sure we have got the capacity headroom in place to enable future growth because we were running out of capacity. And on the commercial piece, I assume the earlier question about what's the latest headcount was digging into this. The 14% if I got the right, 14% increase in the salary bill, some of that is going into new capabilities and some of that will be in commercial, our sales force structurally over recent years. We now have more of the staff living in the West, close to clients, and I think that's advantageous for us. Net-net it's more expensive on a per person basis, but they spend less time travelling to the US because they live there already and they're much closer to their customers that gives them more selling days in a year and often it gives them the opportunity to build closer relationships. So, I think we have done some of that already.

Neha Manpuria: Would this addition be more in the recent years, I understand you would have been obviously investing this but has that focus increased, that investment increased let's say in the last few quarters with this entire noise around Biosecure, etc., whether it happens or not?

Jonathan Hunt: No, no, again, you're going to take me back to where you said that entire noise about the Biosecure. I tried really hard at the beginning of the call to say it's more structural than the Biosecure. It started over the last 24 months and certainly was in place over the last year. You can see that in our margins and our costs. But it's good, it's the right thing to do, if we want more, connect more face time with customers, we have got to be prepared to invest in it.

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Neha Manpuria: And just an extension to that question. Some of our peers have argued that it's an advantage to have let's say manufacturing or R&D facilities closer to customers. Would that be a direction that you could think at from a capital allocation perspective in the next few years or that's something that you think the way we have structured now with capacities in India makes more sense for Syngene?

Jonathan Hunt: Good question. I am going to give you a strategic answer, but as long as you promise not to misinterpret it because I would never comment on M&A, I've never known any exec say, "Oh yes." Let me tell you about the secret thing that we are working on it. Don't misinterpret that. I think there are elements where if you can get unique talents that you can't get in one geography of the world that are in another and that doesn't necessarily mean Europe, I can't get this in Japan,

so I buy it in Europe, I can't get in Europe, so I buy it in the US. That would be the one strategically sensible reason. The other one, if there were particular requirements from a customer point of view and you know this if you look across the pharma industry particularly on innovative drugs customers historically are much more comfortable doing drug product final formulation in region. So, you tend to get more of the drug product made in the US for consumption in the US, you get drug product made in Europe for consumption in Europe. Once you go back to API, so drug substance, then into intermediates, RSMs and KSMs, people are less concerned around where it's made as long as it's made to quality and standard and cost and you can see that, I mean the whole Indian generics industry and the Indian API industry has been founded and has benefit on that, India tends to do well on KSMs, RSMs, intermediates into some drug substance, but most of the drug products in the world is made in the regions where it's consumed, whether it's Japan or in Europe or in the US. So, you can get. I think there are good reasons why sometimes you'd want to be in one region. Equally, don't miss. There are a lot

of

Western companies at the moment thinking I wish I wasn't in the West; I wish I was in Asia. India looks good. Large population, supply of talent, labour cost arbitrage, good knowledge around chemistry and science in general. So, I think our industry group whether it's Syngene or my peers here in India are also benefitting. Sometimes it's good to be in a particular region. Does that help you?

Neha Manpuria: Yes, that's helpful. Our Baxter dedicated service contract was supposed to expire in 2024 So, is that renewed, is it up for renewal, any update on that?

Jonathan Hunt: I just would never comment at an individual client level. We have a good relationship with Baxter and I know we have done good work for them over recent years, but there's an element of proprietoriness for each individual client about not commenting on what they do and don't do.

Moderator: We will take our next question from the line of Kunal Dhamesha from Macquarie. Please go ahead.

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Kunal Dhamesha: First question is on the momentum of RFPs which used to be quite high at least in the first half of the year while you're seeing some conversion, or we will see some conversion of those RFP.

But how is the RFP momentum behaved in Q3 for us and let's say at the start of the year?

Jonathan Hunt: Good question. I will tell you what's going through my mind. When I answered that earlier in the year, I said let me give you a point of color because somebody asked me a question, but please don't expect us to report on this like a statutory reporting item from now on and you all promise me that you wouldn't do that. So, no real change, particularly, I am trying to get away from, it's a leading indicator, it was meant to give you a sense that there are people that are looking to rebalance their supply chains, whether it's from China or ever or coming out of the US because of the Inflation Reduction Act and we are out there in front of the client. I'd go back to our revenue. 3rd Quarter was up 11%. That's after two quarters of decline, minus 2, minus 2. We called it that we would return to growth in the second half of the year, took a little bit longer than I expected, largely around the stabilization in the biotech market, after that it's business as usual.

Kunal Dhamesha: But would it be fair to say that the RFP momentum that we saw in the first half has continued in Q3 or is there some change? And a related question is after let's say a probable delay in US Biosecure, have you seen any change in the competitive intensity or strategy of our competitors with their forecast or maybe -?

Jonathan Hunt: So, let me say a bit about the second one, although I am in danger of repeating the conversation we had at the beginning of the call. It's a perspective. I am sharing my view. Biosecure, if you're using a shorthand for global restructuring of supply chains, patent expiries in the US the Inflation Reduction Act impact, risk management in a geopolitical world, learnings from COVID, and balancing supply chain, so you have resilience, if you club all of those things together. I think it's more structural than one piece of legislation. The Biosecure Act was crafted, directed at five companies. And I've been consistent throughout the year. I am not hung up on the Biosecure Act. I am just looking at my clients, think about how they manage risk and resilience in their organization and they have been doing it for one or two or three years. So, I think that's real and I think that'll play out over multiple years. You're getting that?

Kunal Dhamesha: Yes, yes, yes. And then one more of a business -related question. Since we are right now at the CRO end of activities, we do manufacture but still primarily we are levered to the CRO end of activity versus CMO. In your client set, what's the kind of churn that you see over a five-year period, let's say maybe you know the

number of clients that you have right now, how many were five years back?

Jonathan Hunt: Good question and somebody's going to get me the number, I don't have it on hand, but

intuitively I will give you a gut feel. Not a lot of churns , it's very good and I can get that just through the lens of. I meet the same customers multiple times over five years, the same people, the same faces. The only thing I would say about your characterization of the company, it's 60:40 Syngene International
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split now, 60% of the revenue would be research, 40% would be development and manufacturing, so CDMO, not pure manufacturing, but it's less pronounced towards research than you might have appreciated, it's about 60:40.

Moderator: Ladies and gentlemen, we will take that as the last question for today. I now hand the conference over to Ms. Nandini Agarwal for closing comments. Over to you.

Nandini Agarwal: Well, thank you everybody for joining the call. If you have any further questions, you can get in touch with IR Team . Thanks, and have a good day.

Moderator: On behalf of Syngene International Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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"Syngene International Limited
Q4 & FY ended March '25 Financial Results
Conference Call "
April 24, 2025

MANAGEMENT : MR. PETER BAINS – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – SYNGENE INTERNATIONAL
LIMITED
MR. DEEPAK JAIN – CHIEF FINANCIAL OFFICER --
SYNGENE INTERNATIONAL LIMITED
MS. NANDINI AGARWAL – SYNGENE INTERNATIONAL
LIMITED

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Moderator : Ladies and gentlemen, good day, and welcome to Q4 and Full Year ended March 2025 Financial Results Conference Call of Syngene International Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Nandini Agarwal . Thank you, and over to you, ma'am.

Nandini Agarwal: Good morning, everyone. Thank you for joining us on this call today to discuss Syngene's fourth quarter and full year results for FY 2025. To discuss the financial and business performance for the period, we have on this call today, Mr. Peter Bains, Syngene's Managing Director and Chief Executive Officer; and Mr. Deepak Jain: , Chief Financial Officer. After the opening remarks, Peter and Deepak will be happy to answer any questions you may have.

Before we begin, I would like to caution that comments made during this conference call today will contain certain forward -looking statements and must be viewed in relation to the risks pertaining to the business. The Safe Harbor clause indicated in the investor presentation also applies to this conference call. The replay of this call will be available for the next few days, and the transcript will be made available.

With this, I now turn the call over to our Managing Director and CEO, Mr. Peter Bains.

Peter Bains: Thank you, Nandini, and good morning, everyone, and thank you for joining the call today.

Before I begin, may I say that it's a great privilege to be back at Syngene after almost 10 years and exciting to return at such a dynamic time in the industry and Syngene's ongoing growth story.

With that, let me now turn to today's agenda, where I will start with an overview of the fourth quarter results before summarizing the full financial year. I'll also share my thoughts on the year ahead before handing over to Deepak to give you a more detailed financial overview. Syngene closed the year on a solid note with reported revenue from operations of INR1,018 crores, which is an increase of 11% year -on-year and 8% sequentially.

The quarterly operating revenue crossed the INR1,000 crores threshold for the first time.

Operating EBITDA was up 8% year -on-year and 21% sequentially to INR344 crores. Operating leverage was strong with an operating EBITDA margin at 34% for the quarter. Reported profit after tax and exceptional items for the quarter was down by 3% year -on-year to INR183 crores.

The highlight of the quarter was the acquisition of the state -of-the-art biologics manufacturing facility in the United States. Within the global CRDMO market, large molecule biologics development and manufacturing is the fastest -growing segment. The acquisitions that we've made plays into this market opportunity and Syngene's total single -use bioreactor capacity for

production of monoclonal antibodies has now increased to around 50,000 liters, enabling us to cater to the growing customer and market requirements.

Establishing a commercial biomanufacturing facility footprint in the United States also brings us closer to this important market and helps in derisking the supply chain as well as providing improved flexibility.

Turning to the full year results for fiscal '25. This has been led by reporting revenue growth of 4%, which is in line with our January guidance and reflects a resilient performance in a challenging year. After a muted first half, driven by sectoral downturn in the U.S. biotech funding, we are encouraged to see a return to growth momentum in the second half of

the year.

In research services, which grew 2% year-on-year in fiscal '25, we see a continuation of the theme that we have discussed throughout the year. The central theme has been the continuing pipeline build of pilot programs deriving from large- and medium-sized pharma companies as they rebalance their China Plus One supply chain network.

Here, we have been successful in converting the majority of those pilots into full program contracts, which focus on our core scientific capabilities in synthetic chemistry, drug metabolism and pharmacokinetic studies and assay biology. The pipeline build of new pilot programs is continuing and will flow into 2026.

We also continue to make technology upgrades in research services to enable scientific excellence, improved competitive positioning and deliver customer value. A good example here would be integrating advanced automation within our DMPK operations.

Syngene's large molecule biologics business has delivered another strong year performance with FY '25 growth over 20%. In the second year -- second half of the year, we have concluded several new collaborations with clients to execute integrated biologics development and manufacturing projects across both human and animal health that have the potential to feed into the pipeline for future commercial manufacturing. As we bring more capacity online in India and work towards getting our new U.S. site ready for production, we see significant headroom for further growth.

Our existing commercial manufacturing projects for animal health with Zoetis also continues to perform well. In the first 2.5 years of the 10-year commercial contracts and as is normal during the prelaunch and launch phase of the new product, we have delivered commercial production volumes in excess of the annual 10-year run rate of around 50 million revenue as guided earlier. Adjusted for the inventory buildup during this phase, we expect the volumes and revenues to now moderate to around the annualized contract average in FY '26. In small molecule development and manufacturing, it has been a mixed year, but it's finished with a positive outlook.

Within the year, step backs related to client clinical programs and reduced annual commercial manufacturing volume demand has led to net year-on-year revenue decline of 24%. However, as we exit fiscal '25, we have now added a series of new clients and pipeline fill across both

development and manufacturing that will lead to a step-up in capacity utilization in our small molecule facilities, including Mangalore.

Let me now comment on our guidance for fiscal '26. As I've described, Syngene's performance in 2025 has been resilient, and we are exiting the year with both good revenue momentum and broad-based improved pipeline visibility and potential. Consequently, and after adjusting for the client inventory rebalancing described, we will see in our biologics commercial manufacturing business, we are expecting to see underlying revenue growth in the early teens.

This growth is expected to be broad-based and delivered across our research services, small and large molecule CDMO businesses. On a reported basis, our revenue guidance is in the mid-single-digit range. While the macro environmental variables, including the recovery of biotech funding, big pharma restructuring, uncertainties related to the U.S. Biosecure Act and global tariffs will continue.

We remain confident with Syngene's diverse and well-balanced portfolio across research, development of both large and small molecule manufacturing services, we are well positioned to navigate these dynamics and continue our growth story.

With that, I will conclude my opening remarks and now hand over to Deepak to provide further details about the financials. Deepak?

Deepak Jain: Thank you, Peter, and good morning, everyone.

I will cover financial performance for quarter

4, full year FY '25 and the guidance for FY '26. We continue our growth trajectory for Q4 '25 with revenue from operations increasing 11% year -on-year, which translates to approximately 7% increase in constant currency. Sequentially, it is a growth of 8% over third quarter.

Growth was driven by strong performance across business. Research services grew by 8% year -on-year, led by the conversion of pilot programs and demand from other customers. CDMO business grew by 7% year -on-year led by strong performance in large molecule C DMO supported by growth across commercial manufacturing and integrated PD plus manufacturing programs. However, the growth was partially offset by a decline in small molecule CDMO business.

Moving to profitability for the quarter. Operating EBITDA increased by 8% with operating EBITDA margins at 34% comparable to last year's 35%. Within specific cost items, raw materials costs stood at 23.1%, of revenue benefiting by yield benefits and lower pass-throughs, though higher than compared to 22% in Q4 of FY '24, which had the benefit of a lower base due to reversal of inventory provisions of prior quarters.

Going forward, we expect material costs at around 26% to 27% of revenue. Staff cost was at 27.4% of revenue comparable to 27.6% in quarter 4 FY '24. With our ESG initiatives, other direct costs primarily consisting of power and utility costs declined to 2. 2% of revenue this quarter compared to 2.7% in quarter 4 FY '24.

As we continue our focus on digitization and automation, other operating expenses increased to 13.1% of revenue compared to 12% in quarter 4 last year. Forex loss decreased to 0.5% of Syngene International Limited

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revenue compared to 1.1% last year as the hedge rate at INR84.9 was less than the average spot rate of INR86.6 for the quarter.

Depreciation charges decreased by 4% year -on-year, benefited by a change in accounting estimate in Q1 '25, which was partially offset by new facilities coming online. Operating profit or EBIT increased by 15% in comparison to last year, benefiting from the increase in revenue and lower depreciation. Other income increased by 18% due to increased interest from deposits and gain on sale of short -term investments compared to last year. Interest expense increased by 24% compared to the previous year as a result of finance component of the leases.

Turning now to tax. With the facilities coming out of favorable base, and the change in business mix, our underlying effective tax rate stands at around 23.8% for this quarter compared to 20.8% in Q4 FY '24. Reported tax before exceptional items decreased by 3% year -on-year to INR183 crores.

Now we turn to the full year performance. Reported revenue from operations grew by 4% and 2% in constant currency, in line with the guidance that we updated in January 2025. As Peter highlighted, growth was driven by both research and CDMO businesses.

Talking about the revenue breakup, Research Services remained stable, contributing to 61% of the total revenue, consistent with last year. Our large molecule CDMO business saw a solid uptick with its revenue share increasing to 25% in FY '25 from a 21% in FY '24, primarily driven by the ramp -up in commercial volumes .

The PRD projects from other clients, which contributed to 40% of the growth of the Biologics business. On the other hand, small molecule CDMO contributed to 12% this year, down from 16% in the prior year. Operating EBITDA margins were at 28.6%, in line with the guidance of high 20s.

Raw material cost as a percentage of revenue improved in FY '25 compared to FY '24, driven by change in business mix and improved yield in biologics. Other direct costs improved with our focus on green energy initiatives. However, this was offset by increase in staff costs and other operating expenses as a percentage of revenue

in FY '25 as we continue to invest in

leadership positions, commercial teams and digital initiatives. Overall, FY '25 margins also benefited by narrowing of the hedge loss as compared to FY '23.

Other income decreased due to lower cash balance as a result of acquisition of Stelis Unit 3. EBIT was flat at INR681 crores. Reported PAT before exceptional items for the year was down 8% to INR475 crores. However, adjusted for one -offs relating to interest income on income tax refund, expenses relating to the acquisition of the U.S. facility and reversal of the income tax provision of in FY '24, the underlying PAT increased 1% year -on-year.

Moving now to capex . We executed a \$48 million capex and including the acquisition of the biologics facility in U.S., the spend was approximately \$85 million during the year. About \$24 million, i.e., almost 50% of the base capex , excluding the U.S. site, was invested in areas such as ADCs, peptides and completion of new biologics lab in Hyderabad and other contractual obligations that we have with our clients.

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Around 25% was invested in biologics towards upgradation of Unit 3 and expansion of our PD labs. Unit 3 is now ready for operations and is awaiting regulatory licenses. We expect the capitalization to be done in Q1 FY '25 -- sorry, FY '26. We invested -- so let me repeat that. Unit 3 is ready for operations and is awaiting regulatory licenses, and we expect capitalization to be done in Q1 FY '26. We invested nearly 15% in small molecule, primarily towards capability builds in animal health facility and expansion in PRD labs. The remaining capex includes investments in digitization and automation.

Our balance sheet continues to remain strong with an increasing net cash position of INR1,279 crores as of March '25 after acquisition of the biologics facility in Baltimore, U.S. that was fully funded through internal accruals. This reflects the underlying strength of our business as well as our ability to drive good financial control.

Now coming to the guidance for next year. We expect FY '26 to be a year of -- to be a transient year with uncertain short-term macro environment building in the recovery of biotech funding, big pharma restructuring and tempering of urgency on the Biosecure Act. As Peter highlighted, our underlying business growth remains strong with revenue growth in the early teens, driven by performance across research and CDMO businesses.

Adjusted for the need to balance client inventory in the large molecule commercial manufacturing, our reported revenue growth is likely to be in the mid-single digits. We have invested in building capabilities both in India and the acquisition of the biologics facility in the U.S. to strengthen our leading position in the biologics market.

With the new facility coming online and the ramp-up of the -- over the couple of years, as guided, we expect margins to moderate in the near term. To highlight that, these were the asset acquisitions, and hence, the capacity utilization will have a gestation and a ramp-up period. Operating EBITDA margins is expected to be around the mid-20s for FY '26. Effective tax rate is expected to increase to 26% in FY '26 as the SEZ units come out of tax holidays. With increase in depreciation and effective tax rates, we anticipate a year-on-year decline in PAT in FY '26.

We will continue to make investments in building capabilities and aligning to market opportunities and plan to invest around USD 55 million of capex in FY '26. We have capacity headroom available across businesses to cater to the guided growth.

Around 40% of the investments will focus on research services, expanding scientific capabilities, automation, contractual obligations with the clients, apart from investments for growth beyond FY '26. Around 35% of the capex will be in biologics, includin

g the upgradation of the U.S.

facility and 15% of the capex will be invested in small molecule CDMO business across capability builds towards ADCs and replacement capex.

We will continue to invest in digitization and automation to enhance our productivity and efficiencies in our business. In summary, we are looking forward to a broad-based underlying revenue growth in a year of uncertainties around the macro environment. We expect FY '26 to be a transient year for Syngene as we operationalize our assets towards a robust growth in the coming year.

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This concludes my remarks. I'll now open the floor for questions. Thank you.

Moderator: The first question is from the line of Dr. Kunal Dhamesha from Macquarie.

Kunal Dhamesha: The first question on the top line growth. So, we have been suggesting that we have seen good momentum in terms of the new RFPs, and we have converted majority of these new projects into a long-term agreement. But then it's not reflecting at least in our guidance, right? So, are these very long gestation period projects wherein they will have an impact maybe a couple of years down the line? How should we think about it?

And then given that biotech funding has not recovered too much, at least in 2025 year-to-date, it's still down. Is it that the number of RFP in the market has kind of reduced, though we are seeing growth over what we are -- we used to see? So basically, TAM has reduced, but we are seeing more traction. How to think about all these variables, let's say, for the next couple of years?

Peter Bains: Thank you. I'll start on the response to that question. Deepak may add some additional commentary. Let me break the question down. The first question is around RFP pipeline and gestation. The second question is about whether biotech funding has stabilized and the implication of that to RFP pipeline. So, on the first part of the question, these RFPs are generally for pilot projects.

And these pilot projects are the opportunity for Syngene to demonstrate to a client its capabilities, its scientific prowess, its technical prowess and so on so forth. And they convert into programs and those programs can follow an evolution to bigger and bigger business

opportunities. It would not be atypical for a pilot program on conversion to a full program to have an increase of 4x on an FTE illustratively, for example.

And they can take time for the pilot project to work through and then for the program to evolve along a discovery or a development continuum. So those will -- each program, each pilot will follow that process to become a program and then each program will follow that process to grow. In the second half of fiscal '25, we've seen a strong pipeline build in discovery services of pilot programs, and we've achieved a high success rate in converting -- those will take some time to play through, but there are a good number of them.

And in addition, we're carrying through from '25 to '26, a good number of pilot programs, and we would hope to get the conversion rate at the same level. And those, again, will layer on the build throughout 2026. So that is the way to potentially look at the evolution of the RFP to pilot and the pilot to program and the sequence of how that can grow as a business opportunity.

Now the number of RFPs related to biotech funding, the VC biotech movement has varied, and we've seen U.S. VC biotech funding fluctuate more widely in the last 2 years than it has in the previous period of time other than COVID. We're also seeing RFPs derived from large and midsized pharma companies looking at rebalancing their collaboration networks around China Plus One.

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So we're seeing a good mix effect of both of those, and that is ensuring that we have, I think, a very strong pipeline moving into 2026. And the visibility of that pipeline and the potential of that pipeline is strong. And it is that, that is underpinning our confidence in our outlook that the underlying growth in our discovery services will be in the early teens in 2026, building on that pipeline and conversion layering that on top of the existing business that we have in '25 that carries through into 2026.

I think that's the picture to provide an answer to your question, Dr. Kunal. Does that answer your question?

Kunal Dhamesha: Yes, yes, it broadly answers my question. Just a follow-up on the EBITDA margin guidance. I understand that there will be operating costs related to the new plant, Unit 3 as well as the U.S. - based plant till the time they ramp up, this thing will continue. But is it also a function of a lower potential lower biologics revenue given the inventory normalization that we are expecting next year?

Peter Bains: I'll ask Deepak to respond to you, Dr. Kunal.

Deepak Jain: Majority of the drop that we are seeing in EBITDA margin comes from the new facilities that we are going to take on board, right. The operational costs that we will have. There will be obviously some impact coming from the large molecule inventory correction that we spoke about. But majority, to answer your question, will be largely on account of the operating costs that will come on account of the new facilities.

Kunal Dhamesha: And just a last follow-up from my side, if I may. How long should we kind of think about this operating drag continue? Is it till the time that these facilities undergo regulatory approvals once we get U.S. FDA or EMA approval or we should start seeing the operating leverage kicking in? How should we -- what are the timeline or the milestone we should look at?

Deepak Jain: So the way I think we should think about this is the fact that these are manufacturing sites, and we've given a direction of when these sites will become operational, right. So the Unit 3 that we acquired a year or so back should get operational this year, which means capacity will start getting utilized. We had also spoken about the site that we acquired in Baltimore to get operationalized in the later half of this fiscal.

And therefore, as and when these sites get operationalized and its capacity starts getting utilized, you will start seeing the drag come down. Obviously, the endeavor will be to see how fast the capacities really get utilized. And in some shape and form, that's factored into the revenue projections that we've given.

Moderator: Next question is from the line of Chirag Dagli from DSP Asset Managers.

Chirag Dagli: Sir, as you've given some color around FY '26. So FY '27, given whatever we've seen and the constant capex that we are continuing to do and we do more of that in FY '26 as well. Can you give us some sense of how different FY '27 should be or beyond FY '26 should be versus the last 3, 4 years where growth has not been great, and we've constantly sort of invested in the business?

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Peter Bains: Let me again open the response to the question. But again, I'll ask Deepak to comment. So how we look at this is the global CRDMO market is large and its growth is robust. This is the sort of

backdrop to the market opportunity. And that splits into large molecules, which is the fastest - growing component of the global market at around 12% CAGR out to 2030. Discovery services around 10% and small molecules at around 8%, but small molecules is over half the global market for CRDMOs.

Syngene is strategically positioning itself to build on its existing strengths to play into each of those market opportunities. So, we have a very strong discovery service platform with a very wide global customer base and a very extensive integrated service offering, which we think is well positioned to play into th

e growth opportunities presented there.

And the dynamics of those growth opportunities will include what -- where, for example, China Plus One and the redistribution of supply chains in big pharma and midsize pharma evolve, but we're very well positioned there.

And we continue to expand both capacities and capabilities in an evolutionary fashion to build on our strengths and to extend our capabilities, for example, into new high -growth modality areas like antibody drug conjugates and cell therapy, where we have a ready established good footholds there based on our inherent capabilities from which we think we have good platforms for high levels of growth going forward.

If we look at large molecules where we already have strength in monoclonal antibodies, quite clearly, Syngene has made strategic investments in capacity to enable us to grow into that segment of the global market, which is the fastest growing.

So, with the acquisition of the large molecule facility in Unit 3 and the acquisition of the Baltimore Biologics facility, we now have 10,000 liters of biomanufacturing single -use reactor capacity. And as Deepak has described, we're bringing those on stream d uring 2026 with a clear view that we will be able to accelerate the growth that we achieve in 2026 through into '27 and beyond, playing into that fastest -growing market segment.

And in small molecules, with our capacities and capabilities, while we have had setbacks, and I described those in my opening remarks, we are clearly seeing in the second half of '25, a buildup across both development and commercial manufacturing, a buildu p of pipeline and visibility of pipeline where we believe with a high degree of confidence with this visibility that we'll see acceleration there.

And that will both improve capacity utilization in our small molecule facilities, including Mangalore and will feed into that underlying early teens outlook that we've expressed, which is broad -based. We're expecting that early teens growth on the underlyi ng basis in '26 to be across our small molecules, our large molecules and our discovery services. And those will then play into your -- into the frame of your question into 2027.

Chirag Dagli: So if I -- to kind of get a little more clarity around this mid -teens, if I take the FY '24 base and grow it by mid -teens over the next 3 years is how we should think about sustainable growth over the next few years for you that normalizes the inventory bu ildup and so on and so forth.

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Deepak Jain: So, the way we've guided for this is you look at FY '25 and see the growth rate that's inherent in our businesses, right, both the discovery and the manufacturing services. And we've seen a trajectory of growth coming in the second half of this year. We're go ing to see the momentum build up for the next year. To the question that you had on capex as well and how we're thinking about '27, for sure, FY '27, we will come at the appropriate time and guide on FY '27.

But the way to think about capex right now is also to look into the fact that we've gone ahead and made investments into areas where we believe there's potential for growth and more importantly, how the clients want to look at servicing this growth . If you look at -- we spoke about automation in the DMPK modality that we have, right, or the structure that we have -- and that automation helps bring efficiency, etcetera.

So we will continue to do about -- we've done historically about 50 -odd percent that we said this year. We're expecting the capex investments to be about in the 50% range in the Discovery Services because that's where we want to focus on. It's the largest part of our business. If you look at how we've focused on large molecules, large molecule investments have been in the range of 2 5%. Incrementally, we've also made investments into capa

city.

We will continue to look at that as well. And the whole capex investments does not ignore the fact that we're getting into digitization. We're improving our infrastructure in the back end to be sure that we are ready for the growth that's coming in. Very broadly put, one should think about us trying to get to about a 1x asset turnover on the investments that we've made.

Chirag Dagli: Understood. This is helpful. Just the last bit, if I can. In terms of Unit 3, do we have firm orders on utilization of Unit 3? Just how should we think about the scale up through the next 4 quarters as far as Unit 3 is concerned as it comes on stream in th e first quarter?

Deepak Jain: I think we see a good buildup of pipeline, as Peter alluded to across, right. And the way we look at it is utilization, we don't break it down into specific facilities for us. We look at utilization in total. And we feel comfortable, continue to improve asset utilization and in a midterm to long -

- midterm, actually, get to something like a 1x asset turn here.

Moderator: Next question is from the line of Shyam Srinivasan from Goldman Sachs.

Shyam Srinivasan: Just the first one is on the CRO, the research services bit. I think you called it out at 61% of revenues. Last time I saw the fact sheet, it was -- last year was 60%. So maybe you could just clarify those numbers as just a data point. But just double-clicking into this, I just want to know how dedicated centers have done? And what is that salience in terms of either percentage? And the non-dedicated part or the rest of the CRO business, how has that trended for fiscal '25?

Deepak Jain: So as we spoke about it, we look at research services, right, for ourselves. Research services includes discovery services, includes dedicated -- dedicated is a very, very stable business, and we expect to continue in that direction.

It's a long-term relationship and a partnership that we've built over more than 2 decades, right,

with clients. And therefore, that's a steady-state business, and that's how we should look at it.

We said the research services in total has grown at about 2%, and that's the way one should look

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at it. So stable dedicated centers. Research Services, which is almost 60% of our business has grown about 2%.

Shyam Srinivasan: Yes. So Deepak, the issue is dedicated centers keep growing. We have grown totally CRO at 2%, which means the rest of the business actually declined. I don't know. I'm just trying to guess, right, looking out the way -- if you're not telling me that?

Deepak Jain: Yes, sure. I understand where your question is. I mean that's why I'm saying dedicated centers typically are a stable growth. They don't see a significant growth. They are a steady-state business for us. They do see very, very minor growth. The growth comes in the rest of the businesses, which is the Discovery Services.

Also just from an FY '25 standpoint, what we had always guided that it will be a year of 2 halves, which was the first half will see a decline as the biotech funding was in a state of recovery, and that recovery started coming in, in the second half.

And second half started seeing the growth coming through. So if you look at a combined full year growth, you will see a growth moderated. However, if you see the year in 2 halves, you will see a stable dedicated center business, and you will see a moderate growth driven by a first half of slowdown, but a second half of pickup.

Shyam Srinivasan: Yes. So since you're not telling me exactly, the second half growth for the non-dedicated, could it be a double-digit number? I'm trying to imply it because I can't see it in the numbers?

Deepak Jain: Second half, for sure. Its growth for sure has been in the double digits for the base Discovery business, the dedicated center has been stable for sure.

Peter B

ains: So let me add to that because I think Deepak provided the clear framework as to how to look at this. Dedicated centers are stable and relatively flat. And in the Discovery Services, as we described at the beginning of the year in guidance, we would see degrowth in Discovery in the first half and recovery in the second half.

That story has played out entirely consistently where we saw Q3 growth, and now we've seen sequential Q4 growth. And as we exit 2025, Discovery Services, non-dedicated centers is in that sort of double-digit growth trajectory on exit. And it's that exit momentum that underpins the confidence in our framework in guiding that the underlying growth in 2026 will be in the early teens.

And that as I link that back to my answers to previous question, is underpinned by the existing businesses that we carry over from '25 to '26 and the clear visibility and potential of a stronger pipeline of pilot projects that will carry over that we would look to convert at the high rate of conversion that we've delivered in '25 to add into that growth in '26.

Shyam Srinivasan: Very helpful. Peter, my second question is just on the small molecule bit, right? Salience has come down from 16 to 12, if I get the numbers right. So, it's about USD 50 million, I think, right now at small molecule CDMO, declined 24%. So one, I think the opening remarks talked about a positive outlook as we ended the year. I just wanted to get some details around that. And the

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24% decline was attributed to setbacks in clinical programs, I get it, but there was also lower demand. So if you could just double-click on that, please.

Peter Bains: Sure. Let me again take that one to start off with and Deepak can add any further commentary.

I think you have the picture pretty clearly right in the size and the growth. And as I said in my

opening remarks, it's been a mixed year. And in the first half of the year, particularly, we had step-backs and those step-backs were related to clinical programs that finished. I mean that's the risk of clinical development, and we take that as a step-back.

We've also had reduced annual commercial manufacturing volume, which is simply related to our clients' performance in the market. Products don't always stay at the same volume. They go up, they also come down, and we move with those ebbs and flows. So that's the picture that underpins this.

But you have to layer on top of that now the activity in the second half of the year in which, as I described, we've now added a series of new clients in terms of pipeline fill, and that pipeline fill is across both development and manufacturing. And that is what underpins the confidence to a step-up in performance in our small molecule group and a step-up in utilization of our facilities, and that, of course, includes Mangalore.

And that then underpins the element of mid-teen growth in our manufacturing services that we've expressed at the beginning of this call. So that's the picture there. I think you have it right. I hope that's helped clarify.

Shyam Srinivasan: Great. And last data point, number of scientists that we have end of the year, fiscal '25 and how has that moved over the year? And if you could give us -- have you seen any net additions, if I can use the word in terms of scientists?

Peter Bains: So the scientific headcount is just over 5,500. It's pretty stable in comparison with FY '24, hasn't been any significant movement in the number of scientists.

Shyam Srinivasan: And sorry, Peter, last question. Attrition is equal to additions, is it? Is that why -- that's how it is?

Deepak Jain: Yes, in some way, that's true. Attrition will always -- and that's why we come to a number of flat. But also the fact that we've improved efficiencies, et cetera, that we've spoken of also helps to keep the number that's sta

ble as well despite showing some growth.

Moderator: Next question is from the line of Madhav from Fidelity Investments.

Madhav: I wanted to understand, if I look at Syngene's margins over the last, let's say, 5 years or 6 years, adjusted for the forex volatility, which happens, which is not in your control anyway, our base margins are somewhere in the 29% to 30% EBITDA margin range. FY '26, I guess I completely understand we have the new facilities coming in, which is impacting the initial opex.

What I wanted to understand is if we think 3, 4 years out, once these newer facilities hopefully ramp up and the research services business has its steady growth, do the margins come back to Syngene International Limited

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the historical trajectory where Syngene has maintained over a long period of time? Should we go back to the 29%, 30% range in a 3-, 4 year view is my question?

Peter Bains: So again, I'll give an opening response. Deepak can clarify. The answer to that question is over simplistically, but I'll build on it, is it will depend on the evolution of the mix of the businesses.

As we underpin the growth that we've described in '26 and then, of course, further on, which is where your question is pointing, we clearly have opportunities in the large molecule space, the discovery space and the small molecule space.

Now the margins in those businesses are not all consistent. The higher margins in the biologics component compared with the large molecules compared with the small molecules. And in Discovery Services, it will depend on the evolution of our mix of businesses through our extensive integrated capability platform.

So I think that it's clear that because of bringing on stream the 2 facilities in '26, we're going to see operating EBITDA margins come to that mid-20s range. We can look to see those margins improve over time, but it will depend on the mix of businesses as we grow forward. And as we do that, we will have better visibility and we'll communicate accordingly.

Deepak Jain: Just to put another color on it also is the fact that I think, yes, it's the current mid-20s EBITDA margin that we guided to has an impact on account of the new facilities that we've got on board.

Obviously, as the facilities ramp up, we should see some improvement in margins.

To help you in your models, I would say you should think about in the mid- to long term, somewhere in the mid- to high 20s is probably a trajectory we should follow, but that also will need to be colored in the view of saying how the business evolves with the mix and the speed of ramp-up of the facilities that we have.

Madhav: So if I got the pecking order right, biologics is amongst the higher-margin businesses for us, small molecules is a bit lower. And for research services, it depends on the kind of projects that we do. Is that the right way to think about it?

Deepak Jain: That's quite fair as an assumption.

Madhav: Okay. Okay. Understood. Understood. And on the ramp-up time line for the Unit 3 and the Baltimore facility, if I understand right, the guidance that we've given so far is that over a 3- to 5-year period, we should expect to ramp it up to 1x fixed asset turn. Is that right? Did I get that

right?

Deepak Jain: That's what we've always maintained that in a 3 - to 5-year time horizon, our endeavor is to get to a 1x asset turnover.

Madhav: And is that the peak utilization of these kind of facilities usually?

Deepak Jain: I think ideal of any asset base in a manufacturing facility is to get to a 1x turnover. If we can improve the efficiencies, obviously, we would want to, but it also depends upon the mix of

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projects that you get and the structure in which those projects are picked. So I would just, from a modeling standpoint, keep it at 1. So it just helps th

e whole structure as things evolve.

Moderator: Next question is from the line of Damayanti Kerai from HSBC.

Damayanti Kerai: Again, coming back to the facility, I just want to understand this Baltimore facility, apart from providing you footprint in the U.S. market, how different this will be from the Unit 3 facilities?

Because if I understand correctly, both are biologics CDMOs. So how different is Baltimore facility compared to your Unit 3? And second part of the question is, do you already have some visibility on the project pipeline for Baltimore unit?

Peter Bains: So let me again take that to start with, and I'll break it down. So as well as giving us that very important strategic footprint and getting closer to the U.S. customer market. It adds to the capacity and the flexibility of utilization of that capacity for Syngene more globally. Both the facilities are relatively state -of-the-art and both the facilities have operational flexibility. Their multi -suite capabilities. That's attractive because it gives us optionality in terms of customer opportunity. And we will seek to maximize that optionality as we move forward. With regard to the Baltimore Biologics facility, we have a number of ongoing discussions, which obviously we're hoping to mature into commercial opportunities.

As I think we've said right upfront that the first half of fiscal '26 for Baltimore will be about completing integration, installation and preparation. But in the second half, we are looking to see early commercialization through clinical supply programs. But we're definitely planning to see the Baltimore facility in the second half of the year begin commercial operations.

Damayanti Kerai: Sure. And similarly...

Deepak Jain: Let me just add some color to it as well, right . So the 2 units in Unit 3 that we have in India and the new facility that we acquired in Baltimore, Baltimore also has capacities of 4,000 liters as well as in reactor capacities of 4,000 liters. That also gives us an ability to take in larger batch sizes as well. Combined, we've always mentioned that the combined facility has about 50,000 kilometers of capacity.

The other aspect that we should also recognize is the fact that the facility in U.S. allows us to get a USDA approval, which is the U.S. Department of Agriculture, apart from the USDA approval that we have for -- sorry, for the Unit 3 and the Baltimore facility. So there are some inherent positives strategically that we get from the Baltimore facilities.

But the fact that it has larger reactors as well and the fact that it allows us to have an opening into the USDA regulation as well. And Unit 3 allows us to get the advantages of a varied capacity structure that we have here as well.

Damayanti Kerai: Sure. That's helpful. Deepak, if you can explain what has happened in this inventory correction level at clients because that's something you have repeatedly mentioned and it's not very clear.

So if you can elaborate what has happened and then I think your guidance, etcetera, is based on adjusting for that turn.

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Deepak Jain: If you allow me a minute to be able to give you a context of how I think about it as well, right .

And then maybe you'll be able to take -- I come from automotive FMCG background as well.

And if you think about it, right, every time you launch a new product, you have to fill the pipeline into the channel, right? And that's not unique to only the FMCG or the automotive. It's across any business line, any sector that you get into.

So there will always be -- every time you launch a new product, there will always be a pipeline that you have to build in your manufacturing capacity, right? So you build a pipeline to be able to fill the entire channel before the demand really starts showing up. This is exactly that happens in whether it's FMCG, whether it's au

tomotive or now in the segment that we are operating. In the large molecules, that's what happened.

When the product got launched, we went ahead and not just improve our efficiencies into the manufacturing, we were also catering to a need to build up a certain pipeline that was needed

every time you get into a prelaunch launch stage. what's happened now that it's almost 2.5 years, there is that element of pipeline that was required is sorted out.

Now we are in a more steady state of the particular product. And therefore, from an early build - up of volumes that we saw, we are getting to a steady state. And that's the delta that's happening on account of inventory change that we mentioned in our guidance when we spoke about it. That is leading us for tapering down the underlying versus the reported numbers. That's the difference largely.

Moderator: Next question is from the line of Chintan Shah from JM Financial Family Office.

Chintan Shah: I just had one question. So, we've been reading a lot about that generative AI is -- there are a lot of initiatives being taking place, especially focusing on discovery part and the development pipeline where there have been talks at least there has been news that they want to reduce the time lines, et cetera. So putting that in context, I just wanted to get your thoughts basically, how do you see this because since CRO is a very big part of our business, is this a big risk for us? Or do you think there is an opportunity? And how are we preparing ourselves for this? That's my question.

Peter Bains: Thank you for the question. And I guess the big picture, we all recognize that AI has enormous potential to change the way drug discovery and development may evolve. It's early days yet.

There isn't a drug on the marketplace that's being designed by AI yet. That I'm sure will come, whether that's 5 years, 10 years away is another question.

But the way we're looking at AI is it will be strategically both important and fundamental that we engage that and we look to develop a strategy in which we deploy AI to optimize and maximize our effectiveness, our efficiency, our competitive offering to our clients.

We already have a wide -ranging set of initiatives across the discovery continuum and into other areas of our business. And we are looking at evolving that with partners, evolving it with collaborations and evolving it internally ourselves where we think we can develop AI to make a difference.

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So I think what I want to say in response to your question is we align to the view that AI is going to be strategically fundamental to the evolution of discovery services, and we are adapting a strategy with that mindset. And are already engaged across multiple fronts and are building on that basis.

Chintan Shah: Got it. That's well understood. Just one follow -up on this. Do we at all see a risk that could lead to lower outsourcing of these services? Do you foresee that risk at all because of AI?

Peter Bains: No. I think the answer there is clearly no. I mean AI will become -- it is already a tool and an important one. I can't see a future where its relevance will not increase. But with the inherent complexity across the entire discovery development continuum, I don't think it's going to substitute at all for the capabilities that are required to put all that together. So I don't think it will have an impact where it will have any material impact on the wider structure of the contract service model.

Deepak Jain: I think the only piece I want to add and fact that -- sorry, just to add in a bit of a color as well, and this is how I think about it. As AI evolves, right, the key is, as Peter said, we're keeping a good watch on how it's evolving and keeping ourselves in sync with how the models are evolving, right? But it's early stage. We don't want to be at a po

sition where we're saying we are

going ahead and disrupting technology. Technology is evolving, we are going ahead and ensuring that we are keeping ourselves up to speed with all of that.

The other way also to look at it from a modeling standpoint is as -- let's assume I'm looking at a few years forward as AI evolves, yes, there will be a speed and efficiency that's going to build into the entire drug discovery value chain. But the value chain itself, I believe, will go through a shift as we've seen in other technology structures that have happened that you may see an efficiency buildup, but the cost of leak, the price for that efficiency buildup will be different. And therefore, there could be a potential of improvement in project pricing that we could develop out of that. So 2 points. One, I'm not sure there's going to be a significant shift right now. If I look at it, that if AI comes in, then should we think about it moving the momentum away from the CRDMO segment. I think that may not happen. It's just how we keep ourselves up to speed, aligned to the change in technology.

And you've seen the way we've operated, right? We've gone ahead and invested into technology at every stage in time at an appropriate time to take the advantage of that. We believe the pricing structure that will evolve will commensurate to the technology investments that are required to be able to get that done.

Moderator: Next question is from the line of Anandha Padmanabhan from PGIM India.

Anandha Padmanabhan: My question was with regard to the inventory adjustment in the large molecule that you mentioned. So how should we look at it? Is that from FY '26 should be a year where the supplies

will normalize on a steady-state basis, and this is something that will continue in the coming years? And a couple of -- in one of the earlier participant question, you mentioned that you are expecting the growth on the commercial manufacturing side to continue to accelerate in the coming years.

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So are you building in -- if I look at '27 or '28, are you expecting that particular molecule per se to accelerate as well? Or you expect that it more a steady-state basis and it will be new businesses that will actually -- or new opportunities in the large molecule that will accelerate the growth?

Deepak Jain: Okay. Two parts of your question. One, do we see a moderation in the large molecule inventory because of the inventory correction, Will it get to a steady state? Yes, exactly what we're saying. There was a ramp-up. We helped build a funnel that was required for the client for the purposes of a new product, prelaunch, launch stages. And therefore, in go forward, will it moderate to a steady state of what the demand is? And I believe that's how it should be, and that's how it will play out.

The second part is how do we expect growth? Yes, the growth will be driven not just by the one client in large molecules. It will be grown, again, broad-based within large molecules of having various other PRD programs and new clients coming in. The growth, therefore, underpins not just the moderation that's coming on account of one client, but also the expansion of the client base and the projects that we get.

Anandha Padmanabhan: Okay. The second question from my end is that in the recent, say, recent past couple of 1 or 2 years, we have seen multiple news flows of a couple of your key clients on the dedicated center side, establishing their own captives in India. What is the overlap of activities that those clients do in their captives vis-a-vis the activities that they do with Syngene? And do you see any risk that in the future years, they might actually try to in-source those activities into their own captives rather than giving it to Syngene?

Peter Bains: Well, I think there are several ways to respond to that. Global cap

ability centers in India have

been building up. They have been generally activities that are complementary to the activities that we are conducting. And in that sense, this is positive. I think if the wider ecosystem of biotechnology builds in India, that's a good thing for our industry as more activity, more focus will come into India.

Syngene is obviously well placed to look at the complementary capture of business around that. Where these global capability centers will evolve to over time, it remains a matter of speculation. I don't want to draw any conclusions on where they'll go, but that will play out in time. And we'll adapt to that as and if it happens.

But more broadly speaking, I think that the opportunities here can outweigh any risks as the wider biotechnology ecosystem builds from a very small position in India to a much bigger position. That will be a good thing for the company seeking to support biotechnology and biopharmaceuticals like Syngene.

Moderator: Next question is from the line of Tushar Manudhane from Motilal Oswal.

Tushar Manudhane: Just while I might have missed the numbers, I was just asking that what would be the operational cost for the biologics facility on an annual basis. And given that we'll have to have compliance in place, so effectively, how to think about the increase in the cost over the next 2 to 3 years? And likewise, the U.S. facility, if you could say?

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Deepak Jain: So the way to look at it is, as I said, majority of the delta that I'm showing in the EBITDA is coming on account of the 2 new facilities that we are adding, right? And therefore, there will be an element of operating cost that's going to come and make a play as we see how the facilities ramp up, as we start integrating that facility. So we bought this in March.

We are in the process of taking the integration forward for the U.S. facility as well as the Stelis facility is now almost up and done, we should start seeing volume ramp-up happening across that as well. So I'm not being able to give you a number per se right now. But the way to think about is majority of the EBITDA delta that we are guiding towards is coming on account of the operational cost that's going in for the 2 new facilities that will be up and come.

Tushar Manudhane: Got it. So directionally, safe to assume that there will be further scale up in this cost maybe in the year 2, which is like FY '27 before we think of achieving EBITDA breakeven?

Deepak Jain: So the way to think about this is twofold. When we spoke about the Century acquisition -- sorry, the Baltimore acquisition that we have, that had an acquisition cost of \$36 million approximately, and we said we will spend about \$50 million to get the facility up and running. So there is obviously an element of incremental cost factored in, which is also guided into our

capex as well. What we had got for our Unit 3, we've built as -- in fact, in the commentary around the spend of this year, FY '25, we've also commented upon the fact that the Unit 3 integration capex requirement is already there.

Once these 2 units come into operations, obviously, there will be a BAU capex that will be required to operationalize, maintain and take the facility forward. I wouldn't expect anything out of the ordinary to come in and something that you all need to model in after the units have become operational.

So it will be business as usual repair and maintenance kind of capex that will be required or anything incremental on account of technology shifts that we may need to make or want to make.

Those will be something that I would again consider that as a business as usual.

Moderator: Thank you very much. Participants that will be the last question. I'll now hand it back to Ms.

Nandini Agarwal: for closing comments.

Nandini Agarwal: Yes. Thank you for joining tod

ay's call, everybody. If you have any questions, you can get in touch with us. Thank you, and have a good day.

Moderator: Thank you very much. On behalf of Syngene International Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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"Syngene International Limited
Q1 FY '26 Financial Results Conference Call "
July 24, 2025

MANAGEMENT : MR. PETER BAINS – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – SYNGENE INTERNATIONAL
LIMITED
MR. DEEPAK JAIN – CHIEF FINANCIAL OFFICER --
SYNGENE INTERNATIONAL LIMITED
MS. NANDINI AGARWAL – SYNGENE INTERNATIONAL
LIMITED

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Moderator : Ladies and gentlemen, good day, and welcome to Q1 FY '26 Financial Results Conference Call of Syngene International Limited. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Ms. Nandini Agarwal . Thank you, and over to you, ma'am.
Nandini Agarwal: Good afternoon, everyone. Thank you for joining us on this call to discuss Syngene's First Quarter Results for Financial Year 2026. To discuss the financial and business performance for the period, we have on this call today, Mr. Peter Bains, Syngene's Managing Director and Chief Executive Officer; and Mr. Deepak Jain , Chief Financial Officer.
After the opening remarks, Peter and Deepak will be happy to answer any questions you might have. Before we begin, I would like to caution that comments made during this conference call today will contain certain forward -looking statements and must be viewed in relation to the risk pertaining to the business.

The Safe Harbor clause indicated in the investor presentation also applies to this conference call. The replay of the call will be available for the next few days, and the transcript will be made available on Syngene's website.

With this, I will now turn the call over to Managing Director and CEO, Mr. Bains.

Peter Bains: Thank you, Nandini. Good afternoon, everyone, and thank you all for joining the call today. I will start my remarks with an overview of the key financials and market trends before getting into the operational and strategic highlights for the quarter. I'll then hand over to Deepak to provide a more detailed insight into the financials in his remarks. We are pleased with the performance in the first quarter, which is both in line with our expectations and establishes a good trajectory for the rest of the financial year.

Reported revenues from operations were INR875 crores, up 11% year -on-year, equating to a 7% increase in constant currency terms. This growth was driven by good momentum in Research Services, which accounted for 67% of sales during the quarter. Our EBITDA was 21% up year -on-year to INR206 crores. With the growth in revenue and change in business mix, operating EBITDA margin increased to 24% in the quarter compared to 22% in the same quarter last year.

Reported profit after tax before exceptional items was up 59% year -on-year to INR87 crores. This includes a favourable onetime tax adjustment related to Syngene's Gratuity Fund, which Deepak will explain further in his comments.

Turning to our business segments and starting with Research Services. As mentioned in the financial highlights, the successful transition of pilot programs into longer -term contracts within our research services saw continued momentum during the quarter, providing endorsement of our scientific capabilities, quality standards and delivery service.

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A highlight for the quarter was the inauguration of the state -of-the-art dedicated peptide laboratory advancing our capability in this high potential growth area. Peptides are a fast -growing interventional modality, witnessed by the rapid emergence of the GLP class for the treatment of diabetes, obesity and a widening range of comorbidities. Peptides also complements Syngene's existing capabilities in monoclonal antibodies, antibody -drug conjugates, oligonucleotides and PROTACs.

The new laboratory offers high efficiency production of complex peptides, offering our clients faster, scalable and high -quality solutions. On the regulatory front,

we successfully completed

a US FDA GCP, Good Clinical Practices inspections of our Human Pharmacology Unit with no observations. Additionally, our biologics facility at Biocon Park received an Establishment Inspection Report, EIR, with a favourable closure. We also concluded over 20 clients and regulatory audits during the quarter, ongoing affirmation of our continued commitment to quality and compliance.

Our focus on driving innovation by integrating cutting -edge technologies into our operations continued to progress with one example being the integration of automation into our DMPK operations, which has reduced turnaround times compared with industry standards from 5 days to 3 days and enhanced our cost efficiency by 30%.

Taking a step back and looking at the global CRO market, we see continued uncertainty in the biotech funding environment, which has not yet stabilized or returned to pre -pandemic levels. While the situation remains uncertain, we are monitoring it closely and remain agile in our response. We have continued to receive healthy interest from large and mid-sized pharma companies in the form of RFPs providing the basis for further growth in our research services in the coming quarters.

Turning now to our manufacturing operations. We have delivered a resilient performance this quarter with the highlight being that Unit 3, our biologics facility in Bengaluru, has become operational and delivered a GMP clinical batch of drug substance for a US-based client, a key milestone in this facility.

Our small molecule manufacturing facility in Mangalore. Here, we are continuing to focus on increasing capacity utilization and pipeline development across both drug development and manufacturing. We are also making good progress at our Bayview Biologics facility in the United States with revalidation and integration efforts on track, and we expect to operationalize the site in the second half of this fiscal year.

Moving on from operations, I'm very pleased to advise that we have strengthened our leadership team with the appointment of three accomplished industry professionals all of whom bring a wealth of operational and strategic experience and expertise. Dr. Priyaranjan Pattanaik, Syngene alumnus who played a key role in establishing our large molecules discovery capabilities has returned to Syngene to lead and drive the strategic direction of Discovery Biology. Gaurav Kushwaha joined us as Chief Technology Officer, to lead our technology strategy and in particular, our accelerating evolution in AI -led digital transformation across all our operating platforms.

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Reflecting our ambition as we look forward to the strategic scale and growth opportunities of the global contract research, development and manufacturing market, Ajay Tandon joins us to take on the new role of Head of Corporate Development and Strategy. I look forward to working with PP, Gaurav and Ajay as we continue to build and accelerate Syngene's growth journey.

I'm also delighted to share that our continuous efforts in sustainability over the years where we have recently earned the recognition by Time Magazine as the number one sustainable company in the pharma and biotech sector in India and amongst the top 500 most sustainable companies in the world.

In conclusion, we are encouraged by a positive start to the financial year. While we remain mindful and watchful of the ongoing macroeconomic factors and uncertainties, we maintain a confident outlook and sustain our full year guidance.

With that, I will conclude my remarks and hand over to Deepak to provide further details about the financials. Deepak?

Deepak Jain: Thank you, Peter, and a very good afternoon to everyone. As Peter highlighted, we had a positive start to the year with a year -on-year growth trajectory in Q1 FY '26 in line with our expectations. Revenue

e from operations for the quarter was up 11% versus last year, and in constant currency, up 7%. Research Services continued its growth momentum driven both by conversion of pilots and ramp up by existing clients. We continue to monitor the macro headwinds in the biotech funding not stabilizing, big pharma internal restructuring and the uncertainty around US tariffs.

Our CDMO business showed resilient performance, small molecule development and manufacturing services remained stable, though affected by milestone shifts. The Biologics business, while having some pilot projects spill over into later -- continues to progress well. We have partially capitalized Unit 3 in Bangalore this quarter with additional sections should be capitalized in the coming quarters.

Turning to costs. Raw materials accounted for close to 25% of revenue from operations compared to 30% in the first quarter of last year, benefiting from yield improvements in biologics and business mix changes. We expect the full year raw material cost to be around 26%. Employee costs increased by 15% year -on-year, in line with merit increase and staffing plan.

As highlighted earlier, we also have invested in building experienced commercial teams in geographies closer to clients to help develop business opportunities. On other direct costs, primarily comprising of power and utility expenses increased by 2% year -on-year. Other expenses increased 22% as we continue to invest in automation, digitization programs to deliver increased speed, productivity and other operating expenses.

Our company saw a hedge loss of INR4.8 crores increasing from the hedge loss of INR3.3 crores in the first quarter of the previous year due to a difference between average spot rate and the hedge rate. The increase in revenue, combined with the movement in cost I just mentioned, Syngene International Limited

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resulted in 21% year -on-year growth in operating EBITDA with margins of at around 24% in the first quarter versus 22% in the same period last year.

EBIT from operations was at INR95 crores, higher year -on-year benefited by higher operating EBITDA, partially offset by increase in depreciation costs. The 4% increase in depreciation is mainly due to additional capacity at Unit 3 facility came operational. We continue to maintain a strong balance sheet, which enables us to effectively navigate through industry cycles.

After meeting our capex spending for the quarter, we have a net cash of INR1,053 crores almost \$123 million as of June 2025. Reported interest expense declined by 1% as borrowings reduced in Q1 FY '26 compared to similar quarter last year. Other income declined by 2% compared to similar quarter last year due to interest income on tax refunds, leading to higher other income in Q1 2025.

Reported effective tax rate for the quarter is at about 14%. However, normalized for tax benefit on transfer of employee gratuity funds to the gratuity trust. Effective tax rate for the quarter was at 21%, similar to the quarter last year. We expect the effective tax rate for the full year to be around 24%.

Overall profit after tax before exceptional items stood at INR87 crores, up by about 59%.

Taking into account the one -off related to tax benefit on account of transfer to gratuity fund in Q1 FY '26, normalized PAT before exception items and one -offs, was up by about 47% year -on-year.

Now moving to capex . As indicated at the start of the year, the long -term market indicators for the CRDMO industry remains positive and our plan is to continue to make strategic investments and capabilities that make us future ready . We have incurred a capex of around \$8 million during the quarter across our businesses.

Around 30% was invested in Research Services primarily across capability builds, including the peptides and the ADC and contractual obligations in dedicated centres . Nearly 55% of the

capex in the CDMO business for new formulation facilities in small molecules and modification of the unit 3 in biologics. The remaining capex was spent on digitization, automation and towards common infrastructure.

Finally, let me say a few words about our guidance. We advised in April about FY '26 to be a transient year. Adjusting for client inventory rebalancing in our Biologics commercial manufacturing business, we guided for an underlying revenue growth to be in early teens. On a reported basis, we guided for growth in the mid -single digits. Based on the Q1 progress, we are on track to hit the guidance as we provided in the last quarter.

As Unit 3 and Bayview Biologics facilities come -- become operational in FY '26, we expect EBITDA margins to be in the mid -20s for the full year and a degrowth impact due to increased depreciation with the facilities coming online as we have guided in April. These investments are expected to capitalize growth over the medium term as the utilization increases and strengthen our position as one of the leading biologics CDMO player for the fast -growing market.

With that, I suggest we open up for questions. Thank you.

Moderator: We'll take our first question from the line of Kunal Dhamesha from Macquarie.

Kunal Dhamesha: Congratulations on a good set of numbers. First question on the guidance bit, while you have reiterated the guidance, but the way I look at it is Q1 top line growth is well above the full year number. And I know that could be quarter -on-quarter volatility, right?

But then again, I know we are much above that mid -single -digit kind of guidance in Q1 and the trend seems to be positive based on the conversion of the projects that we are seeing, etcetera. So, what is keeping you from revising that guidance on the upward side at this moment?

Peter Bains: Kunal, thank you for the question. Let me start, and then I'll ask Deepak to add his comments.

We framed our guidance at the end of last year, and we are encouraged by the positive start and the growth in Q1 and this has underpinned, I think, our confidence in reiterating the guidance for the full year. We're 12 weeks into the year, and I think it's just too early for us to make adjustments at this stage.

Of course, as the quarters unfold, we will revise or refine as we see it, but it's too early now, Kunal, for 12 weeks. We want to see more visibility through the year and before we make any comments on adjusting the guidance. But it's a good and a positive start and the trajectory underpins our confidence for the full year to maintaining guidance. Deepak, do you want to add anything?

Deepak Jain: Kunal, when we had guided growth of single -digit growth, there are a couple of things that we had called out. One, we were seeing an inventory adjustment that would come through the year on account of commercial manufacturing in our Biologics plant. That is still to come. There's some bit of inventory adjustments had that happening, but that's going to happen through the year.

So that's going to be an impact that we will feel that has a trajectory of its own. We also did highlight the fact that if we were to take this as a one -off, the underlying business is still going to grow in early teens, and we're still holding to that view that there will be an underlying growth, but the overarching growth as we guided would be simple in mid -single digits.

Kunal Dhamesha: What would be the impact of, let's say, the inventory adjustment in this quarter? Or if there is an impact this quarter or is it the future quarters?

Deepak Jain: There's a very minor inventory adjustment that's happened in this quarter, but it's supposed to pick up in the coming quarters.

Kunal Dhamesha: Sure. And then, just continuing on the outlook bit. I think if I remember it correctly, we had guided for the material

cost to be around 26% to 27% of the revenue. And now we are suggesting around 26% for the full year. Is that correct understanding?

Deepak Jain: We've not changed any guidance on a material cost. What we had said is what we hold still.

Kunal Dhamesha: Sure. Sure. And one more if I can squeeze in.

Moderator: Sorry, Kunal you're sounding muffled.

Kunal Dhamesha: Can you hear me now?

Deepak Jain: Kunal you're breaking up. Yes, much better.

Kunal Dhamesha: Sure. So, one on the Unit 3 since it has been now commissioned, I know we had suggested that we expect these plants to become 3 to 5 -- ramp up fully by 3 to 5 years. But how are you seeing given that we have taken a GMP clinical batch and more RFPs getting converted. So do you see that the 3 - to 5-year timeline could be much faster at this moment.

Peter Bains: So, Kunal, we are very pleased that in this quarter, we've become operational, and that's a key milestone as we look to utilize the capacity in Unit 3 and even this was a clinical GMP batch for a US customer. I mean, I think we've given a frame of guidance. I mean we're working as you can imagine, hard to exceed that. But -- and we'll be updating on a quarter -by-quarter basis to see how we can look to meet or beat that timeline . And a lot of efforts are ongoing there. And in the same domain with our Bayview facility. We are on track, as guided to start operations in that facility in the second half of the year. We have a healthy interest from potential customers here with the versatility of that facility and being based in the US. And again, we're working hard to make that operational as quickly as we can and then to start to utilize the capacity.

Moderator: We'll take our next question from the line of Shyam Srinivasan from Goldman Sachs.

Shyam Srinivasan: Just the first one on the quarterly disclosure, you have started sharing on CRO versus CDMO split. I appreciate that. I think earlier we used to do full year. So, we only have like 61%, if I

remember right, for fiscal '25. So, if you could tell us the 67% equal in number last year and also, I think in your readout, you have called out CRO is growing faster. So, I just want to understand some of the drivers of that. So that's my first question. So, what's the equivalent to 1Q number last year, CRO as a percentage of total revenue?

Deepak Jain: Shyam, we started breaking down our CRO and CDMO businesses, and that's why we've called out a 67% growth -- 67% mix in the CRO business this year. It's driven by the growth that Peter highlighted around pilot projects. And therefore, for the quarter, the mix is 67% to 33%. I am not comparing it to the previous quarters as we've always given an annual number, in the spirit of the conversation, we've been hearing from all the investors and analyst. We've started now breaking that down every quarter. You will appreciate there will be an element of volatility between the business mixes. So, we should just probably look at that in a broad sense, right? There is a 67% this quarter, we've guided a full year number as well. So, we hope to see how that progresses. But too early to really call out and take just one quarter as a marker.

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Shyam Srinivasan: Okay. Sorry, sorry, Deepak, it's not helping me. But I'm just saying is it closer to -- I'm not trying to drive a quantitative number out, but has there been a dramatic mix change between this year and last year? I think that's what I'm trying to see.

Deepak Jain: Not dramatic. That's the point I'm trying to make. As you look at last year was an average of the full year and 60 -- the way to think about the Shyam is 60%, 65% is a broad range, but that's the range that we've already operated our CRO business with. CDMO comes in that broad range. And therefore, take

it with that.

This 1 quarter may not be indicative of what's going to happen all through the year because there will be some bit of puts and calls depending on how you deliver the business, right? And as and when our CDMO sites become operational, whether it's at Bayview or Unit 3, we will start seeing some bit of shifts happening as well. So that's largely how I would take it, right? It's also how the year pans out.

Shyam Srinivasan: Got it. Helpful. Sorry, I'll persist on a different form of splitting the revenue now, small and large. I don't know whether you're doing it annual or quarterly but maybe even qualitative colour on how those businesses have done. I think, I remember it was 24% or 25% for large molecule full year last year and I think small was 12%. So just any additional qualitative colour on those 2 parts of the business as well.

Deepak Jain: Shyam, Peter did call out that we did have a stable -- a stable quarter for small molecules. Large molecules, as we guided at the beginning of the year will see an impact of inventory correction. So, both these aspects are playing out. Small molecules stable. We did also mention that we've seen some improvement in capacity utilization. Is it where we want it to be? I think there is work to be done. And in large molecules, we do see the impact of the inventory correction and a lot more of the inventory corrections to come in the coming quarters. That's why we are holding our guidance for the full year.

Moderator: Next question is from the line of Madhav from Fidelity.

Madhav: Firstly, if you could give some qualitative colour in terms of how the pipeline is building up for the Mangalore small molecule plant? You did mention that pipeline development work is happening here but some more colour in terms of maybe how many projects you have on board and sales-wise, if you could give some colour in terms of how many projects are in which phase. That would be useful for us to just understand. We know you've given a 3 to 5 - year guidance for ramp-up of some of these units, but just some progress update would be very helpful.

Peter Bains: So, Madhav, let me start. Thank you for the question. In Mangalore, the facility has -- a design of the facility here, and that is enabling us to look at opportunities across the value chain here. And that will include key starting materials, intermediates and active pharmaceutical ingredients APIs and eventually into commercial manufacturing.

I don't think we're going to give quantitative guidance on that. But in terms of qualitative colour, we're working on all of those across that value chain. As Deepak has said, we are

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seeing some pickup and we're on track for the full year position, but we have more to do here, and we're looking to accelerate that. Deepak, is there anything else to add?

Deepak Jain: No Peter. This is good.

Peter Bains: Madhav, I hope that helps.

Madhav: Yes. No, no, that makes sense. Are there any -- some of your peers have spoken about

especially in small molecules, the ability to win some late -phase projects maybe in Phase II, Phase III directly, given there's some tailwind from China Plus One, etcetera, which is playing out. Are we seeing any such opportunities as well where you could get some more late -phase projects directly in the pipeline?

Peter Bains: So later phase projects within the mix that we're looking at, Madhav, I mean I think that's correct. And we are going to push on all of those. So key starting's , intermediates, APIs and of course, if we can get a commercial stage that will also play into that mix very strongly. We'll update on this as we move through the quarters.

Moderator: Next question is from the line of Surya Narayan Patra from PhillipCapital.

Surya Narayan Patra: My first question is on the biologic service offering that we are giving. Sir,

if you can give me

some sense that, okay, apart from the Zoetis, what is the progress that we have been seeing, let's say, for other biologic service platforms, let's say, like biosimilar ADC peptides, oligonucleotides. All put together, what is the kind of progress that we are seeing there?

Peter Bains: Thank you. So again, I'll start and Deepak may have comments to add. Let me start by taking the lens back and looking at the market itself on a global basis. Large molecule biologics is around about 10% level of the global CRDMO market. But it's the fastest growing, and it's growing in the teens.

And I think the outlook for biologics, which would encompass monoclonal antibodies, ADCs and peptides and oligos. Exciting fast -emerging modalities in our customer base, and we are evolving and adapting to ensure that we can offer very strong service propositions to them. So, we have an established monoclonal antibody facility, and we've spoken about that.

I think I touched in my opening remarks that we've inaugurated for example, a state -of-the-art peptide facility now in our Biocon Park in our Syngene Park facility. And that is going to enable us to look at synthesis, purification, characterization, scale up and strengthen our offering in peptides that then bridges into linkages, as you've described, with some of the exciting combination modalities that are being developed on our customer side and that we are looking to develop in parallel related to capabilities in ADCs, and oligonucleotides in the combination of antibodies and peptides and oligos and further into PROTACs.

So, we continue to look at the evolution of modalities and technologies that are customers and collaborators are using to develop novel medicine, and we are investing behind some of them to enhance and strengthen our offering. And in the area of monoclonals, peptides, oligos and ADCs. That is an area of focus for us, and we will continue to invest in what is an exciting and Syngene International Limited

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fast-growing area. And one that we are receiving an increased sort of input in inquiries and translating that into business opportunities.

Surya Narayan Patra: Okay. Just my broader point also that I was trying to drive out of this question was that what would be the current mix of Research Services business within biologics and manufacturing?

Since we are now adding multiple capacities within India, outside India. So how the mix is likely to see given the kind of fastest growth visibility that is there for the overall biologic business opportunity?

Peter Bains: Yes. So let me again start, but I'm going to refer to some of Deepak's comments as well. But as we said in our opening remarks, Research Services in this quarter is at 67% of the revenues, the balance being in manufacturing. This will be dynamic. It's not going to just stay at one level, and that dynamic and balance will depend on how we make progress in capacity utilization in our large and small molecule facilities where we've seen the pickup, the start this year in Unit 3 .

And we look forward to Bayview coming online in the second half and we see improvement in utilization in Mangalore, but more to do there, of course. But also, our Research Services traction is growing as well. So that balance will adjust according to the flow and growth of businesses that unfolds over the coming quarters. And of course, we'll keep you advised of that on a quarterly basis.

Surya Narayan Patra: Sir. My second broader question, sir, about the...

Moderator: Sorry, you are sounding muffled, Surya?

Surya Narayan Patra: Is it fine now, ma'am?

Moderator: Yes. Please go ahead.

Surya Narayan Patra: Yes. My second question was about the major changes the trend that we are witnessing now influenced by Trump that there are many \$50 billion of kind of investment commitment by large innovators into US that we are w

itnessing. So already like 5 -- 4, 5 odd players have

committed that kind of investment into US. So, given that, what is the kind of change in the pharma outsourcing environment that you are seeing? And how would we be positioned given

that the major changes that has been happening in the space?

Peter Bains: Yes. Surya, I mean we monitor the macro geopolitical and geoeconomic trends closely. Now the tariff movement continues to be volatile to some extent, although I think there's -- I mean, I think there's perhaps less volatility now than there has been, this is looking as if it might, to some degree, stabilize. Important point for us to emphasize on tariffs, if I take that first is that Syngene is predominantly a service industry and the tariff exposure on products is not going to have any material effect on us.

So, we look at the tariff question through that lens, primarily, we keep a watch fly. We obviously see what you've described in a number of major pharma companies have committed

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to significant capital expenditures in the United States. Those capital expenditures can be over quite extensive periods, 5 and 10 years.

Again, I take the lens back. And if I look at the contract manufacturing market globally, it's 50% of the total market. It's a very, very big market. And Syngene has a relatively very small market share, and we believe we have very substantial headroom to grow into. We are mindful of the geopolitics here and the Bayview facility acquisition gives us a very nice foothold in the United States.

And as I said in my remarks, we're seeing clear momentum and interest in that facility. So, we'll have to balance that over the short, mid - and long term. In the short term, we're looking to utilize the capacities we have, and we're beginning to see pickup and line of sight there. We need to fill those up, and we'll monitor a wider global situation. And I'm -- we will plan our investments very carefully, and that will be one factor that we take into consideration.

But I think the comment I really want to leave you with here is we see what you've described, but the wider market opportunity is very, very big, and there will continue to be strong interest in manufacturing footprint in India and in other geographies. And Syngene is well placed to capitalize on that and has a lot of market room ahead of it.

Surya Narayan Patra: Okay. Sure, sir. Just with your permission, I will ask one last question, and that's a clarification also. About the small molecule capacity addition, particularly targeting the animal health that what you have mentioned in the annual report. So here, I just wanted to have some sense that, okay, by this capacity expansion, what target and that we are trying to drive the business from? That is one.

And secondly, you have just mentioned that the small molecule capacity in Mangalore since it is a kind of end -to-end integrated in the sense that it is manufactured in the starting material, the intermediate as well as the kind of potentially the final product. So, what utilization it could be there currently?

Peter Bains: Okay. Let me -- again, I'll take that to start with Surya. Again, Deepak may want to add some comments. I think on your first question, you would relate -- you were referring to large molecules in animal health, I think, is that correct, Surya?

Surya Narayan Patra: No, no. I was mentioning about the capacity addition on the small molecule side targeting animal health?

Peter Bains: Okay. So, in our small molecule's facility, I think you've understood well my comment that the versatility of the facility allows us to look across the value chain. And we're looking at that in human health. But of course, if we get the right opportunity in animal health, we will look at that also. So, we will look at both. We have no clear definitive quantitative

view as to what --

where that balance may end.

And in terms of quantitative guidance on capacity utilization, again, we're not giving a number.

We're looking to increase utilization of Mangalore through this year. The first quarter, we've

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made a decent start. We're on track with where we wanted to be. It's in line with expectations, and that's a part of the reinforcement of our full year guidance.

Moderator: Next question is from the line of Kunal Randeria from Axis Capital.

Kunal Randeria: Sir, Amgen and Baxter started to expand their own R&D and other operations in India. So have you seen any impact so far and based on the conversations with them. Do you see them taking some projects in-house?

Peter Bains: Kunal, I mean we -- again, we are watching and monitoring the sort of global capability centers. I think those global capability centers are very largely supporting sort of back -office operations and are not having any direct impact on our operations. And in some ways, I think they're a good signal of investment more broadly into India to build a wider biotech ecosystem in India, which still significantly lags the biotech ecosystem in other parts of Asia, in

particular, but Europe and the United States.

So, widening the biotech ecosystem in India is going to be overall a positive thing. And we kind of look at it through that lens, and I don't think we're seeing any direct impact on any of our business at this stage at all.

Kunal Randeria: Got it. Okay. Just second question on this, again, it's a follow-up. So, these contracts are for a certain finite period of time. So, for the dedicated centers, can you tell us when some of these contracts are up for renewal?

Deepak Jain: So, Kunal, at the point time when these contracts come up for approvals, it goes through a regular renewal cycle. We typically don't call out as to the timelines. But as and when they happen, we get into a renewal cycle and renewal conversations. Historically, we've maintained long-term relationships with these dedicated centers. I mean, case in point, as an example, BMS, right, that's over 2 decades, right?

And it just shows the depth of the relationships that we have. These have -- these are some strategic relationships that we've built over a period of time. And at different points of renewals, they have conversations with us on how do we really strengthen the relationship. So, to me, I think as and when they have, we get into a renewal conversation, which just helps deepen the relationship.

Kunal Randeria: Fair enough, Deepak. But what I'm asking is, is it typically a 3 years, 5 years, maybe longer than that? Does this vary from client to client?

Deepak Jain: It typically varies from client to client. But yes, these are long-term relationships, right? It goes at different stages, right? It goes 3 years renewals, 5 years renewals, they can even be longer renewals that we go into. It's client to client. Given it's the client information, we don't share that much, but they are typically long-term relationships and long-term contracts.

Peter Bains: Kunal, they're multiyear. All of them are multiyear. And as Deepak has said, some of them go beyond 5 years. So they're long-term multiyear contracts. And again, we will advise as and when anything changes.

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Kunal Randeria: Sure, sure. So, the reason I was actually pushing on this was, I think, in December '21, when you had renewed some contracts with Amgen, it was mentioned it will be till 2026. So that's why I kind of said because some of these contracts, there's some inflow in the public domain. So that's the reason I was asking for Amgen and other contracts.

Deepak Jain: Kunal, just to add on, right, not necessarily every contract gets renewed on the last day, right? So, the

re are timelines and structures that we get into some of the contracts that we speak of with our clients come into conversations even between is I suppose there are strategic investments that we need to make with the clients.

So different shapes and forms of these contracts. I think you should take that their strategic relationships. We continue to hold with them. We continue to work with them. And if there's any significant change that comes across, we will obviously talk about it.

Moderator: Next question is from the line of Alankar Garude from Kotak Institutional Equities.

Alankar Garude: Sir, in the annual report, you have spoken about conversion of 6 pilot CRO projects into full-fledged contracts in the fiscal FY '25. And you did mention about this conversion continuing in the first quarter as well. So the question is, while the conversion is healthy, given the funding environment has worsened in the first half CY '25 versus, say, maybe second half CY '24 or whole of FY '25, as the pace of new pilot project wins slower over the past few months compared to what you were seeing last year?

Peter Bains: Alankar, let me start with the response to that. And again, I'm going to take a little bit of a step back. Biotech funding, which plays into the early-stage biotech companies represent one of the inputs into our discovery services and quite clearly during the course of last year, there was a significant reduction in US funding into biotech that created a sort of sector-wide drawback in the biotech community.

Important to recognize two things there. One, that it was at a drawback and the entire sector experience that and Syngene was not immune. Important also to say that, that doesn't mean it drives up to 0, and we do see biotech coming in. But these pilots are one source of input to our discovery services.

And as I said in my opening remarks, we continue to have a healthy pipeline from multinational and mid-sized biopharma companies who are looking to externalize some of their discovery services. So, our input to discovery is not disproportionately reliant on biotech.

We're seeing pilots coming in from other areas and many of the large companies and the mid-sized companies will come and visit the facility here in Bangalore. They'll come and they look at the laboratories, they want to take a look at the laboratories, and we've got 2 million square feet of them here, and they want to talk to the teams.

When they come in they talk to our scientists. And on the basis of that due diligence and more

they'll make a decision as to whether they put a program with us. They may not go up pilot route in the sense of putting work with other companies and determining they can be convinced by the service offerings and the due diligence that they see. So, the broad picture is

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that biotech pilots are only one source of potential revenue growth for our services division, and it needs to be seen in that lens in that context.

Alankar Garude: Got it, Peter. But yes, I mean, just on that point, even if it's relatively...

Moderator: Alankar, I'm sorry to interrupt you are sounding muffled.

Alankar Garude: Just give me a minute.

Moderator: Sure.

Alankar Garude: Yes. Sorry, is this better?

Peter Bains: That's better Alankar. Sorry about this.

Alankar Garude: Sorry, just to harp on that point, Peter, even though it's one of the components, as you mentioned, but directionally, there has to be some impact of the funding environment on -- especially on some of the smaller clients. So, is it something which we have seen over the last few months in terms of new project wins from some of these clients?

Peter Bains: Alankar, you're right on an absolute basis. There has to be an impact, and we see that in the biotech community. The amount of capital going in there isn't what it was. And that we hope will

be restored. But in terms of impact to our Research Services business, I think you can see in this quarter's results with a healthy 11% growth. Biotech is a component of that, Alankar. We're still getting biotech interest and engagement but it's -- as I'm saying, it's a relatively small proportion of the total input to our research services.

It's an important part, and we want to see it improve in itself, and we're looking at the biotech funding environment and would like to see it restored. But we're not reliant and dependent on it, as you can see in our first quarter results. I hope that adds the additional colour you're looking for.

Alankar Garude: Yes, that's helpful, Peter. And the second question is again for you, Peter. See, we have seen some senior attrition over the past couple of years. This is something which has happened in the past as well, maybe about 7, 8, 9 years back, you spoke about the 3 senior hires. That's good to hear. Two questions here. One is, post these hires, are there any senior management gaps left to address? And secondly, how do you plan to address this historical issue of senior - level attrition with the company?

Peter Bains: So let me answer the questions in reverse order, Alankar. I mean Syngene has been and remains a very stable company. I mean senior management changes every 7 years but some level is ordinary course. I mean there are always going to be senior management changes and Syngene's being relatively very, very stable in the long lens. I was there for 6 years from 2010 to 2016; Jonathan was here for nearly 10 years. That is stable senior management. And beneath that, of course, there has been some additional changes. But nothing to my eye that would represent any degree of instability or turbulence when you look at it across industries over that timeline. Now our sector is evolving fast, and we need to bring in

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capabilities and expertise to ensure we remain cutting edge and competitive to provide the service to our customers. One example of that is clearly technology.

And Syngene's got an ongoing program that we're accelerating, if I break technology down in automation and digitization where we're looking right across our platforms to accelerate automation and digitization to improve effectiveness and efficiency to drive down timelines, to drive down costs and to improve quality and reduce risk.

In AI, we see that as fundamental change agent of the discovery, development and manufacturing platforms evolve over short, mid and long-term timelines. And certainly, you look outside at our customer base, and that is happening, and we need to accelerate that, and that is why we've appointed a Chief Technology Officer, where a clear focus is going to be on enhancing and integrating AI into our services. And very, very clearly that strengthening capability here.

PP is returning in Biology, that's terrific for us. And Biology remains a very important aspect as witnessed by the market where Biologicals are the fastest-growing part of the CRDMO market. And in strategy and development of Syngene looks to plot its course over the coming years with the evolution of the industry and the shift in the macros that we've discussed, we need to strengthen our abilities there.

And Ajay has joined the team to strengthen our capabilities as we look strategically over the

next 5 and 10 years. It's a very exciting period for the industry. There's a lot of change as everybody identified, but that also means a lot of opportunity and Syngene is trying to position itself to optimize its position to serve its customers well in these changing times.

Moderator: We'll take a next question from the line of Harsh Bhatia from Bandhan AMC.

Harsh Bhatia: Sure. Just in terms of the -- at least from a Biologics perspective, I think we would move in a couple of years north of 50 K

L capacity with both the facilities. If you can help us understand what kind of step -up or ramp -up can we see from an overall perspective for both these facilities, again, without getting into the number's perspective?

Just directionally, is it going to be more of a gradual step -up in terms of operationalizing the capacities or is it going to be something that we see a large part of the capacity coming in on day one. Again, I understand it depends on the number of projects, kind of projects that you get, but maybe some more colour on that.

Deepak Jain: So Harsh, we had guided on both the facilities at the point in time when we got into the acquisition whether it was Unit 3 or even the Bayview site. We said we will get to a 1x asset turnover in 3 to 5 years, a little bit to what was also asked earlier, which Peter commented as well that the fact that our endeavour would be to definitely try and do it faster. We just started, as an example, the Unit 3 we capitalized that in this quarter.

We did a GMP preclinical stage trial as well for one of our clients in the US. And therefore, we will always want to do this faster. But as we guided 3 to 5 years seems to be a reasonable ramp -up time if there are opportunities in ways by which we can do this faster, I think there's Syngene International Limited

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enough and more effort being put there. No timelines that can be committed right now, no probably numbers that I can share at this point in time.

Moderator: Harsh, does that answer your question.

Harsh Bhatia: Just one more. In terms of the Bayview facility, what kind of structure do we have with emergent to that extent because I think they also have their particular set of pipeline. So, is there any sort of right of first refusal to that extent with the entire capacity? Or that is something that's more narrower in nature? Maybe you could help us a little bit on that.

Deepak Jain: So Harsh, when we took the conversation with the Emergent right, they have their own relevant pipeline. They have their own structure. We took the plant in March. We said it will take us about 8 to 12 months to operationalize it. That's why we said it's going to get operationalized in the second half of the year.

In terms of right to first refusal to the specific question that you have, they are one of the clients that we've always spoken of, and we have said that right to first refusal on a certain part of the facility if it is there. It will always be good for us to be able to get an early -stage client already hooked on as an anchor client, right? So, it's a facility available for everybody to be able to help us get the facility operationalized. Emergent has been in that facility earlier and if there's an element that comes through, we will obviously want to explore that as a tie up with them.

So, I'm not giving you an answer very clearly whether the right to first refusal is there or not. It's a facility that's available. And if there is a way by which when we operationalize it, if there is something that Emergent wants to bring on the table, there will be a client we would want to understand what they have to offer.

Harsh Bhatia: Sorry to harp on this, just to clarify, there is a certain capacity that is available to them in terms of the right of first refusal?

Deepak Jain: Yes, to an extent, if they come on with a particular project, they can always but it's not that, that custody cannot be earmarked for somebody else as well. It's a client -based program structure, right? And if somebody comes to help us operationalize it, we will.

Peter Bains: And Harsh, I'll add in here. Part of the attraction of the Bayview facility was its versatility. I mean it is a very nice contract of three discrete suites. So, it has a high degree of versatility. And I think that for Emergent, they recognize that and for a certain part, they have an opportuni

ty, and it will be time bound. But I mean, as Deepak said, we would welcome Emergent as a customer if it works on both sides. And that conversation is ongoing.

Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference over to Ms. Nandini Agarwal from Syngene International for closing comments. Over to you.

Nandini Agarwal: Well, thank you, everybody, for joining the call. If there are any further questions, you can get in touch with IR team. Thank you.

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Moderator: Thank you. On behalf of Syngene International Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Deepak Jain: Thank you.

Peter Bains: Thank you.

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Q2 & H1 FY 2026 Financial Results Conference Call"
November 06, 2025

MANAGEMENT : MR. PETER BAINS – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – SYNGENE INTERNATIONAL
LIMITED
MR. DEEPAK JAIN – CHIEF FINANCIAL OFFICER –
SYNGENE INTERNATIONAL LIMITED
MS. NANDINI AGARWAL – SYNGENE INTERNATIONAL
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Syngene International's Second Quarter and H1 FY 2026 Financial Results Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Nandini Agarwal. Thank you, and over to you.

Nandini Agarwal: Thank you, and good afternoon to everyone. Thank you for joining us on this call to discuss Syngene's second quarter and half year results for FY 2026. To discuss the financial and business performance for the period, we have on this call today Mr. Peter Bains, Syngene's Managing Director and Chief Executive Officer; and Mr. Deepak Jain, Chief Financial Officer. After the opening remarks, Peter and Deepak will be happy to answer any questions you may have. Before we begin, I would like to caution that comments made during this conference call today will contain certain forward-looking statements and must be viewed in relation to the risks pertaining to the business. The safe harbor clause indicated in the investor presentation also applies to this conference call. The replay of this call will be available for the next few days and the transcript will be made available.

With this, I would now turn the call to Managing Director and CEO, Mr. Peter Bains.

Peter Bains: Thank you, Nandini. Good afternoon, everybody, and thank you for joining us in this call today. Let me begin with a brief overview of our key financials for the quarter and the first half of the financial year, before I move on to operational and strategic highlights. I'll then hand over to Deepak, who will provide a more detailed breakdown of the financials.

Revenue from operations for the quarter stood at or INR911 crores, up 2% year-on-year and up 4% sequentially. Operating EBITDA was INR200 crores, a decline of 18%, with an operating EBITDA margin of 22%. Reported profit after tax was INR67 crores, down 37% year-on-year, with a 7% PAT margin. The second quarter performance was characterized by 2 key dynamics. Firstly, maintained momentum in research services; and secondly, the anticipated inventory correction in biologics manufacturing.

First half revenue from operations was up 6% and, at the midway stage of the year, our performance is being in line with our expectations. Historically, Syngene's performance in the second half has been stronger than the first half of the year, which we expect to be the case this year. And on that basis, we are maintaining our full year guidance. Deepak will provide more financial details in his remarks shortly.

Let me now turn to some of the business highlights, and start with research services where we saw sustained growth momentum. I'm also pleased to share that in this quarter, Syngene has been awarded our first global Phase III clinical trial by a U.S.-based biotechnology company. This trial will recruit patients across clinical sites both in India and the United States.

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This is an important milestone and reflects our growing capability in managing large, complex global trials. We see the clinical trial market opportunity as an important driver of Syngene's growth in the mid and longer term, and we are investing to strengthen our capabilities and reach accordingly.

To that end, we have also expanded our clinical trial footprint across Australia and New Zealand, the U.K. and Eastern Europe through strategic partnerships with established CRO players. These collaborations will build on and strengthen our capabilities in early -

stage healthy volunteer

study, first-in-human studies and patient-based clinical trials.

Along with our translational and clinical research platform in Bangalore, these partnerships will help us meet the increasing demand from global customers and regulators to include diverse patient populations in their Phase II and Phase III trials.

In the CDMO market, we are continuing to invest in and build on our strength in fast-growing new modalities, including antibody drug conjugates and peptides. In this regard and building on our experience in antibody and small molecule discovery and development, we are now expanding our biologics facility in Bengaluru with a GMP bioconjugation suite. This will allow us to offer fully integrated services for antibody drug conjugates, from discovery through to GMP manufacturing.

And this will place us amongst the select group of CDMOs with full-service ADC capabilities.

The suite will enable monoclonal antibody production and GMP bioconjugation at the same site, accelerating ADC development time lines. Importantly, the facility is capable of supporting a wide range of advanced conjugates and related modalities and is expected to be operational within this financial year.

Turning to peptides. In quarter 1, we had commissioned a dedicated peptide laboratory at our Bengaluru facility, expanding our discovery capabilities in this area. We are now planning to enhance this capability with a larger scale GMP peptide facility in Bangalore. With this facility, we will be able to partner with our customers in peptides from discovery through to clinical and now commercial scale supply, enhancing our ability to serve clients across the full development cycle in this fast-growing area.

In our Bangalore biologics facility, Unit 3, we are pleased to advise that we have now operationalized and are supplying GMP clinical material to a U.S. biotechnology collaborator.

And with our Bayview facility for monoclonal antibody manufacturing in the United States, we are on track with our preparations to commence operations in the second half of the year.

With those highlights, I will now hand over to Deepak, who will take you through the financials in a little bit more detail before the Q&A.

Deepak Jain: Thank you, Peter. Very good afternoon to everyone. Let me begin by discussing the second quarter performance, and I will cover the first half and the guidance before I close my commentary.

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Revenue from operations remained in line with expectations for the second quarter at INR911 crores. This marks a 2% year-on-year growth in reported terms, down 3% in constant currency terms. Sequential growth quarter-on-quarter was at 4% in reported terms.

This quarter saw research services continuing its year-on-year growth trajectory, led by volume improvements in discovery business. CDMO business was impacted due to inventory adjustments in biologics manufacturing, which we explained during the start of the year. Our small molecule CDMO saw growth in the quarter led by formulations.

Now turning to costs. Raw materials accounted for 26.2% of the revenue from operations, largely in line with the second quarter of last year at 26.6%, supported by a lower mix of CDMO business. We expect the full year raw material cost to be around 25%. Employee costs increased by 13%, in line with the net increase and the investments in talent.

Other costs, primarily comprising of power utility expenses, increased by 4% year-on-year due to the new facility at Bayview and biologics facility in Bangalore. Other expenses increased by 8% year-on-year as we continue to invest in automation, digitization programs to deliver increased speed and productivity.

Our company saw a hedge loss of INR11.8 crores against a hedge gain of INR4.3 crores in the quarter of the previous year due to difference betw

een average and spot hedge rates. The

movement in revenue and the cost resulted in 18% year-on-year decline in operating EBITDA with margins of about 22% in the quarter versus 27% in the last year. With FY '26 being a transient year, our full year margins are expected to be in the mid -20s as guided earlier.

The increase in depreciation is primarily due to addition in capacity as the biologics manufacturing in Bangalore, which became operational this year. EBIT from operations was at INR83 crores, down 38% year -on-year, due to increase in depreciation costs. Reported interest expense remained flat compared to the same quarter last year. Other income declined by 7% compared to Q2 last year, primarily due to interest income on income tax received last year, which was not there in the current year.

Reported effective tax rate for the quarter was 21% against a 23% same quarter of last year, due to the change in mix in the units that we have. We expect the effective tax rate for the full year to be around the 21% to 23%. Overall profit after tax before exceptional items stood at INR67 crores, down 37% year -on-year. .

As the market evolves and new technologies emerge, we continue to invest in capabilities and capacities to drive the future growth. capex spend for the quarter stood at \$10 million. Around 50% of the capex was invested in research services, primarily across capability builds, including DMPK automation, ADC labs and contractual obligations in dedicated centers.

Nearly 30% of the capex was in the CDMO business for new formulation facilities and small molecules and modifications of the manufacturing facility at Bangalore and the Bayview facility in U.S.A. The remaining of the capex was spent on digitization, automation and common infrastructure.

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We continue to maintain a strong balance sheet, which enables us to effectively navigate through industry cycles. After meeting the capex spend for the quarter, we have a net cash balance of INR1,018 crores as of 30th September 2025.

Our first half performance was also in line with our guidance. Reported revenue from operations increased by 6% year -on-year. Raw material cost was down by 3%, driven by a revenue mix. And staff cost increased by about 14%.

Our direct costs, primarily comprising of power, increased by 3%, and other operating costs increased by 15% as we continue to invest into expansion of our facilities and capabilities, including automation and digitization that I spoke of earlier. Operating EBITDA margin stood at 23% for the first half, compared to 25% last year. PAT before exceptional items was down by 4% year -on-year to INR154 crores.

Finally, let me say a few words about guidance. We advised in April about FY 26 being a transient year on a reported basis and, in constant currency, we guided to a mid -single -digit growth on revenue. We also guided towards a mid -20s EBITDA margin and a declining path. We continue to hold our guidance for the full year.

We continue to expand in new areas such as peptides, ADCs, augmenting our capabilities into the fast -growing new modalities. With our new biologics facilities at Bangalore and the Bayview facilities getting operational later in this year, our focus will be executing in line with our strategy, which we believe will position us for further growth in the medium and the short term.

With that, I would like to open it up for questions. Thank you.

Moderator: Thank you very much. We'll take our first question from the line of Kunal Dhamesha: from Macquarie. Please go ahead.

Kunal Dhamesha: Congratulations on getting the clinical trial contract for the U.S. market. So the first question pertains to the contract. I mean what type of capabilities have you set up in the U.S. market for this? And how are we differentiating from the existing players in this space such as I

QVIA, I

believe, provide clinical trial solutions? And how does the economics of these kind of projects work? That will be the first question.

Peter Bains: Thank you, Kunal. I'll start with the reverse, and Deepak may want to add something. So again, let me step back, because this is an important milestone to Syngene, it's our first Phase III global clinical trial. And it builds on our preexisting strengths in the clinical trial in India, which is becoming, I think, a greater focus for global clinical trials, and it builds on our collaborations with established CROs in other geographies, including the United States. And as I said in my opening remarks, we've now extended that into Europe and Australia and New Zealand.

So we're building on existing capabilities and we're leveraging our collaborators, CROs, in the United States in order to recruit patients, undertake all the analytics, etcetera, required in this study. As you would expect, we very recently signed this, the economics of this trial will be spread out over the 3 years. And the bulk of that will come in FY '27 and '28, as the trial picks up and so forth. Kunal, does that answer your question?

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Kunal Dhamesha: Yes, partially. I wanted to understand more about how does these kind of projects fare in terms of the potential, let's say, revenue upside versus the typical research projects that we take, not just for this particular project, but how does clinical projects fare against, let's say, the commercial manufacturing or the services project that we take and just from the business angle perspective?

Deepak Jain: So Kunal, let me just try and help understand -- or let me help understand the answer to those actually. When we look at our clinical trials, right, it's actually a business that's growing for us. It's in an industry segment that's growing. It's evolving as we speak. We've got a first clinical trial batch, right? And that's the first global clinical trial batch.

I think at this stage, I would rather refrain from commenting upon how it compares to our business and our margins across each of the businesses because we typically don't break down our businesses, right, in terms of margin structures. But it's an area that we believe has got a lot of potential. There is a good traction and growth that we're seeing. And we look forward to seeing more information on this as we share with you in the coming quarters.

Kunal Dhamesha: Okay. That's helpful. Second one, on the ADC and peptide, where we are having capacity, so what kind of visibility have we got there to kind of utilize the strategies that we are adding in, that if you can provide some color there?

Peter Bains: Yes. I mean we do have visibility here and the cost of the traction. And very clear in a longer lens, the antibody drug conjugate market is expected to grow substantially over the coming decade and more as we look at the pipelines of our customer base and the utility of combining the targeted effectiveness of the monoclonal antibody with a directed payload and the requirement for conjugation.

So again, we are building from a position of strength in our historical expertise on monoclonal antibodies, our historical expertise in small molecule chemistry for the payloads and our growing capability in linkage. Putting all of this in 1 site to create a differentiated capability for integrated antibody drug conjugates. The development, and we do have existing partners and, of course, we're looking to expand that and build on that going forward. It's a very important area of growth for us.

Kunal Dhamesha: And lastly, if I may just squeeze in. I think that press release mentions recovery in biotech funding, we have seen some green shoots there. And our research service anyway has done decently well in the first half. So do we expect meaningful acceleration in the biotech

funding

comes back in the second half from here on?

Peter Bains: Sure. I mean we are seeing the same picture. We're seeing an encouragement -- encouraging improvement in VC funding with the biotechs. Syngene has a substantial early discovery capability and biotechs are an important part of our customer mix.

I will note that the underlying research services growth has remained robust. But a tailwind with an increasing venture capital flow into early-stage biotech will just add another layer of growth opportunity on to our preexisting momentum in research services. It's encouraging. We're

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obviously tracking it. And of course, we hope that that trend continues and we'll see something more like a full recovery in the VC biotech funding going forward.

Moderator: We'll take a next question from the line of Shyam Srinivasan from Goldman Sachs.

Shyam Srinivasan: Just the first one on the split of the revenues. I think in Q1, you've disclosed some either large molecule, or if you're doing a CRO versus CDMO, if you could kind of give us that for the quarter and for a year ago, please?

Deepak Jain: So our research services has been about 67% and 33% is the manufacturing or CDMO business for this year. Last year same period was about 63% versus 37%, right? So there's a higher growth in the research services than in the CDMO business for us.

Shyam Srinivasan: Sorry, Deepak, I'm -- there was some disturbance. So 67% of CRO versus 63% last year?

Deepak Jain: Yes. Yes.

Shyam Srinivasan: Okay. No, I was just trying to get the numbers right. And this is Q2 versus Q2, right? Not H1 versus H1, something like that. It's just Q2.

Deepak Jain: Q2 versus Q2.

Shyam Srinivasan: Okay. So that clearly shows that -- I can do the math later, because I'm not able to see the number in front of me. So research services has grown positive growth, I would imagine, higher than whatever the quarterly growth is, right? How does this now pan into the second half per se? Do we continue to see -- what are some of the leading indicators on the services that gives you the confidence that we can keep this momentum going?

Deepak Jain: Shyam, we don't typically break down the forecast by these segments, but we're maintaining our guidance for the quarter -- for the year. And we want to stick to that. We wouldn't break down

the forecast by quarter and by the business...

Shyam Srinivasan: Understood. Not to worry. So let me then flip the question around. So we have seen, again, I think the manufacturing services decline. And is it largely led by just the destock of, say, the biologic? Or is there maybe core business, if you were to separate that out this quarter over last quarter, how do you think that is progressing? And anything that you want to add on what's happening at the Mangalore API plant?

Deepak Jain: So let me answer the question for you. We are -- we did call out a slowdown in our large molecules because of the inventory correction. And we're seeing that play out. Nothing beyond that as what we had anticipated should have happened for the year is happening, right?

So it's more or less the way I would take it is no surprises yet, and our CDMO business is impacted by the inventory correction, which is what was playing out. We saw that starting from this quarter more than what we saw in the previous quarter. In terms of -- sorry, I missed the second part of your question. You had one more part to it, right?

Shyam Srinivasan: No, no, Mangalore API plant. So I'm talking about small molecules...

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Deepak Jain: Sorry. On the small molecules, we did mention of the fact that we're seeing the utilization levels, and we don't call out the actual level, but we're seeing the trend lines on the utilization levels improve. We like the trend lines. Is it

here more to be done so that we get optimal? I think yes, we continue to hold that point. But yes, we are seeing more and more traction. In fact, the peptide facility that we spoke of earlier in the conversation is something that we are putting up at the Mangalore plant.

Shyam Srinivasan: Got it. Last question, Deepak and team, just on our overseas facilities, the acquisitions that we have done, how are they tracking either in terms of recruitments, also in terms of the pre-op expenses? When do we think monetization starts?

Deepak Jain: So we had guided towards second half of this year for us to start operations in the Bayview site. We are on track to do that. Things going as planned. The recruitment is happening. We are going as per what we have planned it to be.

The dates or periods of monetization, obviously, once we get the site operational, it will need to do some trial batches, etcetera. But we still continue to hold to our guidance around the second half of this year for the site to become operational, and things going on as per track.

Moderator: We'll take our next question from the line of Harith Ahamed at from Avendus Spark.

Harith Ahamed: I see a write-off of around INR28 crores related to unrecoverable receivables in the footnotes. So trying to understand under which line item this is recorded in the P&L? Is this entirely a one-off, nonrecurring item?

Deepak Jain: Yes, it's a one-off. It's a nonrecurring. And it's sitting in other expenses.

Harith Ahamed: Okay. Got it. And on the Bayview facility, you noted in your comments about commissioning the facility in the second half. And then we're also hearing about a lot of push from the U.S. administration towards local manufacturing. So do we expect the ramp-up in the order book to be faster than our initial expectations? And then if you had any conversations with clients, any takeaways from those? And also, any update on the order book, how that's shaping up at Unit 3?

Peter Bains: Okay. I'll take that one, Harith. Thanks for the question. On the Bayview facility, what we're seeing in the United States and, of course, it moves around a bit, but clearly there is a push from the administration to localize manufacturing for the U.S. -- in the U.S., and that very much plays to our site being located in Baltimore.

We have numerous discussions going on with potential clients and customers, but I think I'll revert to Deepak's guidance, which is everything that we set out in terms of preparation time lines remains very much on track. And we are looking forward to commence commercialization.

But that will, as Deepak guided also, that will be initial batches, qualification batches and so forth. We are on track to do that before -- in the second half of this year, and then we would look to see the ramp-up coming through later. I think that's in good shape and on the same time line.

With regard to Unit 3, Bangalore biologic facility, as I said in my remarks, we're very pleased that that is now operational and we are supplying GMP clinical supplies to a U.S. biotech. Of

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course, that's just the start. We have more to do, and we'll look to build on that going forward.

And one of the implications of that, that Deepak spoke to in terms of that now operationalizing, creates the depreciation that Deepak spoke about in his remarks.

Harith Ahamed: Just a quick one on the Phase III clinical trial contract that we won. So given that this is a new

foray and, so far, we have largely focused on B&B studies and early stage trials, does this foray entail some investments from our side to get into these large Phase III trials?

Peter Bains: So the patient recruitment, Harith, will be split between India, where we already got a well-established platform capability with strong connections into the hospital networks and with the appropriate

investigators. In the United States, we'll work with a collaborator and, operationally, of course, we will work with them.

So in terms of investment, incremental, nothing significant here. And we'll operationalize it, I think, before the end of this fiscal. But as I said in response to one of the earlier questions, we see the bigger economics of this global trial flowing through in fiscal '27 and '28. It's a multiyear trial, and we would expect the economics to flow and reflect that.

Moderator: We'll take the next question from the line of Alankar Garude from Kotak Institutional Equities.

Alankar Garude: Just a follow-up on the clinical trials as well. I wanted to understand what prompted the decision to get into this? And we have had a minimal presence in this over the last many years. Just in terms of timing, what exactly was the factor which prompted this decision to get into a larger presence within clinical trials now? And maybe a second question there is from a regulatory standpoint, particularly in India. Do you think the overall environment is now more conducive to conduct global clinical trials?

Peter Bains: So let me start, I'll do the first question first, I may ask you to repeat the second half. On the first one, what's prompted this. Syngene has had clinical trial capabilities for well over a decade and more, but those have been largely focused on human volunteer and early-stage trials. The Indian hospital capability and quality has dramatically improved over the last 10 to 15 years and now provides a substantial platform to access patients for clinical trials.

And the investigator network in India has also, I believe, significantly sort of advanced and the capability and quality is now really strong. And a lot of companies are looking and, indeed, so are the regulators, including diverse patient population bases in their later-stage trials toward approval.

So I think there have been sort of fundamental dynamics that have underpinned the emergence of the Indian clinical trial platform and access to patients. Syngene has been evolving along that and has now very strong networks and collaborations both with hospital groups and with investigators across a wide range of therapeutic areas. And very clearly, the interest in engaging and accessing Indian capabilities and the Indian patient population is increasing.

So we're looking to move with that dynamic in India. And we believe that with the capabilities and platform strengths that we've developed in India working in collaboration with select CROs in other geographies, as I described in my remarks, that that is a natural expansion for us into a Syngene International Limited

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very large market opportunity. So the fundamentals are right. Syngene is very well placed to capitalize on this as an Indian-based CRO, both to access the Indian hospital and patient populations and through partnerships to expand into global clinical trials.

Alankar, please repeat your second part of the question.

Alankar Garude: So the second one, Peter, was on -- from a regulatory standpoint in India, do you think the environment is now more conducive? Because there have been challenges in the past. Has anything changed as far as the regulatory environment for clinical trials in India is concerned?

Peter Bains: I think the answer is, directionally, yes, and clearly, yes. And I think there are also encouraging signs that the regulatory environment in India will continue to sort of improve in terms of ease of doing business and the speed of doing business.

And again, I think those are dynamics that are -- the wider global customer base sees and are important in playing into decisions to increase their engagement of the Indian hospital investigator and patient access to complement their global capabilities. So definitely, Alankar, I think the answer is yes, and we look forward

to more regulatory improvements to help accelerate that opportunity.

Alankar Garude: Helpful, Peter. The second one is, can you comment on the peptide facility you spoke about in Mangalore? More details in terms of the investment it entails, how much capacity you are looking to create? Is this more of restructuring of your existing facility or it's more brownfield? Possible to share any such details?

Peter Bains: Yes, I can expand a little bit. It will build on what I said earlier and I think some of Deepak's comments. As you know, we have been into peptides and early discoveries for some time and we strengthened that with a very contemporary facility installation earlier this year. In Bangalore, a discovery peptide laboratory, which enhanced our capabilities in peptide synthesis, in purification, in characterization, with multiple synthesizes.

Very, very, obviously, again, the peptide global market opportunity, which is, of course, led by GLPs, has been explosive in the nature of its growth. But behind the front end of that with GLPs into diabetes and so -- to diabetes and obesity, there is a very wide and deep range of clinical programs exploring the utility of peptides well beyond diabetes and obesity.

And that provides, I think, for us, a very attractive opportunity. And in order to enhance our capability to engage and to grow into that, and building on the discovery capability, want to establish facility, and this will be in Mangalore, which increases our scale and enables us to go into clinical scale and into commercial scale.

I mean this is not commercial scale at the GLP level, but it will be commercial scale on -- in other areas. And it takes us from a toehold to a foothold. And then from there, I think we'd be looking to build on that as well. It's a very good example of an area of opportunity, a very fast-growing modality with peptides where we're building on our preexisting capabilities and enhancing them to enable us to access and grow into this fast-growing market opportunity.

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Alankar Garude: And possible to share details, Peter, investment, until how much capacity you're looking to create, time lines as well?

Peter Bains: No. I mean, Alankar, I think I can give a little bit on that time line. I think this is -- we will build it this year, and it will come into operations next year. In terms of scale, this will enable us to move into clinical and into commercial. And it will complement our preclinical and discovery capacities that exist in Bangalore. But we're not going to sort of disclose any more details on that at this stage.

Moderator: We'll take the next question from the line Madhav Marda from FIL.

Madhav Marda: I have a very basic question. This global Phase III clinical trial which we are doing, could you just, like just very basic, help me understand what is the source of revenue for Syngene? Will we be generating revenue from helping recruit for the trial itself and also supply sort of the trial quantities from our facility? Or how does it work? Sorry, maybe a very basic question.

Deepak Jain: It's a nature of a service contract as well, right? So we would do the trials on patients and generate revenue through the client that asked us to do the trials.

Peter Bains: Madhav, let me build on that a little bit. I mean as Deepak said, this is a service contract that we'll enter with a client customer. And of course, it will be built around the patient numbers and the analytics that we will do in terms of the samples and the follow-up and the reporting and so forth. But it's basically a contract service around the scale and the scope of the clinical trial being conducted. Very standard format.

Madhav Marda: Okay. So is that linked to the new biologics facilities that you are setting up? It's not linked to supplying some quantities from there and it gets linked

to that. This is a separate business...

Peter Bains: Yes, yes. It's a separate business altogether. They're not linked.

Madhav Marda: Okay. Understood. And I just want to understand that on the Stelis unit as well, which we acquired some time back, any comments on the ramp-up time lines there? That was part one.

And secondly, on the Zoetis sort of the contract as well that we have. When do we expect the like -- when does the destocking end? When do we expect the supplies to restart for that project?

Deepak Jain: So Madhav, on the first question on Unit 3 ramp-up. We just said we commissioned the site in May, it became operational with all the regulatory licenses in May. We started doing clinical batches now, and we supply 1 GMP clinical batch to a client in U.S. And we're now starting to see the ramp-up of that shape up, right?

In terms of -- sorry, the second part of your question was?

Madhav Marda: The large molecule destocking, yes.

Deepak Jain: Yes. So we did speak about the destocking happening in this year, and that's what gave us the guidance of what we've done -- what we've got for FY '26. We continue to hold on to the guidance. We saw the impact of destocking happening in the quarter 2. That was in line with our

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anticipation or our expectations as well. And we're working with the client to ensure that it's going as what we had anticipated it to be.

Madhav Marda: Would it be fair to understand that this can come back in fiscal year '27, or that's yet to be discussed and confirmed?

Deepak Jain: I wouldn't be able to comment much upon that because it's a little -- for us, we are providers of the services and the products that the clients ask for. We receive an order, we fulfil the order based on the forecast that we get. And we've got a forecast which allowed us to give you the

guidance that we've given, and we're holding on to the guidance right now. For the years beyond, we'll come at the right time. And when we talk about FY '27, we'll guide on to that as well.

Moderator: We'll take our next question from the line of Chirag Dagli from DSP Investment Managers.

Chirag Dagli: Sir, is there an expansion of your role with the innovator on the animal health biologic product? Are there more such products? Because at that time, you had also talked about more products for the same clients. So just how should we think about that opportunity even while this destocking sort of continues?

Peter Bains: So let me address that question. So I mean we are, as Deepak said, we're obviously ongoing discussions with the client with regard to the commercial product that we are supplying. And we do have additional discussions with them on potential additional opportunities. And in the wider lens in animal health, we have a number of ongoing dialogues which could come to fruition there as well to complement our clear focus on human health. So we continue to explore all opportunities in that regard, and that includes existing clients and future opportunities.

Chirag Dagli: Is this like a near-term event, Peter, as in next 12 months kind of an event, the expansion of the product portfolio for the client?

Peter Bains: Can't really guide at that level. We'll, as and when these things mature and materialize, we'll update accordingly. But we have a wide range of discussions ongoing, and as and when they mature, we'll update.

Chirag Dagli: Understood. And the second one was on the -- while I understand you won't give an FY '27 outlook, but when I look at history, typically you've never had more than 2 years of single-digit growth, and FY '26 will be the third year of single-digit growth. Typically, that has been followed with a very strong following year. Is this the kind of expectation you want investors to go back with just looking at history last 15, 20 years?

It looks like after cou

ple of years of single-digit growth, you've come back fairly strongly, especially in context of the last 3 years which have had soft growth, but you've continued to invest in capacities as well as capabilities. So just in that context, some color around, without getting into numbers, some color around FY '27 outlook should be helpful. Because if I look at history, clearly looks like FY '27 and '28 should be very strong years.

Deepak Jain: Chirag, let me answer the question a little differently. When we came at the beginning of the year, we said we have a single digit -- mid-single-digit growth that we are guiding towards. And

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we did also call out that that mid-single-digit growth was driven by a one-off inventory correction by one of our clients. And we'd said underlying growth still continues to remain robust and is strong, which is what we hold because we are holding our guidance.

In terms of -- you're absolutely right, we continue to be on our strategic path of investing into the right capacities and capabilities as we see right. And we continue to do that. We continue to follow the path. Now I will not be able to comment upon how '27 and '28 will pan out to be.

We've always come and given a guidance at the right time, and at the right time, we'll come and talk about '27, '28.

Chirag Dagli: Just a follow-up on that, Deepak, is there any reason to believe this time around it is different?

Deepak Jain: This time around for the history...

Chirag Dagli: This time versus history. Yes, yes.

Deepak Jain: Well, all I can say, I can comment only upon this year and this year's guidance and what we've told you how it shapes up. I do not want to correlate a history and then do a forward projection on that, Chirag. Apologies for that. I'd like to just stick to this year and the guidance that I've given.

Moderator: Next question is from the line of Surya Narayan Patra from PhillipCapital India.

Surya Narayan Patra: Most of questions have already been answered, but I will try to understand a bit more on the clinical trials opportunity. So is it the reactivation of...

Moderator: Mr. Patra, your voice is sounding muffled. Please go ahead.

Surya Narayan Patra: So the only question was about the clinical trial operation. I think it's the reactivation of the old Clinigene business, what we used to have. And if it is yes, so how extensive this business will be, whether it will be like all toxic studies also along with the human clinical trial material supply and with the real trials?

Peter Bains: Sorry. Surya, again, I'm not sure I got the whole question, but a part of it was, is this Clinigene evolved? And in that, if that was the question, I think this is a substantial evolution of the Clinigene platform of many years ago, and it's being built around a platform on translation and clinical research, where we think putting translational capabilities along with clinical affords us the opportunity for a differentiated service in an area of extreme importance to our customers. As they seek to take their drug candidates and derisk them through translational science now, which is a very wide-ranging suite of capabilities and tools that will enable, for example,

biomarker studies to identify suitable patient populations for the clinical phase.

So this bridge between preclinical drug candidates and clinical candidates inside patients is a bridge of extreme importance to our customers, and we are building a platform of capabilities to support them across that bridge. And as I said, translational capabilities will be very important in a sort of integrated, joined up and end-to-end capability, to then enhance the clinical profile output.

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It's a very exciting area for us. It's an area of extreme importance to our customers

as they look

to bridge their drug candidates into human studies and ensure that those studies, protocols, designs and patient populations are optimized against the biological target and the diseases that these drug candidates are designed for.

So it's a very much enhanced, elevated and advanced platform capabilities. And maybe you're talking about evolve with the Clinigene where it was centered around the human pharmacology unit doing studies for generic companies. It's transformationally shifted from that, and we will continue to build on it.

Surya Narayan Patra: Okay. Sir, what resources that we would have created to attract this kind of business opportunity?

And let's say, over a longer period of time, let's say, if you consider a 3-year period, how big this opportunity can be for the entire company like Syngene?

Peter Bains: So I mean, I think I said in my opening remarks and to the answer to 1 or 2 other questions, we see the translation and clinical research part of our business, which today is a relatively small part of our business, as an area of strategic growth opportunity. And we're very excited with the award of our first global clinical trial, as I described earlier, and we're looking to build on that. And I think the outlook is very positive for this.

I mean we are not in a position to give any quantitative forward guidance or outlook. I mean what is very, very clear is that the translational and the clinical trial space on the global CRO landscape is a large part of the market opportunity, and it remains a fast-growing part of that opportunity.

And we believe that we've built and we'll continue to enhance the platform capability that will enable Syngene to engage in that market opportunity in a differentiated way and with the opportunity to access the market opportunity and create a strong growth driver for our business in many years to come. That's the nature of the opportunities, Surya, at this stage, but we're not going to give any more characterization on quantification.

Surya Narayan Patra: So just last one, so whether this China plus one is also a kind of a trigger here in the CTO? Because China was the biggest market for the CTOs. So is China plus one even kind of a big driver for clinical opportunities for Indian players, and hence, the move that we are seeing for Syngene?

Peter Bains: Sorry, the question is breaking up, so I don't think I'm hearing it properly.

Deepak Jain: Is China plus one a driver for us on clinical trials?

Peter Bains: So the clinical trials, Surya, the question was, is China plus one a driver for us on clinical trials?

The answer is no. That's not a factor in our consideration at this stage, and we clearly look at the global market opportunity more broadly than that.

And it's not a driver in any of our decision-making. The decision-making around consolidating a capability, bridging preclinical and clinical to include translation sites in the suite of

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capabilities that I've just described was taken on the basis of the global market opportunities it stands.

And there was no consideration of a China plus one component to that. The global market opportunity is very significant. We're starting our play in that market, and we're very excited about the opportunity.

Moderator: We'll take our next question from the line of Aditya Khemka from InCred Asset Management.

Aditya Khemka: A couple of questions. First, on the overall return on equity profile for the company, directionally has been a double-whammy of lower asset returns and even lower PAT margins. If you can sort of share your outlook considering you have invested roughly \$200 million over the last 2 years.

How do you sort of place your incremental capital allocation to improve this? And if you can share what kind of investments are you looking over FY '26 and '27. These are

the first questions.

Deepak Jain: So completely with you in terms of us going ahead and investing and that having an impact on the return on capital. But our investments that we've made have been conscious decisions of building capacity in businesses that we are seeing growth in. In my previous conversations, I've always mentioned that we look at investments in twofold.

One is capacity and capability. And we continue to strategically invest as we deem right into areas, into modalities, into capacities, right? In the last few years, we've invested into our biologics capacities.

We would always appreciate the fact that these capacities have a gestation before they ramp up. And even in the guidance that we've given for both our biologics facility in Bangalore and the Bayview facility, we said we will get to an asset turnover in a 3 to 5-year time horizon. And we did call that, in this transition, there will be an impact that will come to our margins and our returns.

We believe the investments that we are making is strategically the right investments to make, and helps us look at opportunities to capitalize on in the near and the long-term horizon. In terms of the impact on margin that you just mentioned, I think, as I said, we continue to hold the guidance for this year. We continue to rationale the fact that the guidance of this year of the mid-20s on EBITDA and a declining PAT for this year was also so transient in the nature and, more importantly, it was also driven by the one-offs that we are seeing in the business.

So I think if I was to zoom out and look at this situation, our returns on capital right now seem a little muted. But the fact remains is that it is an investment into the future, which always will have a gestation period. I'll pause and check if Peter has any comments.

Aditya Khemka: Got it. Can you call out the capital investments that you're looking to do over the next 2 years, in absolute number?

Deepak Jain: So I will -- as I said, we typically guide for a year at a time. And right now, we've not guided for anything beyond '26. For '26, we've guided to a \$45 million of capex investments with an incremental \$10 million of capex investment going into our Bayview facility as well. So we're

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holding on to that for the moment. Any incremental changes to the guidance for the future period, we'll come to you at the appropriate point in time when we guide for the years forward.

Aditya Khemka: Got it. And the last question is, you can correct me if I'm wrong, the human clinical trial business margins are typically lower than the general drug discovery business. Is that true, or it should -- it would be fair to make that inference?

Deepak Jain: The way I look at this is we do not break down our margins and we do not call out our margins by business yet. And therefore, I do not want to speculate for this moment. As I said, we are very pleased with the first global trial that we've got.

We want to capitalize on a market that's growing, and a real focus right now in growing that part of the business, which Peter alluded to the fact that it's gone through a significant evolution and we see a great potential as the ecosystem in the country is also building up and supporting the growth that we have.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we'll take that as the last question for today. I now hand the conference over to Ms. Nandini Agarwal: for closing comments. Over to you.

Nandini Agarwal: Well, thank you all for joining us on the call today. And any further questions you have, you can get in touch with the team. Thank you, and have a good day. Bye.

Moderator: Thank you. On behalf of Syngene International Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2026

"Syngene International Limited 3rd Quarter & Nine Months FY
2026 Financial Results Conference Call "

January 23, 2026

MANAGEMENT : MR. PETER BAINS – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER , SYNGENE INTERNATIONAL
LIMITED
MR. DEEPAK JAIN – CHIEF FINANCIAL OFFICER ,
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MS. NANDINI AGARWAL – SYNGENE INTERNATIONAL
LIMITED

Syngene International Limited
January 23, 2026

Moderator : Ladies and gentlemen, good day and welcome to Syngene International 's 3rd Quarter and Nine Months FY 2026 Financial Results Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this call is being recorded.

I now hand the conference over to Ms. Nandini Agarwal. Thank you and over to you.

Nandini Agarwal: Thank you and good afternoon to everyone. Thank you for joining us on this call to discuss Syngene 's 3rd Quarter and Nine Months Results for Financial Year 2026.

To Discuss the Financial and Business Performance for the Period, we have on this call today, Mr.

Peter Bains, Syngene 's Managing Director and CEO and Mr. Deepak Jain, our CFO.

After the opening remarks, Peter and Deepak will be happy to answer any questions you may have. Before we begin, I would like to caution that comments made during this Conference Call today will contain certain forward -looking statements and must be viewed in relation to the risks pertaining to the business. The safe harbor clause indicated in the investor presentation also applies to this conference call. The replay of this call will be available for the next few days and the transcript will be made available.

With this, I would now turn the call to our Managing Director and CEO – Mr. Peter Bains.

Peter Bains: Thank you, Nandini. Good afternoon, everybody, and thank you for joining us in today 's call.

I will begin with a brief overview and commentary of our key financials for the quarter and for the first Nine Months of the Financial Year before I move on to our operational and strategic highlights .

I will then hand over to Deepak , who will provide a more detailed breakdown of the financials .

Let me start by addressing the numbers :

For the 3rd Quarter , revenue from operations declined 3% year -on-year to Rs.917 crores. Operating EBITDA for the quarter stood at Rs.209 crores, with a margin of 23%, while profit after tax before exceptional items was Rs.73 crores.

On a nine -month basis, revenue from operations increased 3% year -on-year to Rs.2,702 crores. Operating EBITDA for the period was Rs.615 crores, with a margin of 23%, while profit after tax before exceptional items stood at Rs.227 crores.

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I would now like to discuss the key underlying dynamics that have shaped this performance delivery and profile :

The key variable impacting our 3rd Quarter performance has been the ongoing impact related to a single commercial stage product from our largest large molecule biologics customer. We have mentioned this impact to you previously during our interactions this year.

Outside this singular matter, our underlying business performance has shown steady progress, which I will now outline :

As Syngene operates across two business segments -- Research Services and Contract Development and Manufacturing Services -- and this includes both large and small molecules. Across both these

segments, our underlying growth has remained steady during the quarter.

Our research services business continues to secure new customers and contracts across chemistry, biology, translational and clinical research platforms.

In our CDMO business, we are seeing increased capacity utilization in both small molecules and large molecules as we attract new customers.

Let me now draw your attention to some of the quarter's business highlights:

Firstly, I am delighted to advise of the extension of our relationship with Bristol Myers Squibb, which remains our largest and we are now supporting Bristol Myers with over 700 scientists in Bangalore and our longest standing partnership now extending more than 25 years.

We have extended our collaboration with BMS through to 2035, providing both partners with a strategic 10-year horizon to further develop and expand this unique long-standing collaboration.

Consistent with our strategy, we are continuing to invest in strengthening our scientific capabilities and manufacturing technologies in areas that improve our ability to grow our business and to support our customers with differentiated services.

During the quarter, we expanded our advanced chemistry capabilities at Hyderabad with new catalytic screening and flow chemistry laboratories. These facilities allow multiple reaction conditions to be evaluated parallel, improving speed, efficiency and scalability.

We also commissioned a new commercial-scale facility for liquid-filled hard gelatin capsules, significantly enhancing our oral solid dosage platform.

With this facility, we are now better equipped to support complex oral formulations that are becoming increasingly common in modern drug pipelines.

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At our Bayview Biologics facility in the United States, process and equipment validation are now complete and hiring is underway to support operations as planned.

In summary, and notwithstanding the single product impact I have described, our differentiated scientific capabilities, long-standing client relationships and diversified business model across research services and CDMO continue to provide resilience, balance and growth. These strengths, combined with disciplined investments in technology, AI and new capabilities and capacity, position us well to strengthen our service proposition to our wide and growing customer base.

Thank you and I will now hand over to Deepak.

Deepak Jain: Thank you, Peter. A very good afternoon, everyone.

Let me begin by discussing the 3rd Quarter's performance and then I will cover nine months performance and finally the guidance before I close my commentary.

First, looking at revenue:

Revenue from operations for the 3rd Quarter was Rs.917 crores, a 3% year-on-year decline in reported terms and down 7% in constant currency.

Let me elaborate on the numbers:

This quarter saw steady performance in the research business led by volume improvement and discovery services. Revenue headwinds and CDMO continue to be the driving force by ongoing impact related to a single commercial product from our largest large molecule biologics customer.

Now, let me turn to costs:

Raw material costs still at 25% of revenue in this quarter, similar to same in the last quarter. We expect full year raw material costs to be around 25%.

Staff costs increased by about 8% year-on-year, in line with the annual increase and the investment in talent.

Other direct costs, primarily comprising power utility expenses, increased 2% year-on-year due to the new facilities at Bayview in the US and the biologics facility in Bangalore.

Other expenses increased by 5% year-on-year due to general business expenses and automation and digital initiatives.

Our company saw a hedge loss of Rs.23.3 crores against a hedge gain of Rs.1.7 crores in the same quarter of the previous year due to difference between average and spot hedge rates.

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Revenue for the quarter was hedged around Rs.86.9. However, the average spot rate during the quarter was around Rs.89.4.

The movement in revenue and costs resulted in operating EBITDA of Rs.209 crores with a margin of 23% in the quarter versus 30% in the last year.

Depreciation has increased in line with our plans and primarily due to addition in capacity at biologics manufacturing sites in Bangalore which became operational this year.

EBITDA from operations was Rs.95 crores with margins of 10%.

Reported interest expense declined by 4% as borrowing reduced in Q3 FY26 compared to the same quarter.

arter last year.

Other income declined by 16% compared to Q3 last year primarily due to one -off related to interest on income taxes received last year, which was not there in the current year.

As you will know, the Government of India has recently notified the four labor codes consolidating the 29 existing labor laws. This resulted in an exceptional item of Rs.58 crores net of tax due to impact of change in gratuity liability under the Labor Code .

Overall , profit after tax but before exceptional items , stood at Rs.73 crores down 44% year -on-year.

Reported PAT was Rs.15 crores , down 89% year -on-year.

The normalized effective tax rate for the quarter was 22.8% as compared to 22.2% similar quarter last year. We expect the effective tax rate for the full year to be around in the range of 21 % to 23%.

In terms of CAPEX :

We continue to invest in building capabilities, technologies that enable us to become an integrated solution provider for our clients. During the 3rd Quarter , we invested a total CAPEX of around \$9 million. Around 50% was invested in research services primarily across capability builds including DMPK biology, ADC labs and contractual obligations in dedicated centres along with regular CAPEX expansion. Nearly 35% of the CAPEX in the CDMO business including for a new commercial scale facility for liquid filled hard gelatin capsules, integration of Bayview facility and the modification of Unit -3. The remaining CAPEX was spent on digitization, automation and towards common infrastructure.

We continue to maintain a strong balance sheet. After meeting CAPEX spends for the quarter, we have a net cash balance of Rs.902 crores as of 31st December 2025.

Turning to the nine-month performance:

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Reported revenue from operations increased by 3% year -on-year. Raw material cost was down by 3% driven by revenue mix and staff cost increased by 12%.

Our direct cost, primarily comprising of power utilities increased by 3% and other operating costs increased by 11% as we continue to invest into expansion of our facilities and capabilities including automation digitization that I spoke of earlier.

Operating EBITDA margin stood at 23% for the nine months of FY26 compared to 27% last year.

PAT before exceptional item was down 22% year -on-year to Rs.227 crores.

Finally, let me turn now to the guidance for the year:

With the ongoing single product impact in our large molecule business, we are revising our guidance.

We expect to close the full year with a decline in revenue in the range of 3 % to 5% with operating EBITDA margin in the range of 22 % to 23%. Our CAPEX is estimated to be around \$45 million by the end of the year.

With that, let us open it up for questions. Thank you.

Moderator: We will now begin the question -and-answer session. We will take a first question from the line of Kunal Damesha from Macquarie. Please go ahead.

Kunal Damesha: Hi, thank you for the opportunity. The first question is on the impact on the biologic product which was announced in this quarter and seems an impact in previous quarter as well, but as the year goes by, how do we expect the impact of this in Q4 and how are we getting from the FY27 prospect , demand comes back here , are there other drivers which basically help us grow from within our CMO business? And also, if you could provide a broad split between the CRO and CMO business this quarter, that would be helpful ?

Peter Bains: Thank you, Kunal. Let me address the questions and Deepak add something. Let me deal with the second one first, and that is the split between our research services and CDMO , about two -thirds research services, one -third CDMO in this quarter, that is a slight adjustment reflecting the single product impact that we are having, but that is the balance that we have. Turning to this single biologic product where we have been advising

of the impact through this year, obviously, we expect to see this impact continue and play itself out in the next quarters and the coming quarters , and the impact that we are now experiencing is now being included clearly in the full-year guidance. It would be inappropriate for me to comment in any detail on the product itself without our collaboration partner. So, I think that is as far as we can guide at this point.

Kunal Damesha: Sorry, I just missed a moment in between. You expect the impact to continue in the next year or are you just guiding for the next quarter as of now?

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Peter Bains: Well, we expect the impact to continue in the coming quarters, and then it will play itself out through the coming quarters, but it will go beyond Q4.

Kunal Damesha: And then any offsets that we see which can help us with the growth in the CDMO business in terms of the pipeline, projects ?

Peter Bains: Yes, Kunal, and I touched on it in my opening remarks and I am happy to expand. If we strip out the impact of this single product and look at what is happening across our business, what we see is growth, and what is encouraging is that growth is across our division. So, we take the impact out of our manufacturing platform. We are seeing increased capacity utilization, both in small molecules

and in large molecules, and we are seeing that translate in the quarter into some growth. In our research services, as we look at that across chemistry, biology, translational science and clinical, we are also seeing growth. Now, our focus is very clearly to look to accelerate that growth in order to compensate for this singular issue that we are facing with our largest large molecule customer, and that will be the focus going forward, and our growth can be broad-based, and I think this is a strength of Syngene's model in that it has diverse capabilities across a wide range here. So, looking for growth and filling up pipeline and capacity in small molecules and large molecules and looking to accelerate the growth that we are seeing in our research services. So, very clearly, that is the focal point of management going forward.

Kunal Damesha: Sure. And a second question is for Deepak. Of the Rs.70 crore's impact on the new labor code, how much of the impact we expect to see continuing in the future quarter?

Deepak Jain: You are talking about the exceptional item, Kunal?

Kunal Damesha: Yes, exceptional item.

Deepak Jain: So, Kunal, the way it is, as the labor code has just got introduced, the institute has given us a guidance of taking that provision into play, the notifications are still coming out. We are looking and keeping ourselves close to it. As it progresses, as it evolves, we will get to update our financials accordingly. It is early days, but we have taken basis the best judgment what we have right now.

Kunal Damesha: Sure. Thank you and all the best.

Deepak Jain: Thank you.

Moderator: Next question is from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.

Shyam Srinivasan: Hi! Thank you for taking my question. Just the first one on the revenue splits between CRO, CDMO, if you could give us the broad percentages and also a year ago? I am assuming CRO is growing. So, just some qualitative color on what is driving that growth.

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Deepak Jain: Sure. So, we had two-thirds, one-third is what Peter had called out earlier as well, that is the split that we have. It is broadly the same as what we had last year as well; it was around 65, 35. So, we are kind of holding almost similar. The point, Shyam, is the fact that because of that one product impact, we are seeing a change in a bit of the business mix. But, if we were to look at or strip that out, as Peter was mentioning earlier, the underlying business continues to grow and continues to

grow in a

steady progress. So, to that extent, the baseline and foundations seem stronger.

Shyam Srinivasan: Deepak, it will be helpful because if I use, how do we strip the riser at double-digit growth, because very difficult, right, since we are not sharing what that call-out is?

Deepak Jain: Sure. No, so I understand that, Shyam. So, the way I would call it out is, it is high single-digit, low double-digits is where I would keep it in the ballpark. So, if I was to strip out the growth of -

Shyam Srinivasan: You are talking about extra special opportunity, you are calling out the growth in CC terms is what, sorry?

Deepak Jain: If I was to exclude the one-off product, right, that is impacting and giving us the headwinds, the rest of the business is growing in high single-digits, low double-digits in constant currency terms.

Shyam Srinivasan: Okay. That is helpful. And do you want to give some color around CRO versus CDMO there, excluding that business, which is growing fast?

Deepak Jain: Excluding CDMO business? Excluding CDMO business also, we are growing very well.

Shyam Srinivasan: No, no, Deepak, excluding that one-off, I am just saying, if you can split the CDMO also, how has the CDMO business done?

Deepak Jain: So, I am only able to give you right now, Shyam, the growth as a total business. The growth split by CDMO and CRO, I am not at the position to say that right now.

Shyam Srinivasan: Got it. Helpful. And a second question is just on the guidance. I presume this is a constant currency guidance, right, sorry, if I am...3% to 5% decline now?

Deepak Jain: Yes, yes.

Shyam Srinivasan: Okay. So, still implies a pretty weak 4Q I would imagine. I do not know how do we use the rupee conversion there, but it still would mean a, my guess, my guess, sequential decline in Quarter 4, which is not typically how it pans out historically?

Deepak Jain: The rupee has been fairly volatile.

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Peter Bains: Yes. Shyam, we will expect the single product impact to continue in Q4, and we will be looking to offset that with the growth that we are seeing in the rest of the business, which Deepak has characterized.

Shyam Srinivasan: Got it. And just lastly, again, maybe since we do not know the percentages exactly, when I just punched in the two-thirds, one-third for CRO, even CRO has shown weakness, like, flatish kind of growth Y-o-Y. So, I thought the narrative was CRO is improving, biotech funding improving, so, just some qualitative around what is happening to the discovery business?

Deepak Jain: So, the entire research services business that we spoke of, right, is growing year-on-year, right? So, I probably do not understand the modeling that you have. Maybe we should have a look at that. But the point remains is my research services is growing and doing well. Our investments in chemistry,

biology, translation are putting us on a good steady growth.

Shyam Srinivasan: Okay. Thank you and all the best.

Moderator: We take our next question from the line of Alankar Garude from Kotak Institutional Equities. Please go ahead.

Alankar Garude: Hi, thank you for the opportunity and good afternoon, everyone. The first question, when we had our second quarter call in November, you had mentioned mid -single -digit top -line growth guidance and constant currency terms, and now you are talking about a 3% to 5% decline. So, just trying to understand, in the last few months, the funding environment has actually improved. So, what exactly has driven this sharp change in the guidance for FY26?

Deepak Jain: So, Alankar, as I said, there is not much of a change in the way we had our view to the business beyond that one single product. The base business and the underlying growth that we spoke about continues to remain robust. It is more than expected impact that we are getting from the one s

ingle

large molecule product that is actually having an adverse impact into what we had guided and therefore, needing for us to make that change in guidance.

Alankar Garude: So, were we expecting, Deepak, any sales from this molecule in the second half, which were not there in 3Q and will not come in fourth quarter?

Deepak Jain: We were expecting a certain quantum of volumes to come into us from the product, but it has been slower than what we expected.

Alankar Garude: Got it. And just one clarification on that. When Peter was answering the earlier question regarding this product, I think we missed out a few things. So, can you please help repeat that? I think Peter said, expect impact to continue in the coming quarters. Did I hear that correctly?

Peter Bains: Yes, you heard that correctly. I mean, and we have now captured that in the year -end guidance, we do expect the impact of this single product to play out in the coming quarters.

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Alankar Garude: Okay. Got it. The second question is, can you comment on both the two underutilized facilities in terms of what kind of traction you are seeing, what kind of discussions you are having, both Mangalore as well as Unit -3? And also for the US facility, is it on track to operationalize in the fourth quarter?

Peter Bains: Yes, Alankar, I will take that one. So, in Mangalore, the small molecules facility, we are seeing capacity utilization increase and translate into growth this quarter. Our pipeline is building, and the ongoing products can progress there. And if they progress, they can scale as well. So, we are encouraged by the steps that we have taken translating into this improvement in capacity utilization and growth. And obviously, a management focus here will be to strengthen that, and we are working hard to build that pipeline and accelerate utilization. In the Mangalore large molecules, again, we are seeing growth. Capacity utilization is improving, and again, we are looking to strengthen and accelerate that. We have installed as part of our CAPEX programs a sterile fill finish line there. That strengthens our service offering that we now move from drug substance into drug product, and that will enhance our offering there. So, looking to build on the early traction that we are seeing and accelerate that. With regard to Bayview, as I said in my opening remarks, the qualification of equipment and the facility is now complete. We are finishing with the team in order to prepare to begin operations in that in the coming quarter or so. So, clear focus on strengthening the growth that we are seeing by building the pipeline and advancing the assets that we have in play now.

Alankar Garude: A slightly hypothetical question. Given that you mentioned about this impact continuing in the key product for the next few quarters, our original Bangalore biologics facility also would be relatively underutilized. So, when it comes to having discussions regarding both Unit-3 as well as the original Bangalore facility, I mean, is there any preference which you have or clients have when it comes to starting new projects among either of these two facilities?

Peter Bains: So, I think my answer to that question would be that, a part of the reason in acquiring the US facility was to give us this flexibility. We wanted to put a foothold in the United States as a strategic market opportunity and retain our position here in Bangalore. And this gives us flexibility to talk to our customers about the versatility that might suit what they want to do. So, we will definitely look to leverage that flexibility and versatility going forward.

Alankar Garude: Okay, sir. That is it from my side. Thank you.

Moderator: Next question is from the line of Chirag Dagli from DSP Mutual Fund. Please go ahead.

Chirag Dagli: Thank you for the opportunity. In this single product, where are

we in FY26 on a run rate basis versus

a more normalized number? You did indicate at the time of signing of this contract that this was a cumulative \$500 million 10 -year contract. I am just assuming \$50 million was a more normalized run rate for this one. In FY26, where are we versus that normalized run rate for that product?

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Deepak Jain: So, Chirag, thanks for the question. If you look at what we have spoken about this product, when we contracted on this product, it was a 10 -year program with the potential to get to \$500 million. We

also did call out that in the first few years, we were able to deliver better off than a typical average. And that was driven largely by the fact that it is a new product, it will need to go into the market, the pipelines and distribution will need to be filled up, etc. Now, once that happened, from the beginning of the year, we have been speaking about the fact that we are seeing now an inventory correction. But, more importantly, if you look at the public announcements on the product, it is also talking about a product issue as well. And therefore, we do not know how it is panning out. I would not want to comment beyond whatever is there in the public domain. They are a listed company. They will come out with their own views to it. But beyond that, the way we look at it is we are seeing headwinds coming in for our supply of the product to them. And right now, we see that continuing for a few more quarters.

Chirag Dagli: Has our wallet share in that product remain stable for that product for the client?

Peter Bains: I mean, it is not our position to comment on our collaborating partner here, obviously, we are talking to them. Let me be a little bit clearer. The product is Librela and our partner is Zoetis. What I would do is point you in the direction of their website for information on what they are doing.

Chirag Dagli: Understood. And just on the follow-on product or incremental products on that partnership, any color around that?

Peter Bains: I mean, we have an open dialogue and an ongoing dialogue with our collaborator there and are exploring other opportunities and we will update on that as we make progress and mature any discussions.

Chirag Dagli: Understood. And just a bit on the environment for our services business. I understand this is a lot dependent on the funding environment. Just how are you seeing that environment as we get into this calendar year?

Peter Bains: Sure. I think, and we touched on this in the last quarter, that there were some signs that the venture capital funding into biotech, which has had a pretty long winter, was beginning to thaw. I think what we see is that trend continuing and I think there are some signals that that is accelerating a little bit and that is obviously an encouraging sign and the Syngene has a strong exposure to biotech companies and that would be welcome if that continues and that will feed into the biotechnology companies and provide further opportunities for Syngene to collaborate to support. So, I think we are of course watching this, at present I think we see an improving trend in that regard.

Chirag Dagli: Understood. Thank you.

Moderator: We will take our next question from the line of Neha. Please go ahead.

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Neha: Yes, thanks for taking my question. If I were to strip out this special product, how should I think about growth for fiscal '27 for the rest of the business, should we assume the high-single digit, low-double digit growth that you mentioned, constant currency accelerating to more like mid-teens, high-teens, would that be a fair assumption?

Deepak Jain: Neha, we typically guide towards only the year and we can right now restrict the comments only for this year. Somewhere around in April-May time horizon is when we come and give

a guidance for

the coming year and that is the time we will speak more detail around the guidance for the coming year. It would not be right for me to right now give any commentary or color on the guidance for FY27.

Neha: Is there any color that we can give on probably trends improving in the rest of the business to give confidence on '27 growth if not a formal guidance? I understand that you would probably prefer to give that after fourth quarter either what we are seeing probably in CRO or the CDMO business to give us confidence that things could improve going into FY27 for the rest of the business?

Peter Bains: Sure, Neha, let me take that one. So, as I think, both Deepak and we have commented in the earlier questions, notwithstanding this single product impact, we are seeing growth across the wide range of the Syngene model. So, we are seeing growth in the manufacturing business, small molecules and large molecules, and we are seeing growth in the research services, spanning chemistry, biology and biotherapeutics, and translation and clinical sciences. Deepak has given an indication of what that underlying growth looks like at high single, low double digits. And, of course, that is the focus now is to accelerate that growth across all fronts and pick up on these encouraging signs of growth that we have and accelerate that and then we will be giving formal guidance for '27 in our fourth quarter results. But we are very focused on looking to build on and accelerate the growth that we are seeing across the diverse service platforms that we have. It is really a strength of Syngene that we have this diverse platform, and, of course, we now have to push on that to compensate for the headwinds that we are facing with this large single product issue.

Deepak Jain: Neha, if I may add, we continue to invest in the business, right, we continue to invest in CAPEX, we have spoken about in the previous quarters as well and we continue to speak about in this quarter as well, right, as we enhance our capabilities and capacities, as and when the modalities and technology change, we continue to upgrade ourselves. So, we continue to invest in the business. We continue to have a strong balance sheet and the underlying business growth continues to remain strong.

Neha: Thanks for that. Given the lumpiness of this asset and you invested in the Bangalore facility and now in the U.S. facility, do we see anything in the pipeline that we have, with our customers in terms of

other large products that could probably reduce our dependence on this one product when it comes to revenue growth, just reduce the dependence on the volatility related to this product, do you have any visibility on that coming through, let us say, in the next 12 months or 18 months?

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Peter Bains: Yes. That is very clearly a focus, and our goal is to build the pipeline, translate that into capacity utilization across all our facilities, and Bangalore and Bayview are clearly two of those facilities. And what we are seeing is some early and encouraging signs both in business coming in, providing the basis of the growth that we have described, and we are working on strengthening those pipelines so that we can accelerate that. That is very clearly a focus.

Moderator: We will take our next question from the line of Manoj Bahety from Carnelian Asset Management. Please go ahead.

Manoj Bahety: Hi, good afternoon. Thanks for taking my question. So, I have a couple of questions like, first one is especially on the CDMO, the way we have expanded the capacity and done the capital allocation.

So, just wanted to understand what is the plan for capacity ramp up -- is there an urgency in terms of getting the capacity utilization also in place, because when I compare peers who are in CDMO, who have done the capacity addition, especially the way the opp

portunity is coming to India, we are seeing,

like, significantly faster and much bigger numbers in terms of expectation of capacity utilization. I am not interested in exact numbers, but in terms of the direction of the growth going forward, looking at the kind of capacity in India, as well as in the US, where we have put it, like, next two, three years, are we seeing some meaningful upside or market-leading growth on account of the capacity which we have put in?

Peter Bains: So, Manoj, the answer is yes. I mean, that is very clearly a key priority. Has the performance in Bangalore met the expectations as we discussed? Not yet, but that is what we are working on. And as I said in my opening comments, we are seeing some traction, we are seeing capacity utilization increase. That is very encouraging. Of course, we need to accelerate that, and that is what we are working on, and we are looking to strengthen the pipeline and the delivery and accelerate that utilization. And the same holds true for the Bangalore facility, large molecules. And again, we are seeing now some early pickup in traction and utilization and growth, and we are going to build on that. And, obviously, in Bayview, we are completing, the formalities to get that facility licensed and cleared. We have built the management team, and we are ongoing many dialogues to look at starting to fill that facility up. You will have also seen that we have appointed a new Head of Manufacturing, Dr. Rohtash Kumar, who comes with an awful lot of experience both in large molecules and small molecules in Europe, in the United States, and he is relocated here in Bangalore to lead and drive that in the next chapter of our CDMO platforms. So, we are very focused on it. We have got early and encouraging signs, and we are strengthening the focus on accelerating that.

Manoj Bahety: Thanks for that response, Peter. But still, where you mentioned that even if I take out this one of the large products, you mentioned that there is a high single-digit growth across the business, which we believe that the larger portion of the growth may be contributed by CRO. And still, CMO, excluding this single large product, still the growth visibility is not there, and as investors, we are not getting any direction in terms of the direction and magnitude of the growth also going forward. So, help us getting at least some color on the direction and magnitude of the group going forward, that will be really helpful?

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Peter Bains: Sure. I mean, I understand the question, Manoj, I understand, your expression of frustration. At this point, we can not give any quantitative guidance on that. When we come to the full year, we will have a clearer picture. I can only emphasize that we believe these facilities will have high potential, the capacities are there, the capabilities and technologies are good, under new leadership and with the amplified focus, plus, I think, very clearly some of the early and encouraging signs that we are seeing that I have discussed, we are looking to accelerate that quite clearly to fill the capacities which have substantial potential to drive revenue going forward.

Manoj Bahety: Got it. Now, my second question is on the CRO side, like looking at the improving environment on the biotech funding, we were expecting that CRO will also start coming back to faster pace of the growth, but looking at your overall number, that thing is still not visible. Is there something which is still preventing at a macro level the faster pace of growth or we as an organization are growing slower vis-à-vis our peers, how do you read this?

Peter Bains: So, I think the macro environment is broadly favorable. I mean, I think we have spoken about encouraging signs of return on venture capital into biotech, the mid and long-term, the trends are continued

outsourcing by big pharma of discovery services. And I think, Syngene's platform is well placed to capitalize on that and investments that we have made in chemistry that I spoke about, we are looking to build out in biology, not just in discovery biology, but leverage, what we think is, platform capabilities and differentiated platform capabilities in India on biotherapeutics. And,

certainly in translational sciences and in clinical trials, we are seeing again in both of those areas, those encouraging early signs. And, one of those we touched on last quarter was the award of our first global clinical trial recruiting here in India and in the United States. And that continues to make progress, but there are timelines here. So, in this quarter, we have received the expert committee approvals to go forward, and we will be now looking at site selection and patient recruitment. But these things do have a timeline before they can really accelerate. Again, our focus will be on leveraging the diverse capabilities that we have in chemistry, and we spoke about those investments in biology, and in translational clinical sciences and look to accelerate the growth that we have, which, Deepak has advised underlying, is in that high single digit, low double digit, and of course, that is for us to build that, and accelerate that further.

Manoj Bahety: Got it. And one last question I do have. So, what is the internal plan to mitigate the risk on this single large molecule, like you highlighted that earlier, it was inventory correction, which the customer was taking on, also, there are some product-specific issues, so, internally, how we are preparing ourselves to mitigate the impact of this going forward? And secondly, how long the impact will be there on Syngene of the single large molecule -- can we expect that by the fourth quarter it will be over or do you believe that it will continue for the next few quarters?

Peter Bains: So, as I think we covered in some earlier questions in terms of how long do we see this impact lasting. We see this playing out over the next few quarters. It is clearly going to play into Q4 and it will play in, I think, into a couple of quarters in '27 before it plays out. Now, how long and where it goes? That is not for us to comment on, as I said. I mean, this is a product from a key collaborator of ours, Syngene International Limited

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Zoetis, and again, I would encourage you to look at their website, and take guidance from them on how they see this product moving forward. In terms of -

Manoj Bahety: My question was how Syngene is planning to mitigate the impact of this?

Peter Bains: Sure, I am coming to that, Manoj. So, on the second question, in terms of mitigation, I mean, it is very clear that what Syngene is looking to do is to build a wide and diversified business across the platforms, and build more large relationships. I mean, I think this product was launched, it had very high success at launch, and of course, it has run into the headwinds that it has run into and that impact has significantly affected our numbers, as you can see, and reflects that exposure to a single large business. We are working to diversify our business, both across our platforms and in terms of building more large relationships, so that exposure to these types of single product events would be minimized and, that is another focus of how we are looking to build our business going forward.

Manoj Bahety: Thanks for taking my questions.

Moderator: We will take our next question from the line of Pankaj Murarka from Renaissance Investment Managers. Please go ahead.

Pankaj Murarka: Yes. Hi. Good afternoon, gentlemen. Peter, you answered some of my questions, but I still want to get your take on, I presume it has been about six or seven months since you have been back into the saddle. So, did some of the exi

isting state of affairs or state at which the business was, when you assume charge, did it surprise you? Point number one. Point number two, while you outlined the initiatives you have taken and you continue to make strategic investments, keeping the long-term interest in the business, and since you are not guiding for next year, and as shareholders, we want to take a slightly more medium term or longer term view on the business, can you qualitatively comment, when do you think the business will get back to growth trajectory on the aggregate basis, because while I understand that some part of the business is growing, but still as shareholders, we are not buying parts of the business? And I am still not able to understand, Deepak, your comment that when you are saying the rest of the business is growing at high single digit, how do you call it a strong growth, I am still not able to connect that qualitative comment to the underlying growth in the business? So I would appreciate since you are not quantifying or giving guidance, if you could clarify on some of these qualitative comments on the questions I am asking?

Peter Bains: Sure, Pankaj, thank you. So let me address the first part of your question about how I am seeing the business having come back into it. I think the first thing to say is the extent of the single product headwind has been a one-off and was not expected at the time of launch, the launch was successful. So this has happened, and we obviously have to deal with it. And how we are dealing with it is obviously looking to accelerate the growth in the rest of the business, which I have sort of characterized in the near-term. Now, looking at a midterm perspective that you have drawn on, I think, prospects are very good. I think the market is looking as if, very clear market opportunities, we see the trend in outsourcing of R&D continuing, and that provides the sort of basic framework Syngene International Limited

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for us as a contract service provider in R&D, and we also see the trends in manufacturing outsourcing continue. Of course, geopolitics is shifting some of the balances there, particularly in the United States and in large molecules, the strategic acquisition of the Bayview site will play into that opportunity. Syngene's capabilities, I think, remain fundamentally very, very strong, I mean, I think our research services, and our capability offerings and our differentiated service propositions in

chemistry are very strong, and in biology are very strong, and now including biotherapeutics, where I think we are highly differentiated in the Indian context. And in translational clinical sciences, I think this is a rising tide in India, with a very large patient population pool. And I think it is tremendous opportunity for Syngene to strengthen its position in translational sciences and to strengthen its position in clinical trials. And we are seeing the early signs of very positive traction there. So we have got to get over the issue that we are dealing with this single product. As I said, I think that will play out in the next few quarters. The underlying business is sound and the growth rates as Deepak has described, and obviously we want to accelerate those and get them higher. And that is what we are looking to build, and we will give guidance on '27 at the end of this fiscal year and give some range there. But I am optimistic, I think that Syngene is well placed, needs to get over this single product issue that is dragging us down, and we need to accelerate on the other elements of what is a very, strong and diverse platform, Syngene is a longstanding company, it is built some of the most remarkable relationships in the industry, we have touched on one in this call, the Bristol Myers relationship, and we will look to be building more diverse businesses and across the board

we will, of course, be looking to build bigger and longer -term relationships so that our business is more robust against single point exposures, which we are facing today.

Moderator: Pankaj, does that answer your question?

Pankaj Murarka: Thank you. Yes, it does.

Moderator: We will take our last question from the line of Kunal Randeria from Axis Capital. Please go ahead.

Kunal Randeria: Hi, good afternoon. Thanks for the opportunity. Sir, your customer of this one last product has got approvals for a new molecule in various geographies in the last few months. So do you expect to partner them in supplying this product, because it is for the same indication, for the same, and not for the injection and so on, so would you be partnering them?

Peter Bains: So Kunal, we are working with our collaborating partner on that. Let me update you at the full year position that we have a very good channel of dialogue with our collaboration partner, exploring a number of opportunities and we will update you as and when they mature.

Kunal Randeria: I understand. But in case, let us say these deals do fructify, then do you think this can compensate for the loss of the current product?

Peter Bains: I think that is very hard to say, and directionally, Pankaj, this product, Deepak described the high level contours of expectation there of this product over 10 -years, 50 -million per year, and obviously, Syngene International Limited

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the early launch success, push those numbers higher, which has meant that, in addressing the challenges there, obviously, the gap that we are faced with is high, and that is the single biggest issue that we are dealing. I can not comment as to say whether anything else is going to make that all up in one-go. But we are very, very focused, as I described on doubling down, strengthening and accelerating, encouraging early signs that we are seeing in small molecules, large molecules and across our discovery services to build that more diverse and broader business mix so that we have a very, very strong position. So, that is where we are.

Kunal Randeria: Sure. Thank you and all the best.

Moderator: Ladies and gentlemen, as that was the last question for today, you can get in touch with Syngene team for any further questions. On behalf of Syngene International that concludes this conference.

Thank you for joining us and you may now disconnect your lines.

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"Syngene International Limited
4Q & FY 2026 Financial Results Conference Call "
April 30, 2026

MANAGEMENT :

- Ms. Kiran Mazumdar -Shaw – Executive Chairperson – Syngene International Limited
- Mr. Peter Bains – Managing Director and Chief Executive Officer – Syngene International Limited
- Mr. Deepak Jain – Chief Financial Officer – Syngene International Limited
- Ms. Nandini Agarwal – Syngene International Limited

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Moderator: Ladies and gentlemen, good day, and welcome to Syngene International's Fourth Quarter and FY 2026 Financial Results Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Nandini Agarwal. Thank you, and over to you.

Nandini Agarwal: Good afternoon to everyone. Thank you for joining us on this call to discuss Syngene's fourth quarter and full year results for financial year 2026. To discuss the financial and business performance for the period, we have on this call today Ms. Kiran Mazumdar -Shaw, Syngene's Executive Chairperson; Mr. Peter Bains, Managing Director and Chief Executive Officer; and Mr. Deepak Jain, Chief Financial Officer. After the opening remarks, they will be happy to answer any questions you may have.

Before we begin, I would like to caution that comments made during this conference call today will contain certain forward-looking statements and must be viewed in relation to the risks pertaining to the business. The Safe Harbor clause indicated in the Investor Presentation also applies to this conference call. The replay of this call will be available for the next few days, and the transcript will be made available.

With this, I would now turn the call over to our Managing Director and CEO, Mr. Bains.

Peter Bains : Thank you, Nandini. Good afternoon, everyone, and thank you all for joining us on the call today. Before I begin my remarks, I would like to introduce and welcome Kiran to this call in her new role as the Executive Chairperson of Syngene. We are very pleased to have Kiran's leadership and guidance at the executive level as the company transitions into its next phase of growth. Kiran, may I invite you to share your opening remarks.

Kiran Mazumdar -Shaw: Thank you, Peter. I'm pleased to be back as Executive Chairperson of Syngene International at such a pivotal point in its journey, one that presents both near-term challenges and significant long-term growth opportunities. FY26 closed with a muted top line growth of 3% year-on-year. However, it is important to note that Q4 delivered a strong 13% sequential growth, which reinforces our confidence that the underlying momentum of the business remains intact. The impact of Librela on our FY26 performance has been significant, and it is likely to continue to influence growth in FY27 as well. At the same time, FY27 will be a transition year for Syngene with important leadership changes already underway to position, as Peter said, this company for its next phase of growth, particularly in CDMO, biologics and emerging AI-enabled service lines.

We at Syngene are consciously building new capabilities that move us beyond a traditional services model towards a more value-added technology-led partnership model. Our investments

in AI and digital technologies are aimed at improving speed, productivity, predictability and scale across discovery, development and manufacturing. And these capabilities will not only

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drive operational efficiencies but will also help us create differentiated offerings for our global customers.

Given the current geopolitical uncertainties and the near-term impact of Librela, we expect a broadly flat performance for FY27 while maintaining EBITDA margins in the mid-20s through disciplined cost management and sharper operational execution. We also expect to start FY27 on a muted note with H2 of FY27 to be meaningfully stronger than H1, with growth weighted towards the second

half as new contracts ramp up and business momentum improves.

We believe that FY27 will be a year of strategic reset and execution with a healthy pipeline of deal flows that will translate into stronger growth from FY28 onwards. Now with those initial comments, let me hand it back to Peter for a more detailed commentary on the business performance for the year gone by. Over to you, Peter.

Peter Bains: Thank you, Kiran, and good afternoon again, and thank you all for joining us on the call today.

Let me start with the fourth quarter, where revenue from operations was INR1,037 crores, reflecting year-on-year growth of 2% and sequential growth of 13%. Operating EBITDA for the quarter stood at INR303 crores with a margin of 29%, while reported profit after tax before exceptional items was INR153 crores.

Syngene's full year revenue from operations grew 3% and overall performance was in line with our revised guidance. While the overall numbers reflect the continuing impact from a single large molecule biologics client, our underlying business continues to show steady momentum. Deepak will provide more details on the financials.

But I would like to highlight that Syngene generated a healthy INR521 crores in free cash during the year with a closing net cash balance of INR1,800 crores, reflecting the ongoing robustness of our operating model and disciplined execution.

Globally, pharmaceutical and biotechnology pipelines are increasingly shifting towards novel modalities such as peptides, antibody drug conjugates and oligonucleotides. Industry estimates indicate that these advanced modalities now account for over 40% of clinical pipelines and are growing at a materially faster pace than traditional small molecules, reflecting their ability to address complex disease targets. This is driving demand for partners who can offer integrated end-to-end capabilities across these platforms.

Anticipating this shift and building on our existing capabilities in biology and biotherapeutics discovery, we have invested ahead of the curve in strengthening our capabilities in these modalities. During the quarter, we commenced operations at our state-of-the-art antibody drug conjugate discovery laboratory, which is designed to support early-stage research. This facility complements and integrates with our existing antibody drug conjugate development and manufacturing capabilities, enabling a seamless pathway from discovery through to scale-up and production.

Turning now to our CDMO business. We are encouraged by the acceleration we are seeing in our pipeline buildup. In our Unit 3 biologics facility in Bengaluru, we have seen increased client interactions from large pharma and emerging biotechnology companies during the quarter.

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Commercial manufacturing in biologics is inherently a long-cycle business, where client engagement typically begins with process research and development, followed by development work, clinical batch production and ultimately, commercial supply. Within this framework, we are seeing encouraging interest in our integrated capabilities, supporting a healthy pipeline across different stages of the value chain.

At our Bayview biologics facility in the United States, preparations are progressing well, and we are actively engaging with prospective customers as we move toward operationalization of the site this year.

Stepping back to reflect on the full year, I will emphasize again the key structural balance we are addressing between the headwind related to Librela and the steady growth of the underlying business.

Over the course of the year, we have taken several important steps to strengthen our mid and long-term positioning. A key highlight was the extension of our long-standing partnership with Bristol-Myers Squibb now extending through to 2035. This expanded agreement broadens the

scope

of our collaboration across the drug development life cycle, spanning discovery, translational sciences, pharmaceutical development, manufacturing and clinical research and reflects the depth of trust built up over many years in this collaboration.

We have also continued to invest in enhancing our manufacturing capabilities. In our small molecule platform, we commissioned a new commercial scale facility for liquid-filled hard gelatin capsules, strengthening our oral solid dosage capability and enabling us to support increasingly complex formulations with much greater precision and reliability.

In our large molecule biologics platform, and as I have touched on earlier, we've expanded our Bengaluru facility with the addition of a GMP bioconjugation suite, enabling fully integrated end-to-end manufacturing of antibody drug conjugates. This capability brings monoclonal antibody production and GMP bioconjugation into a single site, helping accelerate development timelines while complementing our existing strengths in payload and linker manufacturing.

Turning to our commitments towards Syngene's ESG and sustainability framework, this continues to be an important area of focus for Syngene, and I'm very pleased to advise that we were included in the S&P Global Sustainability Yearbook 2026, placing us among the select group of leading companies globally and among the top 10 in the life sciences sector. We were also recognized by TIME Magazine and Statista as one of the world's most sustainable companies, ranking number 1 in India's pharma and biotechnology sector and amongst the top 20 globally.

In summary, our diversified and integrated business model across research services and contract manufacturing continues to provide resilience, balance and opportunity. Supported by strong client relationships, investments in emerging modalities and expanding global capabilities, we believe we are well positioned to meet evolving customer requirements and capture opportunities across the value chain going forward.

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Looking ahead to the next year, and as Kiran has outlined, while we are guiding towards a broadly flat performance for the full year, we do expect Q1 to have a more pronounced adverse impact of Librela destocking. Thank you, and I will now hand over to Deepak to go through the financials in a little bit more detail.

Deepak Jain: Thank you, Peter. A very good afternoon to everyone. Let me begin by discussing the fourth quarter's performance, and then I will cover the full year results. First, looking at revenue.

Revenue from operations for the fourth quarter was INR1,037 crores, a 2% increase year-on-year in reported terms. Revenue growth, however, was impacted by the ongoing destocking issue related to Librela I've spoken earlier as well.

Turning to costs. Raw material costs were at 22% of revenue in this quarter compared to 23% in the same quarter of the previous year, driven by mix -- business mix changes. Staff costs increased by about 19% year-on-year. Other direct costs primarily comprising of power utility expenses increased 17% year-on-year due to new facilities at Bayview in the U.S. and the biologics facility in Bangalore. Other expenses decreased by 9% year-on-year due to our cost optimization initiatives. The company saw a hedge loss of about INR21 crores against a hedge loss of INR4.6 crores in the same quarter of the previous year due to the difference between average and spot hedge rates. The movement in revenue and costs resulted in operating EBITDA of INR303 crores with a margin of 29% for the quarter versus 34% in the same quarter last year. Depreciation increased by 5% year-on-year, in line with our plans and due to the addition of capacities at the biologics manufacturing sites in Bangalore, which became operational this year. Interest expense declined by 24% as borrowings

owing reduced in Q4 '26 compared to the same quarter

last year. Other income increased by 18% compared to Q4 last year, primarily due to higher cash and equivalent balances.

Overall, profit after tax, but before exceptional items stood at INR153 crores, down 16% year-on-year. As you know, the government of India has recently notified the 4-labor code consolidating the 29 existing labour laws. During the quarter, we reassessed the impact of the new labour codes, which resulted in a gratuity remeasurement credit of INR20 crores net of tax. Moreover, expenses of about INR25 crores net of tax were recognized under exceptional items related to termination benefits extended to employees in accordance with an approved policy. Adjusted for these exceptional items, reported profit after tax was INR148 crores, down 19% year-on-year. The normalized effective tax rate for the quarter was 24.2% as compared to 23.7% in the same quarter last year due to change in profit mix across the units.

Now moving to capex. We continue to invest in building capabilities and technologies that enable us to become an integrated solution provider for our clients. During the fourth quarter,

we invested \$10 million – around 50% in research services primarily across capability build and contractual obligations and dedicated centres , along with regular maintenance capex . Nearly 40% of the capex was in CDMO business. The remaining capex was towards digitization, automation and common infrastructure.

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We continue to maintain a strong balance sheet after meeting our capex spends for the quarter. We have a net cash balance of INR1,800 crores as of 31st of March 2026.

Turning to the full year performance. Reported revenue from operations increased by 3% year -on-year. Raw material cost was at 25% of revenue in FY26 compared to 26% last year, driven by business mix changes. Staff costs increased by 14%. Our direct costs primarily comprising of power and utilities increased by 6% and other operating costs increased by 6%. Operating EBITDA margin stood at 25% for FY26 and profit after tax before exceptional items was INR380 crores, down 20% year -on-year.

As we look ahead, we will continue to invest in technology platforms and enhancements, digitization and automation and strengthen our presence in new modalities like peptides, ADCs to build on our strengths. With that, I suggest we open up for questions.

Moderator: The first question is from the line of Kunal Dhamesha from Macquarie.

Kunal Dhamesha: Congratulations on a good set of numbers. The first question is on the impact from Librela. If you could quantify, let's say, if we remove Librela both from FY 2025 and FY 2026, then how would our FY 2026 growth and profitability look like?

Deepak Jain: So, Kunal, let me take that. If we remove Librela from both the years, we have grown as we've always called out. Underlying growth is in single digits . And the impact of Librela is a culmination of what you see in the numbers.

Kunal Dhamesha: With Librela also we have grown 3%, right?

Deepak Jain: Yes.

Kunal Dhamesha: Like with Librela impact, right? And the single digit would be mid -single digit or high -single digit?

Deepak Jain: It's high-single digits . We don't break that down right now.

Kunal Dhamesha: Okay. And in terms of profitability, would it have improved between FY25 and FY26 without Librela?

Deepak Jain: I mean the overall profitability has declined and the impact of Librela is a factor into that as well, plus the business mix changes. That's one. Secondly, our facilities have come online as well, right? The Bangalore facilities come online. That has impacted the profitability as well this year.

Kunal Dhamesha: Okay. And let's say from FY27 guidance perspective of flat revenue, what is being built for Librela supply? Are we expecting it to move to

zero in that guidance or we're expecting a gradual decline?

Deepak Jain: We expect, as Peter alluded a little bit that the coming quarters, quarter 1 and quarter 2 will have almost no Librela. There is some minor Librela volumes towards the end of the year, but that's about it. Most of the Librela impact will be done in this first 2 quarters. And Librela, as of now, we have no incremental revenue plans for Librela beyond one small amount in the last quarter.

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Kunal Dhamesha: Sure. And in terms of the current quarter, with costs related to Bayview facility fully baked in, in terms of -- because we -- last time we had suggested that the hiring is ongoing. So, is it fully baked in Q4 or there is more cost which can come? And if you could also highlight the total drag from both these facilities, Unit 3 and Bayview on the current P&L on a quarterly basis, that would be helpful.

Deepak Jain: So, Kunal, on the Unit 3, we've capitalized it as we said in the beginning of the first quarter of FY26 . And the impact therefore is -- of the people, et cetera, and all the costs are coming into the P&L. The impact of Bayview is only partially coming into the P&L . We have not yet fully capitalized the facility. So, we will come and update you about Bayview's capitalization and the plans forward.

Kunal Dhamesha: But it would be baked into that mid -20s EBITDA margin guidance, right, for FY27 ?

Deepak Jain: Yes.

Moderator: The next question is from the line of Surya Patra from PhillipCapital India.

Surya Patra : Congrats for the positive surprise number what you have delivered in the fourth quarter. Sir, just wanted to understand compared to the guidance what we had given in the third quarter where we have been saying that there will be kind of underperformance both in terms of revenue as

well as on the margin front. But this quarter turns to be kind of a strongly positive quarter to that guidance. What really caused this positive surprise in terms of operating performance?

Deepak Jain: Surya, we did guide towards a full year number. Obviously, that had an implication of what the quarter looks like. We were able to churn out improved revenue for the quarter, but by only a marginal amount, right, not a major change. In terms of figures our full year numbers have come more or less in line with what we have said in terms of our constant currency forecast or guidance that we've given.

If you look at margins for sure, we continue to be more efficient and be more frugal on our costs. That's what's led to an improved margin versus what we guided it to be. And therefore, margins have shown an improvement, and we'll continue to hold the margins as we've guided.

Surya Patra : Okay. See, I just wanted to also understand whether any revenue booking from the clinical trial activities or services, whether that is visible in this quarter? If not, any outlook that we are separately giving for the clinical trials activities that we have added as a new vertical for FY27 ?

Deepak Jain: Clinical trials, Surya, if you remember, we said we were always being present in clinical trials, right? What we guided in quarter 2 was a win that we had on a global trial . Now the global trial is going to pan out over a few years as what we had said earlier as well. And therefore, what you do see in this year – this quarter and coming years as well that there will be clinical trial revenue that will bake into the numbers. It's an ongoing business. We're definitely focusing more on that business, but the revenue continues to flow this quarter and in the coming year.

Surya Patra : Okay. Sir, regards, since it is the fourth quarter and closure of the year, so can you share what is the revenue split between the CDMO and CRO? And if you can also give some colour on how

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you are looking at these 2 businesses for next year, while the strategy is what you have guided, but since you have also mentioned the environment in the CDMO space is improving, so what outlook we should be baking in for CRO and CDMO separately?

Deepak Jain: Yes. So, in terms of this year, we had about, as I said, typically two-third towards the CRO business, one-third towards the CDMO business. That mix as what we had seen until quarter 3 continues to be the mix that we're seeing in quarter 4 as well, so broadly two-third , one-third . We are anticipating that to be directionally in line for even the next year. So, you would continue the split to be almost similar. There will be minor changes as we continue to evolve through the year. But broadly two-third , one-third is what you can take for your modelling purposes for the moment. We will keep updating as we evolve.

Peter Bains : I would like to add to what Deepak just said. In the Q4, there was a slide that said that 41% came from CDMO and 59% came from the research services business. So that's an indication.

Surya Patra : Okay. That is really helpful. Just one more thing. See the capabilities that we have been building either in terms of the peptide ADC or hard gelatin capsules along with the capacities also that we are -- we have acquired or built up. So, is there any gestation period that we should consider about or -- so like is there any gestation period then only we will see -- start seeing kind of revenue or earning implication out of those?

Deepak Jain: So, I'll start and probably I'll draw in Peter's views as well on this. Typically, when we have these capacities that we build up on the CDMO space specifically, right? And you saw that a bit in Unit 3 as well. Before we take the site, we've got to get it into qualification stages. We've got to do some trial batches runs and then we get into regulatory approval structures, right? Typically, they do take 12, 18, 24 months depending upon the nature of the site, the state of readiness of the site itself when we bought it as well.

So, you would expect -- you did see what happened in Unit 3. It took us almost 18 -odd months to get it operational and capitalize the site. We would expect the initial trial runs, et cetera, on Bayview to also go through. And then in the coming year, we should start seeing some engineering batches, et cetera, come through and capitalization once we get the regulatory approvals, for which we can't really comment on the timeline right now.

Peter Bains : Surya, let me add to Deepak's comments and speak a little bit about the capability enhancements in the areas like hard gel capsules and antibody drug conjugates and peptides, where we are building new capabilities, and we're building capabilities that strengthen existing capabilities. And we would expect here to look to, for this to contribute towards the pipeline build that Kiran referred to in her opening remarks and contribute towards the exit in '27 on a growth trajectory and then looking to '28 to see more sustained growth as we clear the Librela impact at the end of '27.

Moderator: The next question is from the line of Kunal Randeria from Axis Capital.

Kunal Randeria: Sir, question is on Section 232 tariffs where around 100% levy will be on patented pharma products and the ingredients. So, don't you think this can slow down future order contracts for CDMO players?

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Peter Bains : Kunal, our assessment of the tariff impact on Syngene is it will be negligible as both the service industry and in the product supplies that we make and supply to our customers. So, we are not anticipating any material effect of tariffs on Syngene's business.

Kunal Randeria: Great, sir. So, you say even after this announcement, you're still getting RFPs from your prospective customers?

Peter Bains : Yes, we are.

Kunal Randeria: Gre

at. Okay. The second question is on your contract with Bristol -Myers that was extended till 2035. It seems to be a bit more expansive, a bit more extensive than last time. So, is the wallet size bigger?

Peter Bains : So, I mean, again, this is a very important component of our business. It's our largest collaborator and a unique construct, 28 years now in terms of legacy and looking forward now a 10-year future horizon. I think it's really -- the time horizon enables strategic thinking. And of course, if we look at the market outside and developments in these new modalities that we've discussed . And of course, the implications and the evolution of AI into discovery and development, it really allows the parties, Bristol -Myers Squibb and Syngene to think strategically, and that includes some of the expansions that we discussed in opening remarks in a reas that we will look to collaborate.

But it really provides that strategic framework so that we can plan in the mid and the longer - term to support Bristol -Myers Squibb as they evolve their pipelines and portfolios. So that is really the real strength of the extension of the collaboration -- providing a decade horizon going forward so that Syngene can really look to support Bristol's strategic outlook as it builds its pipeline and its portfolio going forward.

Kunal Randeria: Right. So that obviously should translate into higher revenues than what you have received from Bristol in the past, yes ?

Peter Bains : I don't think we can comment in any short -term horizon there. Obviously, if you look at the history of this relationship over the course of years, it has grown, but this is already a substantial business in scale and growth will not be linear in that sense . I think it will grow around U.S. inflation at some level. But its expansion going forward will be determined by the nature of the strategic outlook and the new areas of expansion and opportunity.

Moderator: The next question is from the line of Avnish Burman from Vaikarya Change LLP.

Avnish Burman: I had a question around the cost increases that you might be witnessing because of the Middle East conflict, could be raw material, could be utility pricing. I just wanted some qualitative colour on how your contracts are structured both on the CRO side and on the CDMO side. How easy is it to pass on these cost increases to the customers or how difficult it is, as the case may be?

Deepak Jain: So typically, these are different contracts with different clients. The nature of the contracts depends on the need of what we are trying to service and also depends on the nature of the Syngene International Limited

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molecule and conversation or the support that is required, right? So, it's not one size fits all. It also depends upon the conversation of the long -term horizon of the contract that we get into. So, it's not a straightforward answer of saying are all contracts which have elements of cost that we pass through or not. I think it depends upon the nature of the conversation and the services that we are providing. I don't think there's a straight answer t o your question.

Avnish Burman: Okay. Again, I mean, if you just bifurcate your business into CRO and CDMO, is your answer true for both these businesses? Or is there one business where it's relatively easy to have those kind of conversations with the clients?

Peter Bains : Let me maybe also add in here. I mean the implications of what's happened are evident as everyone can see. I'll start by saying that there have been no disruptions to the continuity of service and supplies on Syngene's ongoing business. That has been navi gated by the team very, very successfully and obviously in conjunction with our partners. Of course, there have been some cost increases that we've seen in some areas and some of them, as you will know, that there's been a little bits of spikes in some of

the prices.

There are 2 things here. We don't know how long this will go on and to what extent it may continue. We are obviously reengineering distribution and logistics, and we're obviously looking at costs, and we're, of course, talking to our customers and collabo rators. But as Deepak said, I

think there is not a one-size fits-all answer to this, and it will be customer-by-customer and contract-by-contract.

And they are also looking at how we reengineer the logistics and the supply chain. And they are, of course, also aware of some of the cost implications there. But I don't think there's any material impact that we're considering at this point in time. And we'll have to wait and see how this resolves going forward.

Moderator: The next question is from the line of Shyam Srinivasan from Goldman Sachs.

Shyam Srinivasan: Just between January and now you're reporting in April, we have cut our EBITDA margin guidance for the full year to 22%, 23% and we delivered 25%, right? And now when we look at our guidance for next year, it seems to suggest flat margins. So, I'm just a little confused with respect to the EBITDA margin guidance. I think on revenue, we have probably met full year guidance for fiscal '25, '26. But just the push and pulls because we just cut guidance and then now, we actually beat our guidance.

So, is there something that was supposed to happen that got postponed into, say, fiscal '27 that has led to this cost change? Or was there a mix issue? If you could explain just what happened in 2 months?

Deepak Jain: So, 2 parts to it, Shyam. One, for sure, the product mix is a big factor of what made the big swing into our margin structures, right? There was an assumption of what our product mix would be and the cost structures related to that product mix in terms of raw materials, the people that will get engaged and so on and so forth. That went through a bit of a shift, and that was a positive shift in that direction.

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Obviously, there's some bit of also cost that's gone into the exceptional items as well that's also led to that change. So, 2 major contributors right now. One is the product mix change or the services that we had anticipated or the revenue mix that we had anticipated went through a change and then some bit of the cost went into exception items as well.

Shyam Srinivasan: Got it. So, Deepak, just from a forward-looking perspective, right, is it getting difficult for you to estimate corporate margins? Has something changed? Do we still have the aspiration to go towards the high 20s, maybe 30% margins? Do you think that overall -- I'm not asking for a specific year, but is there a path to going back? Or you have now moved to a slightly lower trajectory of what margins can be?

Deepak Jain: So, Shyam, 2 things. One, for sure, we've guided you towards the mid-20s even for the next year, as Kiran mentioned. That's definitely taking into consideration how we expect the utilization curve on our sites that we have bought in recent past that's going to come up. But more importantly, we've always mentioned in the past as well that as the utilization curves on the sites improve, we do expect the margin profile to improve as well. Aspirationally, for sure, we definitely want to improve the margins. But as of now, we're guiding only for the year, and we're guiding it towards the mid-20s as called out earlier.

Shyam Srinivasan: Got it. And my last question, just going back now on revenue. So, when we look at fiscal '24 revenue was \$418 million, fiscal '25 was \$430 million. Now we are \$419 million in '26, and we are guiding for flat growth. But I'm just saying when does it get higher, right? Is there -- what needs to kind of get us back on a growth path on revenue? I know we have done a lot of investments ahead of time. But what could be the major triggers for a revenue growth

with also
restart?

Peter Bains: Shyam, let me respond first and then Deepak can come in. Getting back to more sustainable growth and to higher growth levels is clearly the direction that we're looking to build Syngene.

The Librela headwinds have clearly had material impacts last year '26. And as we've outlined, we will continue to have effects through '27, and those are now absorbed in the guidance framework that Kiran outlined. And we would expect to end '27 on a growth trajectory and the Librela effect will then have washed out.

And in a way, '27 represents a sort of resetting of the baseline. And then with the investments that we've made in the modalities and the capabilities that we're building and with the maturation of the pipelines that we're developing on the commercial side, we would expect to see those begin to play through and look beyond '27 for a more sustainable and higher growth trajectory.

Kiran Mazumdar-Shaw: Shyam, maybe I should add to what Peter and Deepak have just said. We are really focusing also on our CDMO business, which we think will give us more aggressive and sustainable growth.

Moderator: The next question is from the line of Harith Ahamed from Avendus Spark.

Harith Ahamed: So, my first question is on the partnership with Zoetis. Zoetis has a follow-on molecule to Librela, it's called Lenivia -- I was just wondering if Syngene has any role in the supply chain

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for that product, given Zoetis already has a European approval and they're expecting U.S. approval shortly.

Peter Bains : So let me take that. And at this point, we do not have any participation in the follow-on molecule going forward.

Deepak Jain: I mean just to add on to that is we did some bit of clinical work for them . But in terms of ongoing commercial production, we are in conversation, but nothing beyond that right now.

Harith Ahamed: Understood. Sir, my second question is on the research services side of the business. Firstly, if you could give some colour on the mix within research services today. You talked about in one of your slides about discovery services, translation services, and clinical trials. And just trying to understand the mix as well as some of the macro headwinds that you called out in terms of biotech funding, how we should think about the impact of these challenges on each of these verticals.

Peter Bains : Harith, we don't call out quantitatively the split. But of course, chemistry, which is the legacy foundation of Syngene is the biggest part of the business. Biology and now biotherapeutics, where we believe Syngene is very well placed in India as a lead player supports that. And as we've said, our translation and clinical services are at a lower starting point, but we are seeing some encouraging opportunities here for growth.

So it is, I think, the balance -- the large balance is chemistry and supported biology and biotherapeutics with translation and clinical research a smaller part. But going forward, we would expect all 3 legs of that stool in Discovery Services to look to grow and where I think we can see growth in all 3 cylinders or all 3 legs of that stool.

I think in biotherapeutics there is a very clear opportunity of differentiated capability, differentiated services playing into a high-growth part of the contract research market. And of course, as we've discussed in previous calls, the translation and clinical research business is looking at significant expansion going forward over the coming years as clinical trials pick up in India and as the translational capability plays into discovery capabilities more broadly.

Moderator: The next question is from the line of Alankar Garude from Kotak Institutional Equities.

Alankar Garude: Peter, in your discussions with clients, how are they assessing the impact of AI on drug discovery? And how are you gearing up

for any shifts in the business model as well as activity levels?

Peter Bains : Sure, Alankar. Obviously, a very important question. I think it is very clear to everybody that the implications of AI in discovery, in development and in manufacturing will be profound. I'm not sure what the timeline is and how it will land. But already, we are seeing rapid changes in the evolution.

And I think Kiran touched on this in her opening remarks, the application of AI to improve timelines , which are obviously critical -- of critical importance to all our clients and collaborators to improving predictability through modelling to reduce risk through enhanced predictability .

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And fundamentally to enhance innovation with AI applications that can look to find new targets and to look to enhance validation of these targets.

In development -- and in clinical development, we're already seeing applications of AI that will help all the aspects of the clinical side in patient recruitment, in data management and so forth, in translational sciences as these elements enhance the predictability of drug discovery. We will see applications of AI in there. And of course, in manufacturing, we're already working with digital twins to enable us to enhance our ability to manage and optimize manufacturing.

So, Alankar, I think it is clear that there will be profound implications of AI. And from Syngene side, again, we've been investing in new capabilities there. We have a team of AI scientists who are looking at the application of algorithms and so forth to enhance our service offerings and to create value to our customers. And of course, with our customer base, we're working in this arena with many companies.

So, I think the shorter answer is, it is going to change profoundly discovery, development and manufacturing and that Syngene is moving and accelerating its capabilities to enhance differentiated service value creation to our customers in that field. Kiran, you may want to add something in on this.

Kiran Mazumdar -Shaw: No, I think what you said is adequate because I think these are important times and points of inflection, but I think what you have said is fairly well covered.

Alankar Garude: That's very helpful, Peter. Kiran ma'am, the second question for you. You have now come into

an executive role at Syngene after a long time. There is also a new team led by Siddharth, Abhijit coming in from Biocon Generics. Can you take us through what prompted these decisions? And did you at any point in time, evaluate an external candidate?

Kiran Mazumdar -Shaw: So first and foremost, I think this plan has been in place for some time. In fact, Peter has also been part of taking this decision. We did believe that we needed the full-time presence of a CEO in India because I think it's very important to get into CDMO operational excellence – CEO needs to have a very close oversight in such businesses.

And because Siddharth is someone who has played a very important role at Biocon, who understands the CDMO business because Biocon is very much involved in that kind of manufacturing operations. It was something that we felt was the right thing to do. Abhijit, of course, also comes with a very strong experience of commercial and business development capabilities - where he has actually built a number of partnerships, a number of collaborations. And as you know, both Abhijit and Siddharth have played a very important role in building various partnerships, whether it is the Viartis partnership, whether it was the Pfizer partnership, whether it was the Cuban partnership and many others.

So, I think they are both very, very experienced and comfortable with building partnerships and collaborations, and we believe that services business is about building these partnerships and relationships. So, I'm someone who has worked with them

very closely for over many, many years. Obviously, I'm happy to be back to take Syngene through this very exciting time. And this is a team I'm very familiar with, and I'm very confident that we will reset and rebuild the Syngene International Limited

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Syngene model in all the particular areas that we spoke about. And Peter has done an excellent job of being that interim CEO. And I think we now believe that Syngene is in very good hands.

Alankar Garude: Sure. That's very helpful, Kiran ma'am. And with your permission, one final question. Deepak, you spoke about the cost efficiency measures helping margins. There is also a termination charge. Can you just take us through some of these cost rationalization initiatives and where are we in this journey?

Deepak Jain: So as called out in the notes as well, Alankar, this is termination benefits of rebalancing the organization. If you see the people cost, you will see the cost going up, but that was the investments that we made in the people at the beginning of the year. And then there was some rebalancing in some parts of the organization that we needed to do. So, it is an impact that we've taken into the financials as termination benefits.

And that's what you see as the cost implication. I really won't comment beyond that right now in terms of how it's going to play out in the future. But the margin structure is what we've commented upon, and we're going to probably hold on to the margin guidance that we've given.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. You can get in touch with the Syngene team for any further questions. On behalf of Syngene International, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.